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The European Bathroom & Kitchen Product Markets

- 2020 Edition -



Estonia

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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ESTONIA

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Estonia is located in the Baltic region in Northern Europe, consisting of the mainland and around 1,500 islands in the Baltic Sea. It borders the Gulf of Finland to the north, the Baltic Sea to the west, Latvia to the south, and to the east Lake Peipus and Russia.

The total land area of the three Baltic Republics (Estonia, Latvia and Lithuania) is 175,015 km², with Estonia having a total area of 45,226 km². Estonia is the most northern of the three countries and its capital, Tallinn, is only 85 km from Helsinki.

The terrain of the Baltics consists of low-lying marshes or plains (the highest peak is only 318 metres above sea level), and the soil is recognised as being very fertile. A high proportion of land in the Baltic States is forested; in Estonia, 44% of the land is forest or woodland. Due to its close proximity, Estonia's climate is similar to that in the Scandinavian countries, although slightly milder. The prevailing wind is from the southwest and brings mild, wet air from the Atlantic Ocean.

The yearly average temperature is 3-7⁰C, and the yearly average precipitation ranges from 500 to 700 mm. The yearly average number of days when it rains or snows is 150-200; however, once in every 10-year period, very cold air masses press from the east and mainly affect the eastern part of Estonia. There, the lowest ever temperatures in the country were recorded, at -44⁰C. Annual solar radiation in Estonia amounts to 3,518 MJ/m².

In 2019, the population of Estonia totalled 1.32 million people. The country currently accounts for approximately one fifth of the total population of the three Baltic States. Over two thirds of the population of the Baltics live in urban areas, with Estonia having the most urbanised population, although this has been falling in line with the decline in the total population. Indeed, the total number of people living in all three countries has been falling since 1990, and one reason for this is net migration.

The largest city and the capital of Estonia is Tallinn, with a population of 450,000 in 2019. The second-largest city and the intellectual capital of Estonia is Tartu. It should also be noted that Estonia has a large Russian minority, accounting for approximately 25% of the total population. About 67% of the population live in urban area.

Macroeconomic Overview

Estonia's economy is small by European standards but comprises a diverse range of industries including wood products, food products, electronic goods, textiles and chemicals. Successive governments have carried out a successful reshaping of the economy to a free market, with no protection from foreign competition, and very high rates of economic growth have been achieved since 1995. These high growth

rates are the direct result of economic reform measures, the expansion of industrial production, the growth of new, private businesses, and a rapid rise in foreign direct investment.

Estonia benefits from excellent relations with the Scandinavian countries, particularly Finland. It has also been promoting its potential as a location for the high-tech industry, a move that has reaped dividends and made Estonia the richest of the Baltic States. It was the first country to hold parliamentary elections on the internet. Investments and private consumption continue to sustain economic growth.

Estonia has enjoyed uninterrupted economic growth since 2010. The country has stable public finances: the government's debit for 2019 was estimated at 0.2% of GDP. The debt-to-GDP ratio – at 8.2% in 2019 - is the lowest in the whole European Union, with forecasts for a further decline further. Household borrowing is relatively reasonable, with saving rates close to the EU average. Inflation fell from 3.4% in 2018 to 2.3% in 2019, in line with the lower global energy prices. Unemployment was 4.4% in 2019, with labour shortages and consequently growing nominal wages. Services sector accounted for 60% of GDP in 2019. This should help the country to weather the COVID-19 crisis.

Due to the COVID-19 pandemic, GDP is expected to decrease in 2020.

Residential Construction

Overview

New housing construction peaked in the Baltics during the 1980s, with some 13,000 dwellings constructed per annum in Estonia. These levels then fell during the last few years of the Soviet regime, a decline that went into freefall during the early years of independence; but that seems to have been halted now. The lack of state funding was the primary cause for this contraction of the new housing construction sector.

The introduction of tax-deductible mortgage interest helped to restore private construction, as it lowers the real interest burden of borrowers. Demand for mortgages has risen significantly since 1999. The high growth is partly explained by the fact that housing loans were introduced in Estonia only in the mid-1990s. The main driving forces behind the residential property boom in 2002-2007 were a substantial drop in interest rates (to 3.0-3.5%) and a steady increase in households' disposable income over this period. Strong demand has caused a rapid rise in prices in recent years, as the supply of residential property has been fairly scarce over the short term.

Due to the 2008 economic crisis, demand for mortgages declined, banks experienced problems with liquidity and interest rates, and the inflation rate increased. As a result, demand for newly-built dwellings sharply declined during 2008-2011. The residential construction sector has shown uninterrupted growth

between 2012 and 2019.

End Use

New Housing

New dwelling completions increased further in 2019. Block dwelling completions recorded a higher growth rate compared to private houses. According to the official statistics of Estonia, the number of new completions reached slightly over 7,000. The majority of the new dwellings were built in Tallinn, in the neighbouring rural municipalities of Tallinn, and in Tartu. Dwellings with a good location and high quality are still very much in demand. Based on the market feedback and average size of the completed buildings, the sector is moving towards the economy segment. There were more building permits issued in 2019 compared to 2018 with 8,025 and 6,990 respectively.

Housing RMI

In terms of housing reconstructions, 29,738 dwellings were completed in 2019 against 23,750 in 2018 according to the Estonian Statistical Office. In 2018, 49,059 reconstruction permits were granted compared to 55,311 in 2017. Looking at the demand for bathroom products, however, it is clear that expenditure for RMI purposes exceeds new construction expenditure. The state KREDEX fund is likely to finance most reconstruction projects. About 400 apartment buildings could be repaired with the subsidy in 2020. In 30 years, KREDEX plans to fund reconstruction of 14,000 block buildings.

Home repair, maintenance and improvement, or RMI, tends to be concentrated in the cities and DIY plays a significant role here. All three Baltic States are suffering from the poor quality of their housing stock, which should lead to even higher RMI expenditure in the coming years. Properties that are in good or very good condition are either new or recently renovated.

Non-Residential Construction

In 2019, 1,410 new buildings were completed with a total area of 679,800 m², compared with 1,000 buildings with an area of 1,070,940 m² in 2018 according to the Estonian Statistical Office. A similar upward trend was noticed in the non-residential reconstruction segment.

II.2 Key Figures

EE - DEMOGRAPHICS AND HOUSEHOLDS

Value		Year
Segmentation	Category	2019
Demographics	Population (% Rural)	32.10
	Population (% Urban)	67.90
	Population ('000)	1 318.00
Households	Average Size (Persons h/h)	2.43
	Total ('000)	542.00
Persons per Household (% of Total)	1	32.00
	2	32.00
	3	18.00
	4	13.00
	5+	5.00

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

EE - KEY MACROECONOMIC INDICATORS

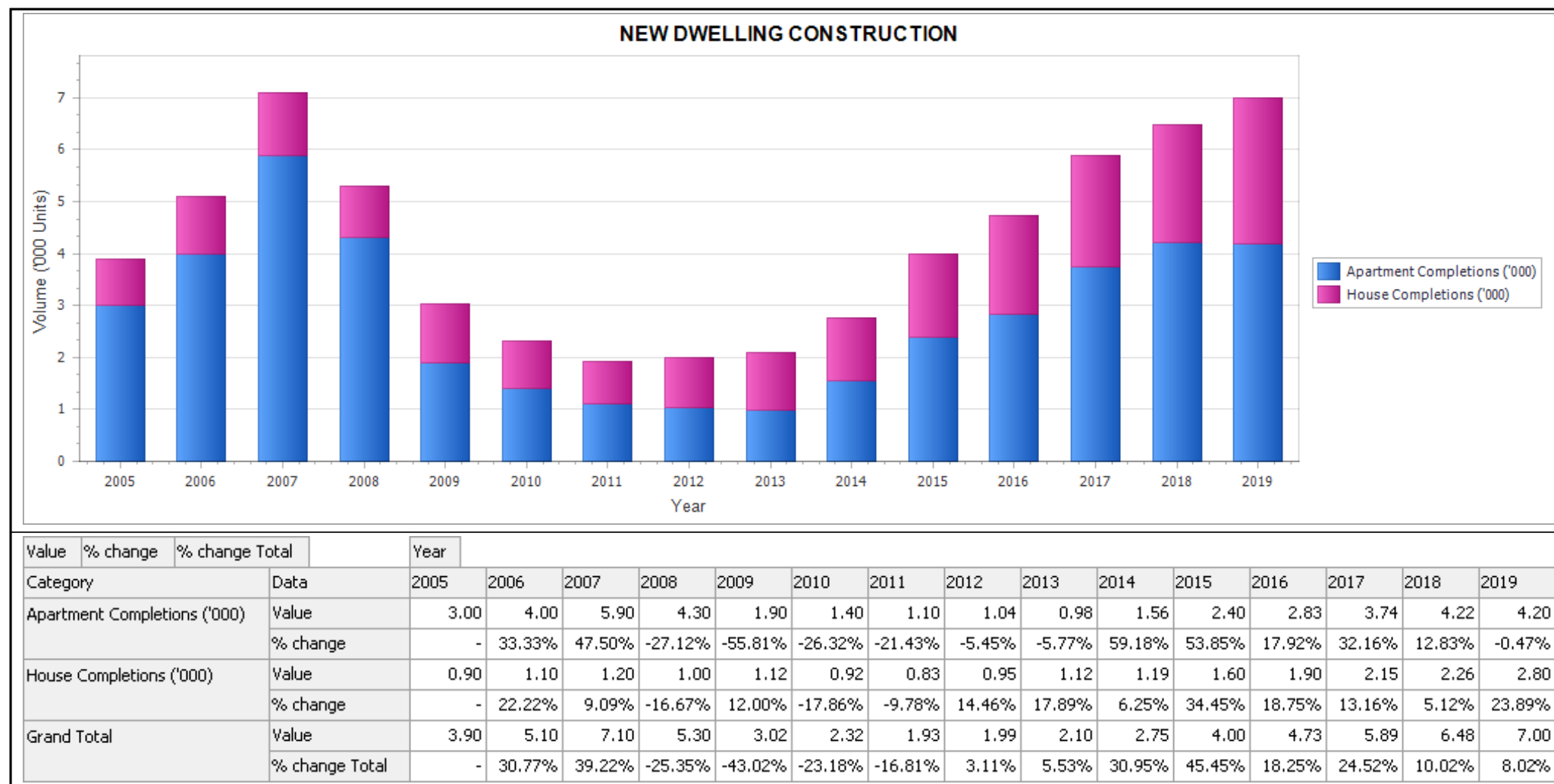
Value	Year														
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Consumer Price Index (% change)	4.12	4.44	6.75	10.61	0.20	2.74	5.08	4.22	3.25	0.48	0.07	0.80	3.65	3.41	2.27
GDP (% change)	9.49	9.72	7.57	- 5.09	- 14.43	2.69	7.44	3.13	1.35	2.99	1.85	2.63	5.75	4.76	4.33
Government Balance (% of GDP)	1.12	2.90	2.69	- 2.65	- 2.17	0.19	1.15	- 0.26	- 0.17	0.68	0.07	- 0.33	- 0.38	- 0.46	- 0.40
Household Saving Rate (% of Disposable Income)	- 8.57	- 10.89	- 6.91	1.86	7.18	4.17	4.82	5.06	4.39	6.46	6.79	6.53	7.88	8.23	9.60
Private Consumption (% change)	9.69	12.82	8.45	- 4.47	- 13.68	- 0.90	3.51	4.53	3.68	3.76	2.23	2.71	5.55	4.75	4.37
Unemployment Rate (%)	8.03	5.91	4.59	5.46	13.55	16.71	12.33	10.02	8.63	7.35	6.19	6.76	5.76	5.37	4.44

Source : IMF and OECD.

N.B. No data available beyond 2021 at the time of publication.

II.4 New Dwelling Construction

EE - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.5 Dwelling Stock by Type and Tenure
 EE - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	67.83
	Apartments ('000)	487.00
	Houses : Rural (%)	29.94
	Houses : Rural ('000)	215.00
	Houses : Urban (%)	2.23
	Houses : Urban ('000)	16.00
Dwelling Stock by Tenure	Primary Owned (%)	71.03
	Primary Owned ('000)	510.00
	Primary Rented : Public (%)	4.46
	Primary Rented : Public ('000)	32.00
	Secondary (%)	24.51
	Secondary ('000)	176.00

Source: BRG based on Country Statistics.

II.6 Overview of Impact of COVID-19 on Forecasts
EE – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [and expected start of easing]	Estonia barred foreign travellers from 17 March 2020. It has started to gradually open healthcare services and schools on 15 May 2020, and relaxed restrictions on holding public events on 15 July 2020.
Number of officially confirmed cases [fatalities] to date	As of 21 July 2020: 2,022 total cases; 69 deaths. Total population: 1.3 million
General measures in place to support the economy	Estonia has launched EUR 2 bn support programme, including loan collaterals amounting to EUR 1 bn for bank loans already issued in order to allow for repayment schedule adjustments through the KredEx Foundation.
Statistics on affected individuals	N/A
Measures in place to mitigate economic impact on INDIVIDUALS	The Estonian Unemployment Insurance Fund paid subsidies to compensate employees' wages for up to two months during March-May 2020 for start-ups and severely affected companies. The amount of the subsidy is 70% of the average monthly wage of the employee but no more than EUR 1,000. The employer must pay a wage of at least EUR 150 to the employee. Between April and June, the Estonian Unemployment Insurance Fund assigned compensation to 136,709 employees (average compensation of 703.2 euros)
Statistics on affected COMPANIES	N/A
Specific measures affecting BUILDING CONSTRUCTION	N/A
Measures in place to mitigate economic impact on COMPANIES	In order to alleviate the financial situation of companies, the Estonian Tax and Customs Board (ETCB) suspended the calculation of interests on their tax arrears for the period of emergency with effect as from 1 March to 1 May 2020. The government will also cover the advance payment of social security tax for the first quarter on behalf of private entrepreneurs (FIE = füüsilisest isikust ettevõtja in Estonian). The Government and other related organisations are working on a more comprehensive support package. For example, it is considered to decrease the interest rate on tax arrears payable in instalments more than by 50% (currently the interest rate is 0.06% per day) and up to 18 months.
Support measures from international organisations (EU, IMF, World Bank, other)	€750 billion EU Rescue Fund approved in July 2020. The European Commission also approved two Estonian aid schemes with the EUR 1.75 bn budget on 30 March 2020. A first support structure will be administered by the KredEx Fund. It will provide guarantees, loans and subsidise interest rates for loans. Estonian Rural Development Fund (second structure) will support agricultural and rural businesses in terms of loans and guarantees.

Sources:

- <https://www.reuters.com/article/health-virus-estonia/estonia-to-bar-foreign-travellers-from-march-17-idUSL8N2B712Z>
- <https://www.reuters.com/article/us-health-coronavirus-estonia-restrictio/estonia-opens-healthcare-schools-to-follow-in-easing-of-lockdown-idUSKCN2242MR>
- <https://www.worldometers.info/world-population/estonia-population/>
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- <https://home.kpmg/xx/en/home/insights/2020/04/estonia-government-and-institution-measures-in-response-to-covid.html>
- https://ec.europa.eu/info/live-work-travel-eu/health/coronavirus-response/jobs-and-economy-during-coronavirus-pandemic/state-aid-cases_en

ESTONIA

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The distribution of bathroom products in Estonia is centred in and around Tallinn, the capital. Almost all distributors, wholesalers and representative offices are concentrated in the capital. Due to the size of the country, these companies combine retail and importing functions. Most of them have several retail outlets. Some of them have been acquired by large European conglomerates in recent years, and have started to be supplied centrally. Almost all of them distribute several brands, and most operate in two or more segments.

All brands are almost exclusively distributed via importers/wholesalers, and there is hardly any direct supply. Only a few companies have head offices in the regions, and they cover only very small territories. Due to the small size of the market, only a few well-established companies, such as VILLEROY & BOCH, have representatives in Estonia. The majority of European firms operating in the Baltic States prefer to sustain a supplier-importer relationship rather than open a representative office.

The main differences in the distribution structure between the Baltic countries lie in the varying patterns of the population. Estonia finds itself with a fairly good level of national coverage, with regional distribution centres located in two provincial cities (Tartu and Narva).

Most distributors tend to not cover much beyond their own region, let alone operate in more than one country. There are a few notable exceptions to this rule, however, such as ONNINEN and AS OPTIMERA ESTONIA, which have outlets in Latvia. The largest concentrations of wholesalers are to be found in the main cities. Most distributors have several outlets, and act as importers and wholesalers as well. AS OPTIMERA ESTONIA and FEB are the distributors with the most coverage in Estonia.

It is unlikely that the distribution structure will change significantly in the near future, as the market is close to optimal efficiency. DIY and retail networks have been almost static in terms of outlet growth. There is a gradual shift, as expected, towards online sales, and single-shop retailers/installers find it difficult to compete with national chains. As a result, small dealers and retailers in large cities are likely to lose to online and large retailers.

None of the manufacturers supply projects directly and all sales are done via local wholesalers and retailers. Local private labels are rare on the market. However, the market is gradually being penetrated by regional private labels.

The overall trend in the market is that all players in the distribution chain are trying to shorten the journey of the product from manufacturer to end user. Therefore, they will try to eliminate some links in the distribution chain. Most manufacturers avoid exclusivity contracts and sell to several wholesalers. Manufacturers are likely

to offer more product groups rather than only one or two product groups/solutions, and some of them are eyeing online sales.

Wholesale Level

After the expansion of the EU, undeclared imports from Russia became complicated and Estonian companies adapted to the changing market situation and started to re-export to Russia or opened outlets. Therefore, some bathroom products are legally or illegally re-exported to Russia. In addition, Russian companies use Estonia as a hub for re-imports to Russia.

Wholesalers account for a significant proportion of bathroom products distributed in Estonia. The wholesale channel tends to be fairly consolidated in the country, as in most European markets, with some local players being owned by multinational groups.

Due to the small size of the country, most wholesalers have retail outlets, and most of these are concentrated in Tallinn. There are only a small number of wholesalers that do not have outlets and distribute their products via retailers. Some wholesalers stock a variety of products and supply construction companies. Most wholesalers distribute several brands or products, and almost all of them are involved in the imports market. The three-step distribution chain is typical for Estonia, which comprises both sales from manufacturers/importers to specialist wholesalers, and sales from manufacturers/importers to wholesalers – who then supply installers/retailers.

The most popular trend in the previous decade was the integration of retail and wholesale functions. As a result, almost all large wholesalers now operate retail outlets. They had managed to cover all key regions by 2014, and almost stopped expansions. Since then, the number of outlets has remained almost stable. For the moment, there is also a clear preference towards wholesaling, which accounts for a high proportion of turnover. Usually, wholesalers distribute several product groups. They offer one or two brands in each product group if they have exclusivity. Otherwise, wholesalers distribute several brands per product category. Merely a few wholesalers offer bathroom products only. In order to be competitive, most wholesalers offer a wide range of products in several sectors, such as: plumbing and bathroom; plumbing, bathroom and heating; and bathroom and heating.

The largest bathroom wholesalers are believed to be ONNINEN, DAHL (part of SAINT-GOBAIN), and VIPEX (an Estonian holding with interests in various fields).

Over the last few years, the distribution system has changed and currently only one company tries to import a particular brand, therefore avoiding price wars among distributors of the same brand and allowing them to keep relatively high margins. The situation with representative offices is different; they offer products to several companies and are forced to keep very low margins. Wholesalers don't have any significant private labels in Estonia (apart from VIPEX, distributing taps and mixers under the HARMA brand, and ONNINEN). They do not operate online

shops either.

Retail Level

DIY Retailers

The DIY network is very well-developed in Estonia, and DIY stores are important for some bathroom products in the country. Estonia has had the largest amount of DIY space per capita in the Baltic region since the DIY phenomenon began its offensive in the Baltics. Consumers are encouraged by the low price and variety of goods at these stores. DIY companies are not interested in small towns, where specialist retailers dominate the market. DIY companies are increasingly expanding to the project market with most of the outlets offering this type of service to clients.

The following developments have been noticed in recent years:

- ESPAK operated in 18 locations in Estonia in 2020;
- BAUHOFF operated 13 stores in Estonia in 2020;
- K-RAUTA successfully operates in the market in all Baltic States with 8 stores in Estonia in 2020;
- BAUHAUS currently operates two stores;
- In 2020, OPTIMERA ESTONIA AS operated 12 stores in Estonia. The OPTIMERA GROUP expanded further and acquired a local DIY operator in Latvia. While OPTIMERA ESTONIA targets the Russian speaking population in Estonia, FEB targets Estonians.

Most large retailers are part of large international groups. However, not many heating product manufacturers have a presence in Estonia. Therefore, retailers source products directly from manufacturers as well as wholesalers.

DIY channels have grown rapidly in recent years. However, they are believed to have reached saturation level in terms of both coverage and sales. The number of stores has remained stable over the last few years. In order to remain competitive, these players have started to sell online as well.

Specialist Retailers/Other Retailers

There is no retailer (with multiple stores) in Estonia that is not involved in imports. All importers act as a wholesaler, and sometimes a retailer as well. Most wholesalers have a few (usually two to six) retail outlets, or at least one – as long as it stocks a variety of specific products. All distributors have head offices in Tallinn.

Due to the relatively small size of the country, the retailers manage to have good cover of the whole territory. FEB remains the only national retailer. The influence of retailers is strong, and they successfully compete with DIY chains. They manage to exclusively sell certain bathroom products and try to avoid direct competition with DIY companies. The channel is well-established and unlikely to lose business to DIY chains. Retailers are trying to focus on installers. There are retailers that operate one or two shops in regional small cities. Smaller retailers are supplied by wholesalers. Depending on the company, they can be present in each price segment. Specialist retail chains mainly operate in the lower and middle price segments. Independent retailers, depending on the region, can operate in any price segment. They do not usually have private labels.

In large cities, specialist retailers experience rising competition from online and DIY stores. However, they successfully compete by either product positioning or opening online stores.

Internet Retailers

Internet sales are growing, but most sales still occur via online stores operated by retailers and DIY, rather than independent online retailers. Some consumers prefer to see products in store and later purchase online, if it is cheaper to do so. There are two types of independent internet shops operating in Estonia, which are bathroom specialist shops and mixed online shops that also distribute bathroom products.

It is very difficult to quantify the share of mixed shops, as bathroom products are not their main business. [Kaup24.ee](https://www.kaup24.ee) and ehituskaubad.com are believed to be relatively active online stores. Specialist and DIY retailers such as BAUHOFF are active on the online side. Independent internet retailers apply aggressive pricing policies, and offer significant discounts during sale promotions. Online sales are predominantly developed in large cities, where people have better access to the internet and logistics are better organised. BRG believes that this segment is set to grow gradually in the long term. In spite of Estonia being a European IT hub and boasting an IT-literate population, online sales are unlikely to grow significantly in the foreseeable future. The country is small and even in capital city, it can take only 30 mins to drive to a shop on the other side of the city. Often installers order goods online but collect them themselves. Online sales of bathroom goods increased significantly in 2020 due to the COVID-19 crisis. However, they are unlikely to stay on the same level when the situation settles.

III.2 EE - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Home Market Coverage		Specific Product Orientation (all figures are in %)													Buying Group Affiliation
				No. of Depots	Geographical Coverage	Specialist						Specialist					Other		
						Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify	
SAINT-GOBAIN DN	OPTIMERA ESTONIA AS (EHITUSE ABC)	DIY/Home Center/Discounter	DIY	12	National		x	x	x	x	x						x		
ESPAK	ESPAK	DIY/Home Center/Discounter	DIY	18	National		x	x	x	x	x		x	x	x	x	x		
BAUHOF	BAUHOF	DIY/Home Center/Discounter	DIY	13	National		x	x	x	x	x						x		
BAUHAUS	BAUHAUS	DIY/Home Center/Discounter	DIY	2	National		x	x	x	x	x		x	x	x	x	x		
KESKO	K-RAUTA	DIY/Home Center/Discounter	DIY	8	National		x	x	x	x	x								
SAINT-GOBAIN	DAHL	Wholesaler/Importer	Heating/bathrooms	4	National		xx	x	x	x									
AHLSELL	FEB	Importer/Retailer	Heating/bathrooms	8	National		xx	xx											
ONNINEN	ONNINEN	Wholesaler/Retailer	Heating/bathrooms	10	National		x	x	x	x							x		
VIPEX	VIPEX	Importer/Wholesaler	Bathrooms	1	National			xx	x								xx		

Source: BRG based on company information and industry interviews

x=marginal activity

xx=substantial activity

xxx=core activity

ESTONIA

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Shower trays have achieved only a relatively low penetration in Estonia, where the bath tradition is firmly cemented in the minds of Estonian consumers, and a significant market only started to emerge during the late 1980s. Bath sales today clearly exceed total shower tray sales volumes. In addition, Estonians tend to follow the Scandinavian pattern and install shower enclosures without shower trays, which explains the relatively low sales of shower trays per annum. There are regional variances and preferences. Nevertheless, sales of shower trays have grown considerably, from a low level, over the last two decades, while sales of baths have fallen during the same period.

Bath sales collapsed at the beginning of the 1990s, as opposed to shower tray sales, due to the strong drop in sales of cast iron baths, but began to recover again in 1994. Overall market growth, in both market segments, continued from the 2000s onwards, albeit at a declining rate, in line with the overall improvements in the country's economy. The lower level of bath sales compared to that of pre-independence (before 1991) is to some extent a reflection of the growing popularity of showers in Estonia. Growth rates of bath sales had already started to slow down in both market segments towards the end of 2008, but sales fell strongly between 2008 and 2012 due to the economic crisis – as it negatively impacted the Estonian construction market and RMI demand.

The Estonian market is represented mainly by sales of steel and synthetic baths and shower trays, with sales of cast iron baths now being in a state of long-term decline. Cast iron is dying out as a bath material, although some pieces will certainly continue to be sold as luxury items. However, their heavy weight makes them impractical when compared to synthetic or even steel baths.

Synthetic is today the most popular type of material for both baths and shower trays in Estonia. Nevertheless, sales of synthetic baths only overtook sales of steel baths in 2013. There are two large domestic manufacturers of synthetic baths and shower trays in the country, namely BALTECO and AQUATOR. Although steel products are cheaper than synthetic ones, the growing purchasing power of the population is the reason that consumers gradually give their preference to synthetic materials, driven by their simple installation, fashionable shapes and designs.

Steel baths, as well as shower trays, are usually chosen for the RMI segment to replace the old Soviet-style cast iron baths. The market share of steel baths is predicted to decline as acrylic becomes more accessible in terms of cost and quality.

Unlike other hydrotherapy products, the hydromassage bath market is dominated by domestic producers. In fact, the attitude of the Estonian public towards this product is much more influenced by Finnish consumers than by consumers in the other Baltic States. The hydromassage bath market is dominated by local

manufacturers.

The very high proportion of hydromassage bath sales can be explained by the popularity of hydrotherapy in Estonia and by the low cost of hydromassage baths offered by the market leader, the domestic producer BALTECO. During the 1990s, Estonia developed an unexpectedly large market for hydromassage baths.

Due to the obvious preference for hydromassage baths that Estonian consumers demonstrate, any room in the market for combined products is rather small. The comfort of having a shower integrated into a hydromassage bath does not seem to justify the high difference in price between the two products.

Recent Market Trends

The overall Estonian bath and shower tray market recorded growth in 2019, benefitting from the increase in new housing completions. The overall market is growing, and the healthy economy has positively affected bath and shower tray replacement demand. The market is not yet mature, and growing disposable income has affected sales positively. Due to increased purchasing power, people started purchasing more expensive and better-quality goods.

Sales of cast iron baths and steel / cast iron shower trays almost stagnated. Sales of steel baths remained stable, while in the meantime, sales of synthetic baths and shower trays also grew in 2019. This mixed pattern is attributed to the fact that there is a shift from old-style steel models, to more modern synthetic ones. The cast iron bath segment is gradually moving towards luxury models and away from cheap replacement baths.

The overall hydromassage market has recorded growth following the upwards construction trend. Replacement installations have decreased. It seems the market is going through an adjustment to changing consumer preferences. Some consumers had too-high expectations for hydrotherapy products, not realising that they require proper maintenance. Others have a busy life and cannot enjoy hydrotherapy products. As a result, they often replace hydromassage baths with regular synthetic baths.

Prices and Market Values

The average prices, at MSP, increased in 2019 due to a jump in prices of most of the products. Prices increased predominantly following the inflation rate (due to increasing labour costs and a shift to higher-quality goods); however, the growth was not the same for all models. Cast iron and synthetic baths recorded the most significant growth in prices. Similar price increases were evident in the shower tray segment.

The majority of sales of synthetic baths are in the middle price segment. Along with the economic growth and growing purchasing power, some consumers have switched from the lower to the upper price segments. Also, the share of online

platforms is gradually increasing, thus putting pressure on prices.

Most manufacturers have slightly increased prices for hydromassage baths. These are mainly sold in the economy/lower and middle price segments, with only a few hundred sold in the upper/luxury segment due to the significantly higher prices.

New Housing

The sales volumes of baths and shower trays into the new housing segment have increased, due to growth in completions in 2019. Synthetic baths and shower trays dominate the new build end-use segment. Steel baths are also installed to some extent in the segment, but are mainly used in non-luxury housing. Synthetic models are easier to install and offer more sizes and shapes when compared to steel and cast iron models. Installers also give preference to this product, as it is light and easily installed. Usually, either one shower enclosure with a shower tray or bath is installed per flat and house. However, in the case of luxury dwellings more than one system is installed, although these kinds of installations are rare. Shower enclosures are usually installed with trays, and are sometimes tiled.

In 2019, the overall picture did not change significantly and hydrotherapy baths were still the most demanded product in this sector. It is estimated that the share of new housing should stabilise (at around 1,400-1,500 pieces) in the coming years.

Housing RMI

The RMI segment accounted for the vast majority of sales in 2019. Renovation demand was mainly satisfied by steel and synthetic baths, leaving a relatively low share to cast iron models. In the shower trays market, synthetic trays had the absolute advantage, as these models prove to give better quality for money than steel / cast iron shower trays, and their popularity is increasing in Estonia. Sales of shower trays and baths increased in 2019. The bath market is believed to be close to saturation as it is losing position to shower enclosures.

The housing RMI segment for hydromassage baths recorded a minimal fall in 2019. Hydromassage baths are mostly used in this segment for like-for-like replacement, and are also renovated the most among all hydrotherapy products.

As a direct impact of the COVID-19 crisis, the market is expected to fall in 2020.

Non-Housing

In 2019, sales to the non-housing segment remained small when compared to those of the housing RMI segment. Baths accounted for the majority of sales, and shower trays had a smaller share. The market is estimated to grow in long term. The levels are predominantly dependent on the demand coming from hotels and hospitals (new completions and renovations). Baths are mainly installed either for replacement, while shower trays installed with shower enclosures are more common in city hotels.

Supply Structure

Western manufacturers are well-represented in the bath and shower tray market in Estonia. The steel baths market is in the hands of ROCA and KALDEWEI.

Cast iron baths are the least popular in Estonia, and are mainly sold as niche products. The product remains popular in the upper price segment.

The top Estonian conventional and hydromassage bath producer, BALTECO, is still firmly holding its leading position among local manufacturers in its home market in the synthetic bath segment, followed by RAVAK, from the Czech Republic.

The synthetic shower tray segment is dominated by BALTECO, thanks to its brand recognition, and followed by DUSCHY and RAVAK. The rest of the market remains fragmented.

Two domestic hydrotherapy manufacturers dominate the Estonian market, leaving little room for more expensive imports. The hydromassage bath market leader remains BALTECO, capturing around half of the market in terms of volumes. More than 30 companies distribute BALTECO in Estonia; the largest among them are EHITUSE ABC and FEB. The second player in the market is AQUATOR, which also has marginal exports to Scandinavia.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The COVID-19 crisis started affecting Estonia in March and led to a two-month lockdown. Constructions and non-essential commercial activities were suspended. Individual housing construction was not affected much and was predominantly ongoing. Even though installers did not have a shortage of bathroom appliances, households were very cautious in allowing installers to enter the property. Installation/replacement activities also declined similar to construction activities. Lockdown lasted for about two months and the country started gradually reopening by the end of May as the number of infected people came down and became more controllable.

The government was able to support small businesses based on its financial resources. Considering that Estonia is an IT hub, businesses quickly adjusted to a new reality and retailers successfully switched to online sales.

The construction and replacement segments should leave a significant imprint on the bathroom market in 2020. Some projects were put on hold due to lockdown

measures. Some developers realise that they would not be able to sell dwellings profitably and may freeze projects. Some developers would not be able to sell completed dwellings (predominantly in the economy segment) and finally, some households would not have enough savings left to renovate the dwelling. The current crisis will negatively affect the property prices. At this stage, it is difficult to evaluate whether new buyers commit themselves to purchase of new dwellings and consequently purchase and installations of bathroom appliances or would put on hold expensive purchases until the market stabilises or there is a fall in property prices.

In terms of replacement, some end users are likely to postpone 'big ticket' purchases and save money. Only necessary replacements will take place on the market and most consumers will be largely driven by prices rather than quality. Some households may opt to purchase the lowest priced appliances as a temporary solution.

The overall bath and shower tray market is forecast to decline in 2020 due to the lockdown measures, decreased purchasing power of the general population and an expected fall in replacement activity. Unemployment is likely to increase and real wages of the population to decline. The resumption of KREDEX programme should prevent sales from collapse. The overall bathroom market is forecast to remain under significant pressure and expected to only start recovering in the second half of 2022. Demand from the RMI segment should increase, due to the previously postponed replacement decisions. It is likely that housing construction would decrease in 2021-2022. With the high degree of certainty some new build flats would not be sold in 2020. As a result, start of some new projects will be postponed to 2021 and 2022.

Sales of synthetic baths are expected to have the highest growth rate among all bath models in the long term. Synthetic models are becoming more popular and are predominantly installed in modern housing and new completions, as long as they provide better quality for price than cast iron models. Steel baths are still perceived as a reliable and cheap alternative, and are used for the replacement of steel and the displacement of cast iron models.

The shower tray market is far from saturation. BRG expects the bath and shower tray markets to continue to grow in long term, supported by new housing completions and replacement demand. The cast iron segment is forecast to stabilise and become a niche product, while the steel bath segment is predicted to fall very slowly. On the other hand, sales of synthetic baths will push the bath market forward. The average price gap between synthetic and steel baths is expected to shrink, making synthetic models even more appealing to Estonian consumers.

It is estimated that the overall shower tray market should record healthy growth in the long term, driven by the synthetic shower tray sector in the new housing and replacement segments. The steel shower tray market is expected to fall. The demand from replacement should remain the major market driver.

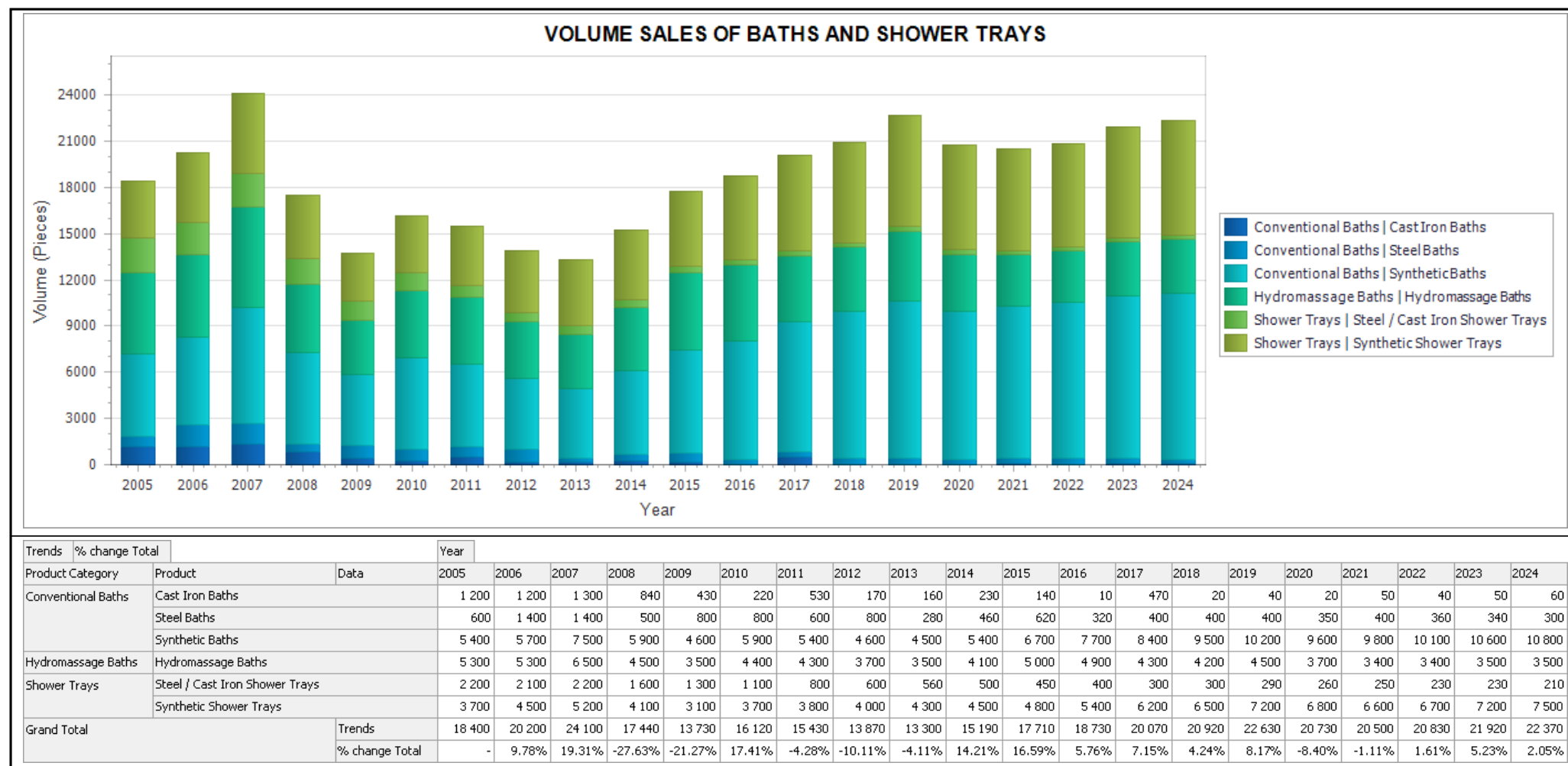
The bath market is very sensitive to the general economic climate, while the shower tray market depends more on the product price. However, both aspects are important for both markets. The increasing purchasing power and higher consumer expectations should push the market forward.

The forecast for the hydrotherapy market should remain negative in the short term. It seems that after healthy growth in recent years, consumer preferences are gradually changing. Expectations of some end users have not been met. As a result, the market is adjusting to a new environment. The housing market is likely to continue to fall in the short term, and some households may replace hydromassage baths with synthetic models. There is no substitution trend within the hydrotherapy market. It is estimated that the hydrotherapy products market should continue to decline from 2020 onward.

The overall bath and shower tray market will be driven by the replacement segment in the long run. Average prices are mainly forecast to remain under pressure due to severe competition from Asian products, making them more affordable for consumers. The market is sensitive to the general macroeconomic situation and purchasing power, which mostly affects consumers' decision making. Demand for hydrotherapy products also depends on new construction activity.

1.2 Historical Trends and Forecasts

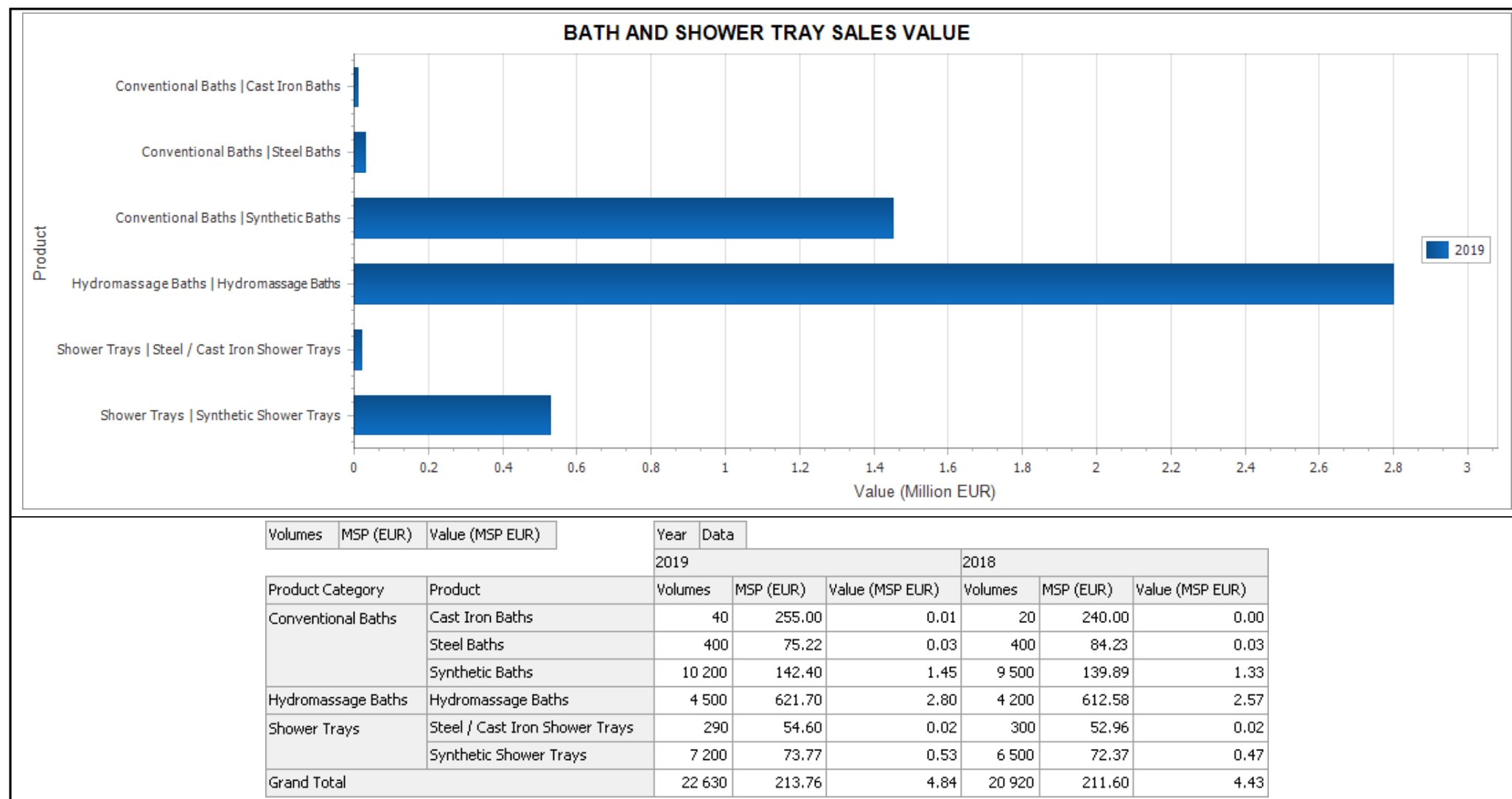
EE - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

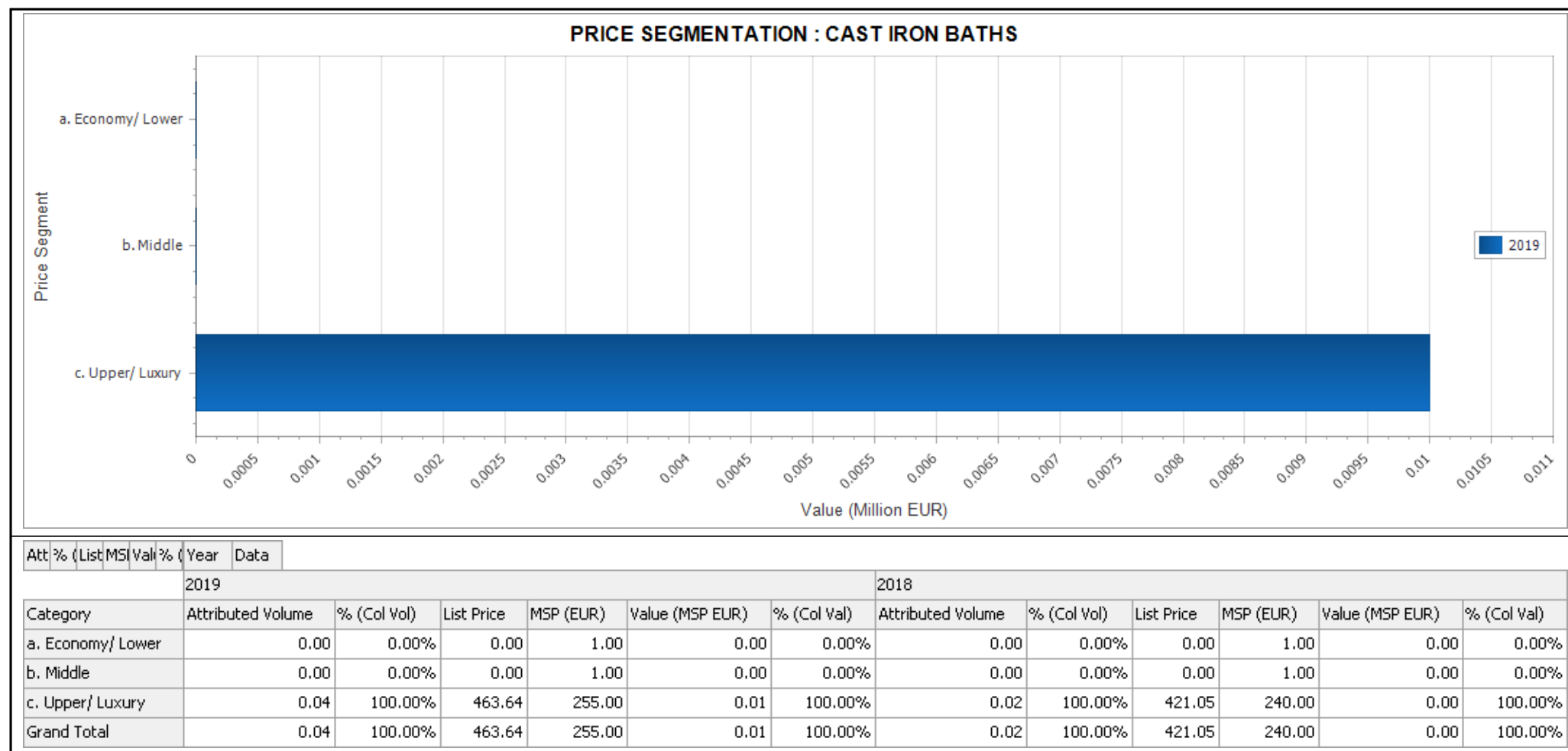
EE - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Price Segmentation : Cast Iron Baths

EE - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

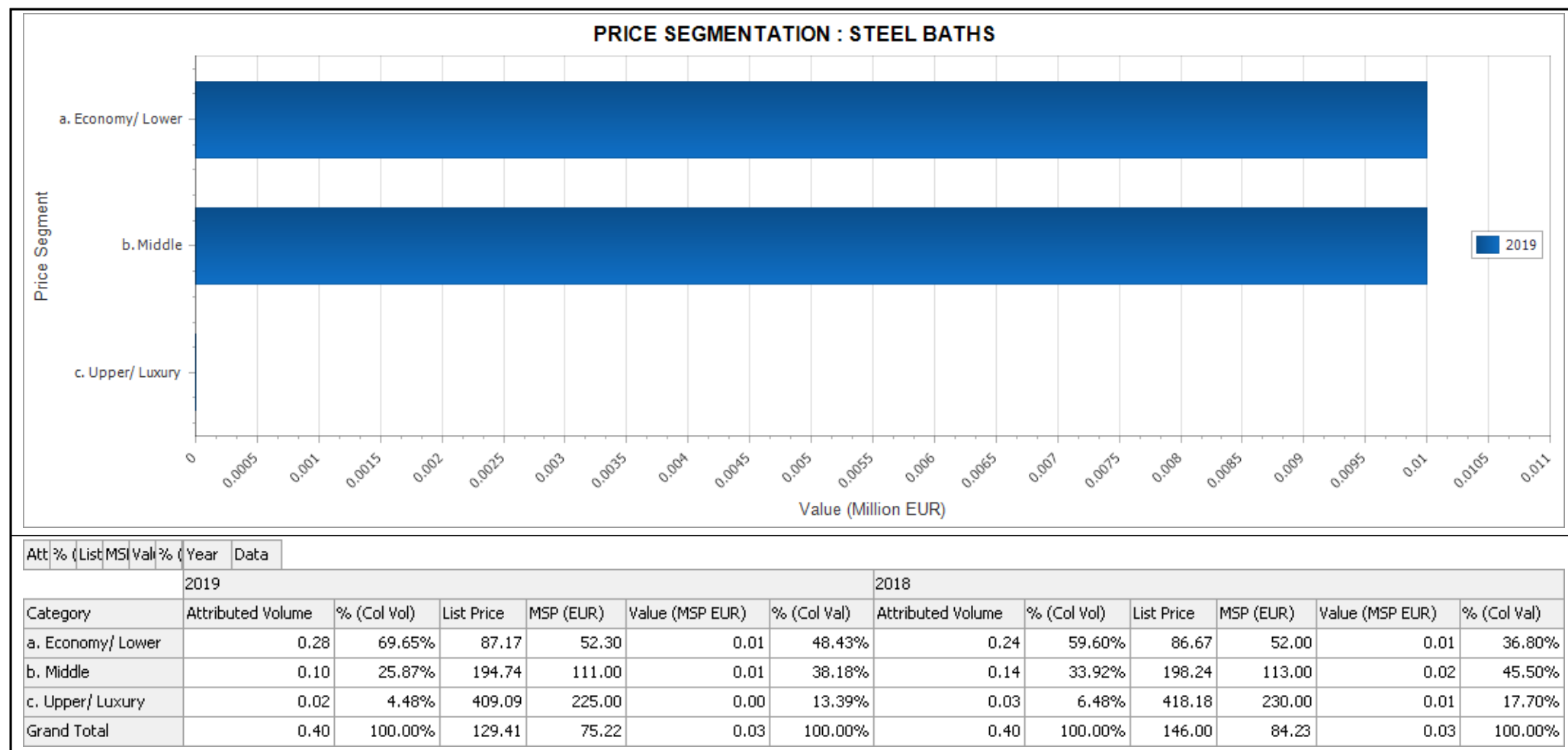


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.3 Price Segmentation : Steel Baths

EE - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

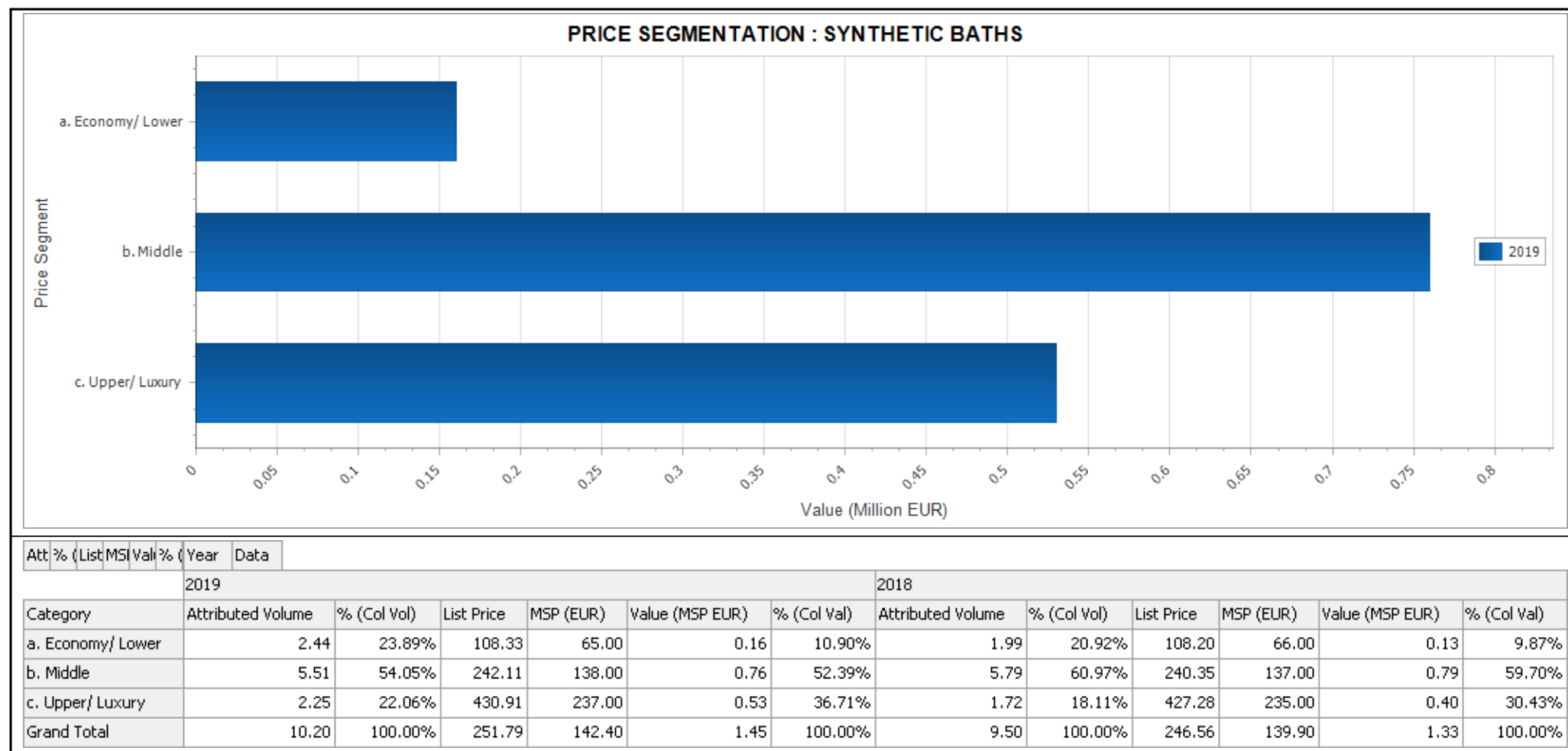


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.3.4 Price Segmentation : Synthetic Baths

EE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

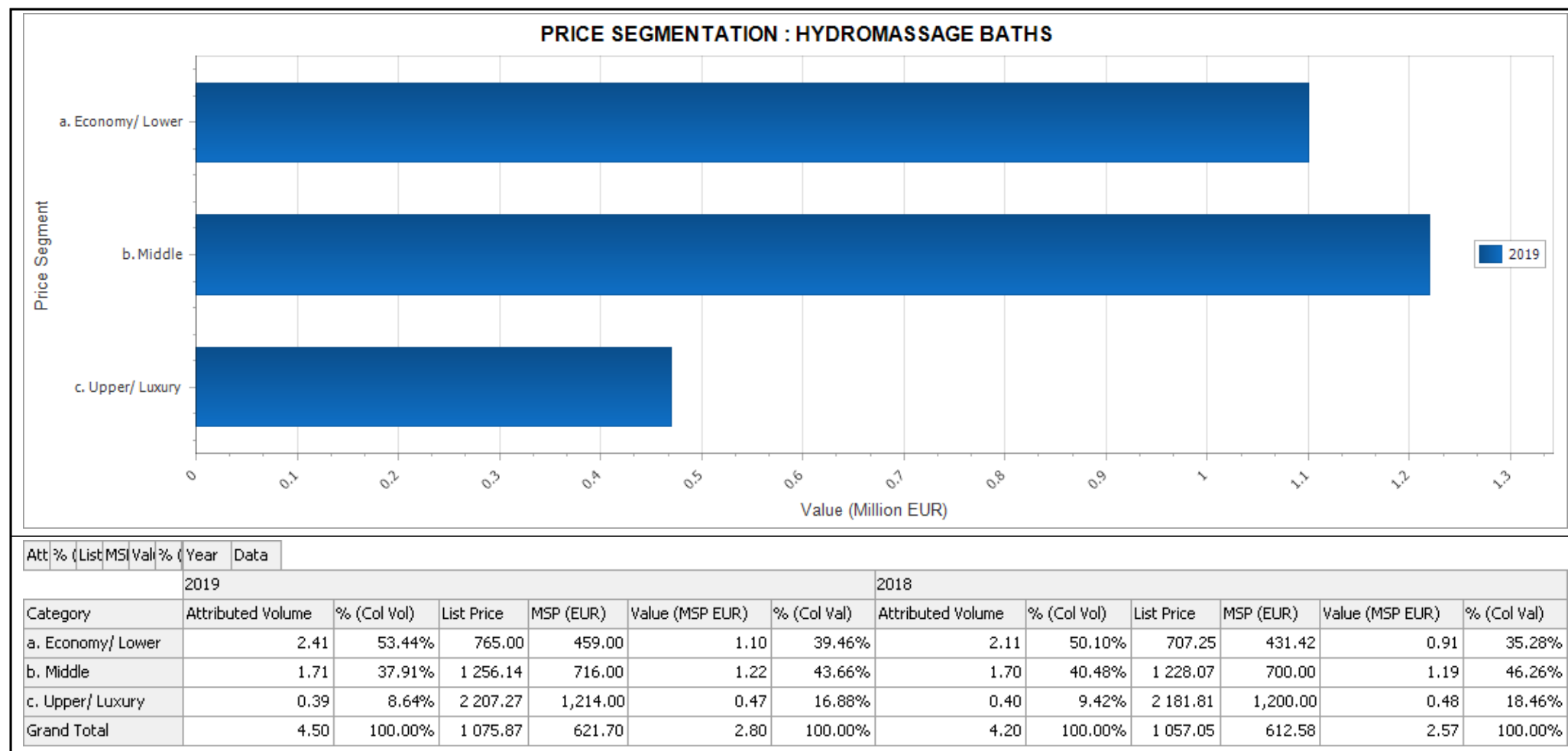


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.5 Price Segmentation : Hydromassage Baths

EE - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

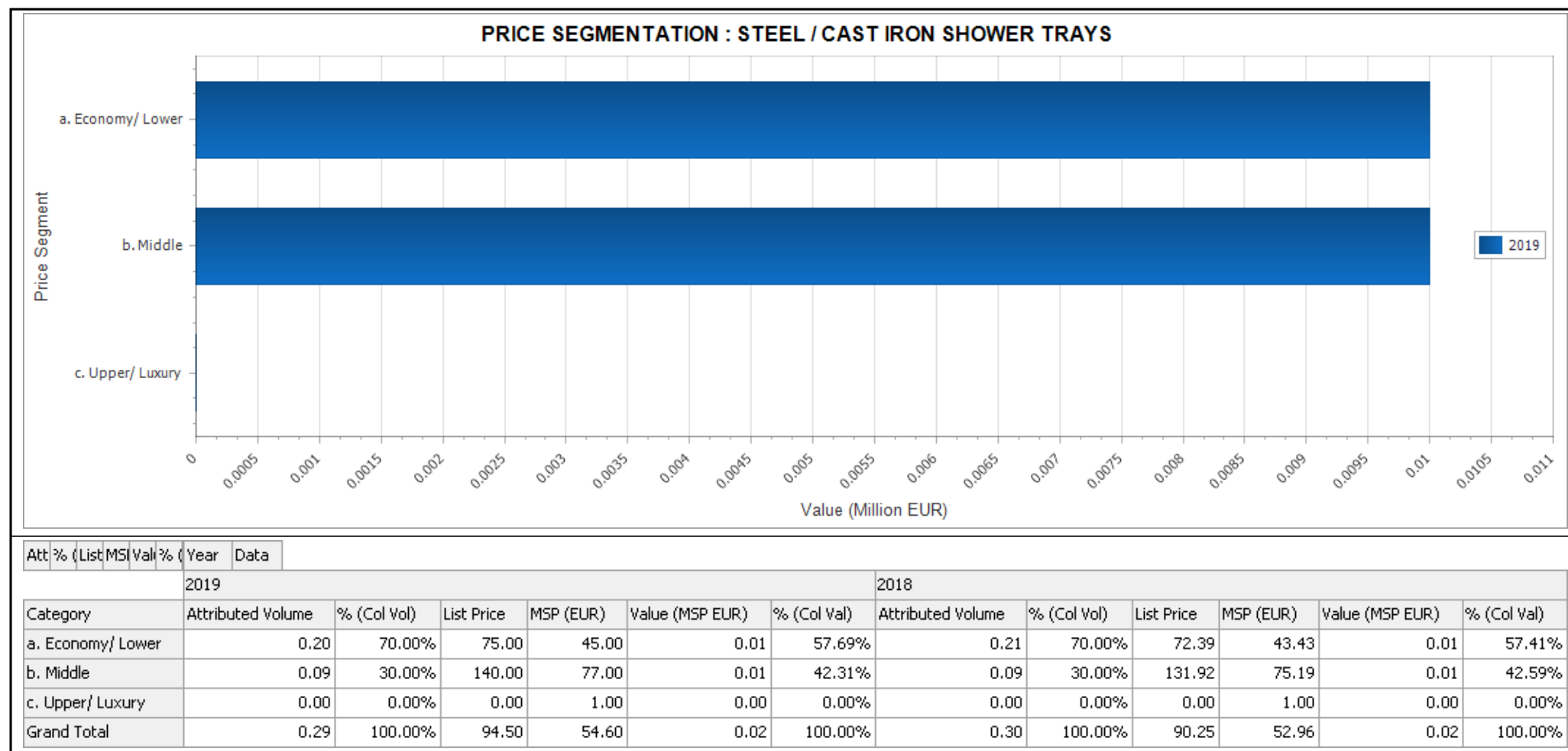


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

1.3.6 Price Segmentation : Steel/ Cast Iron Shower Trays

EE - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

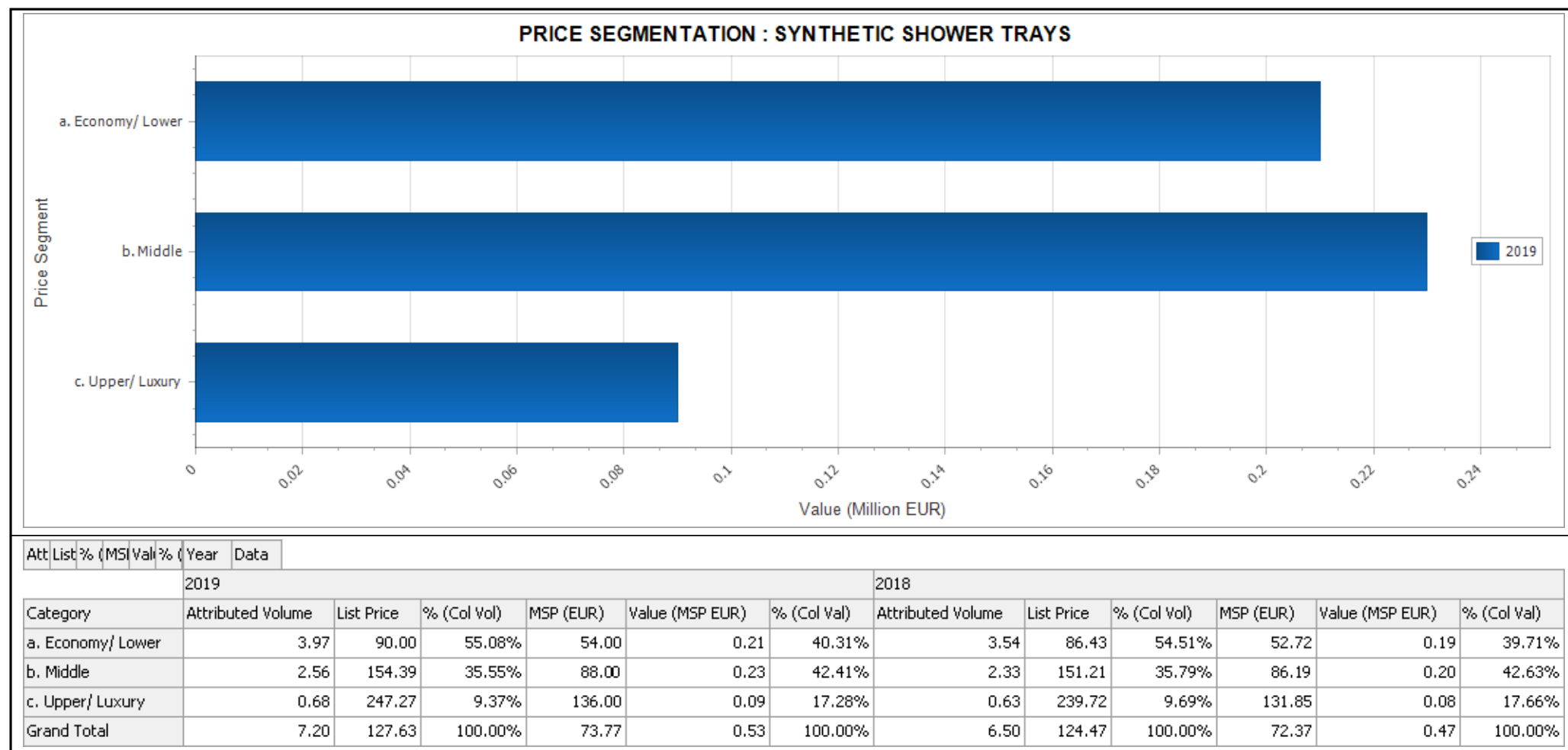


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.3.7 Price Segmentation : Synthetic Shower Trays

EE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

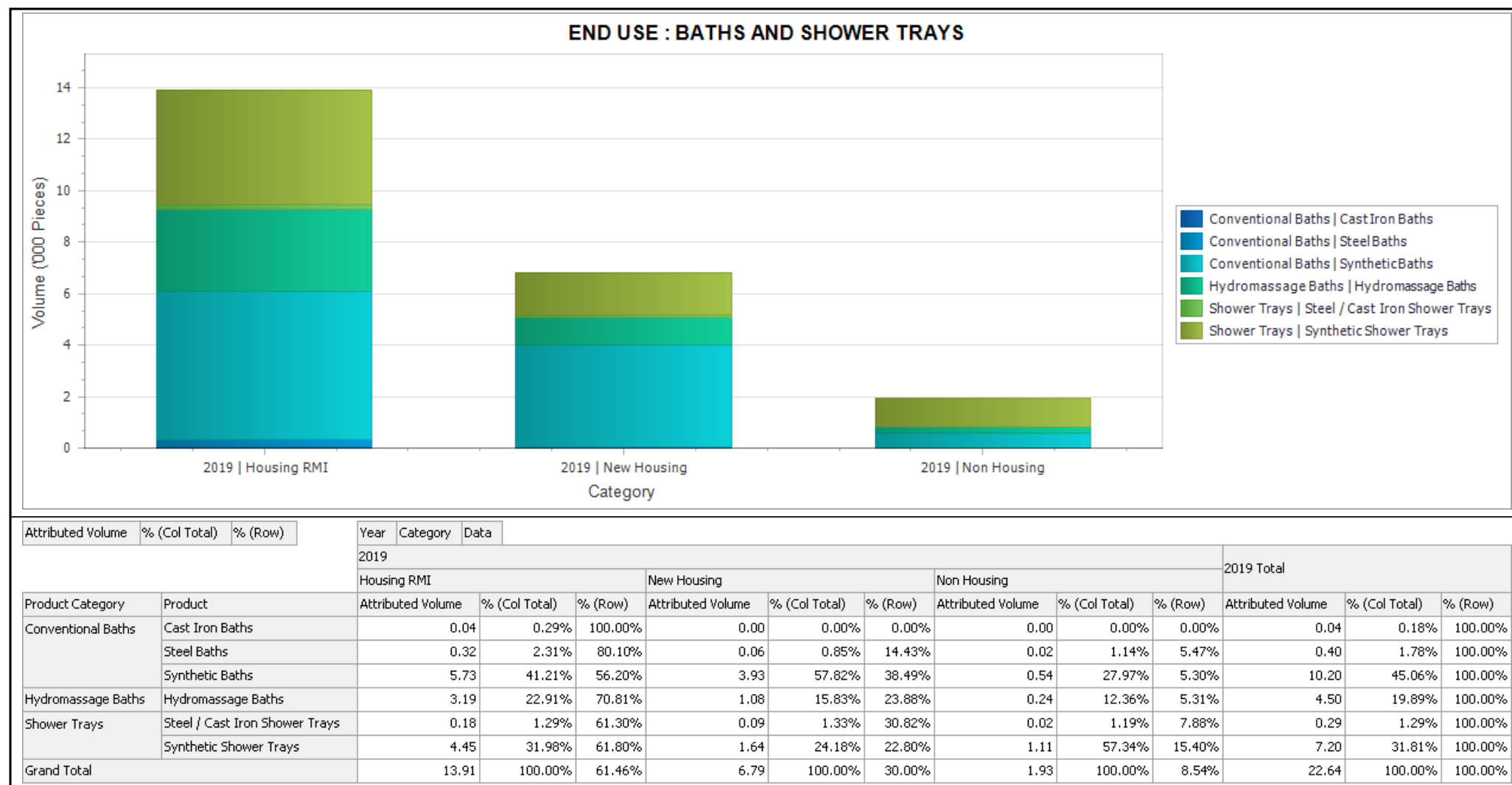


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

1.4.1 End Use : Base Year

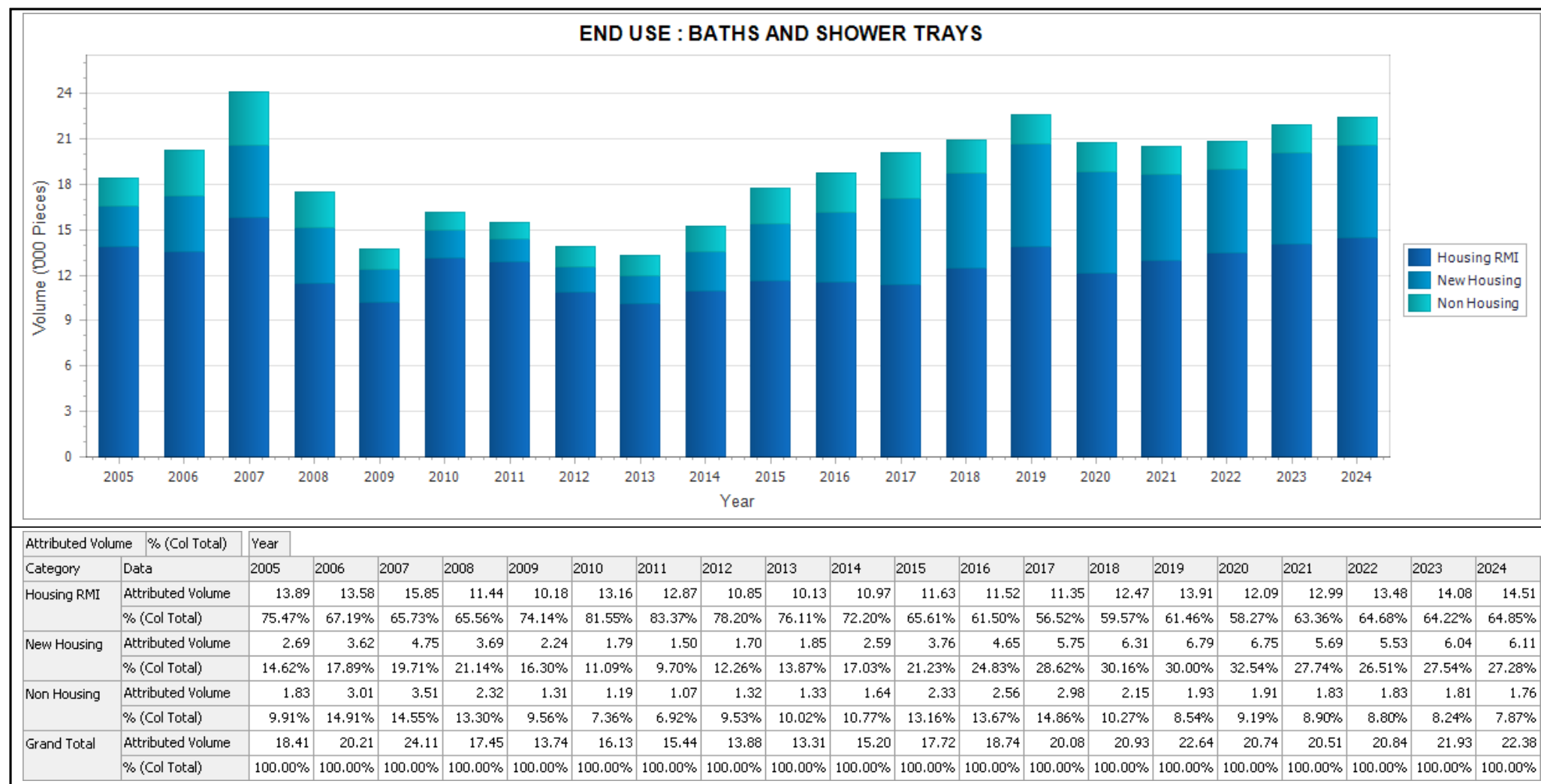
EE - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

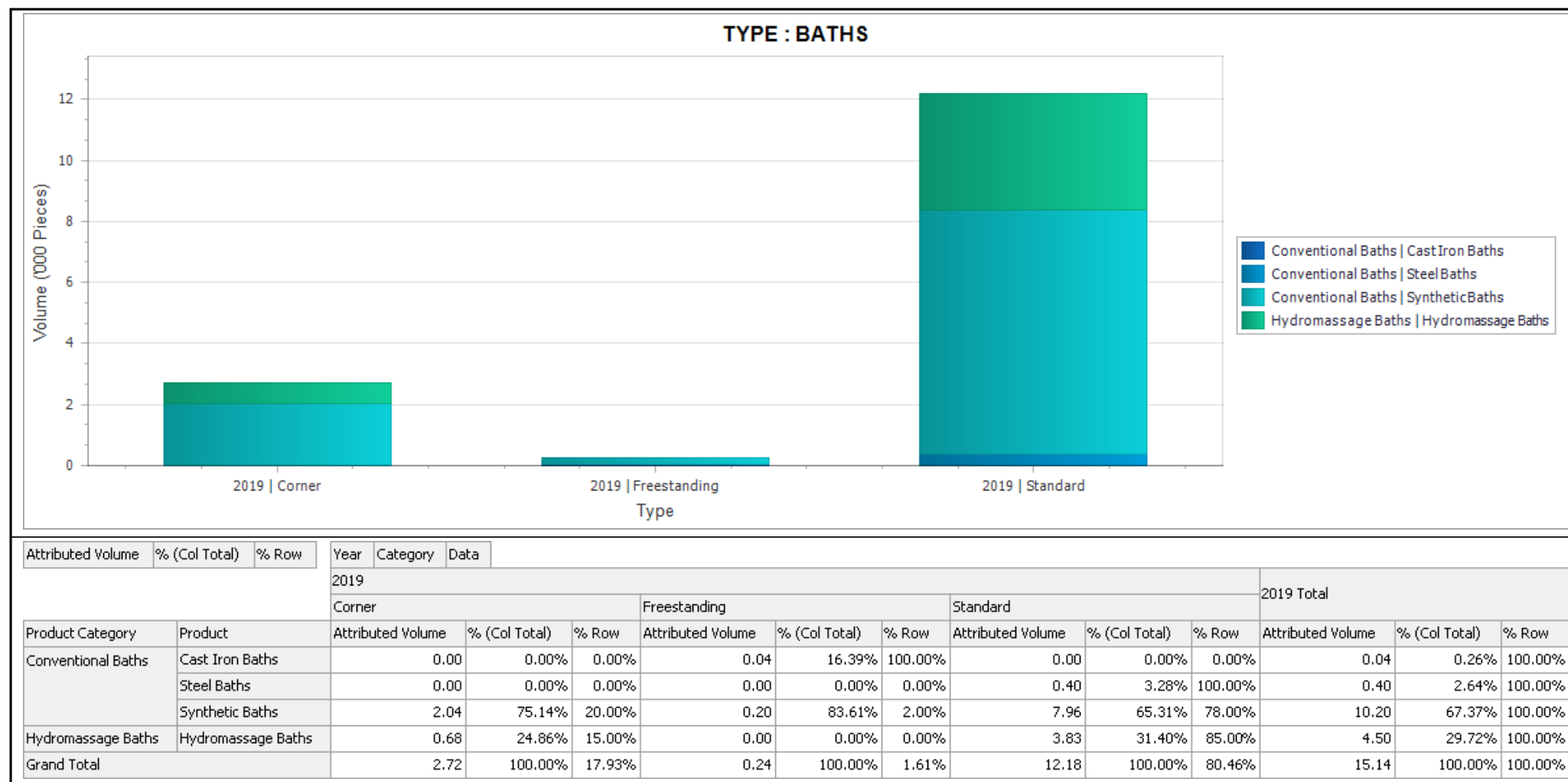
EE - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

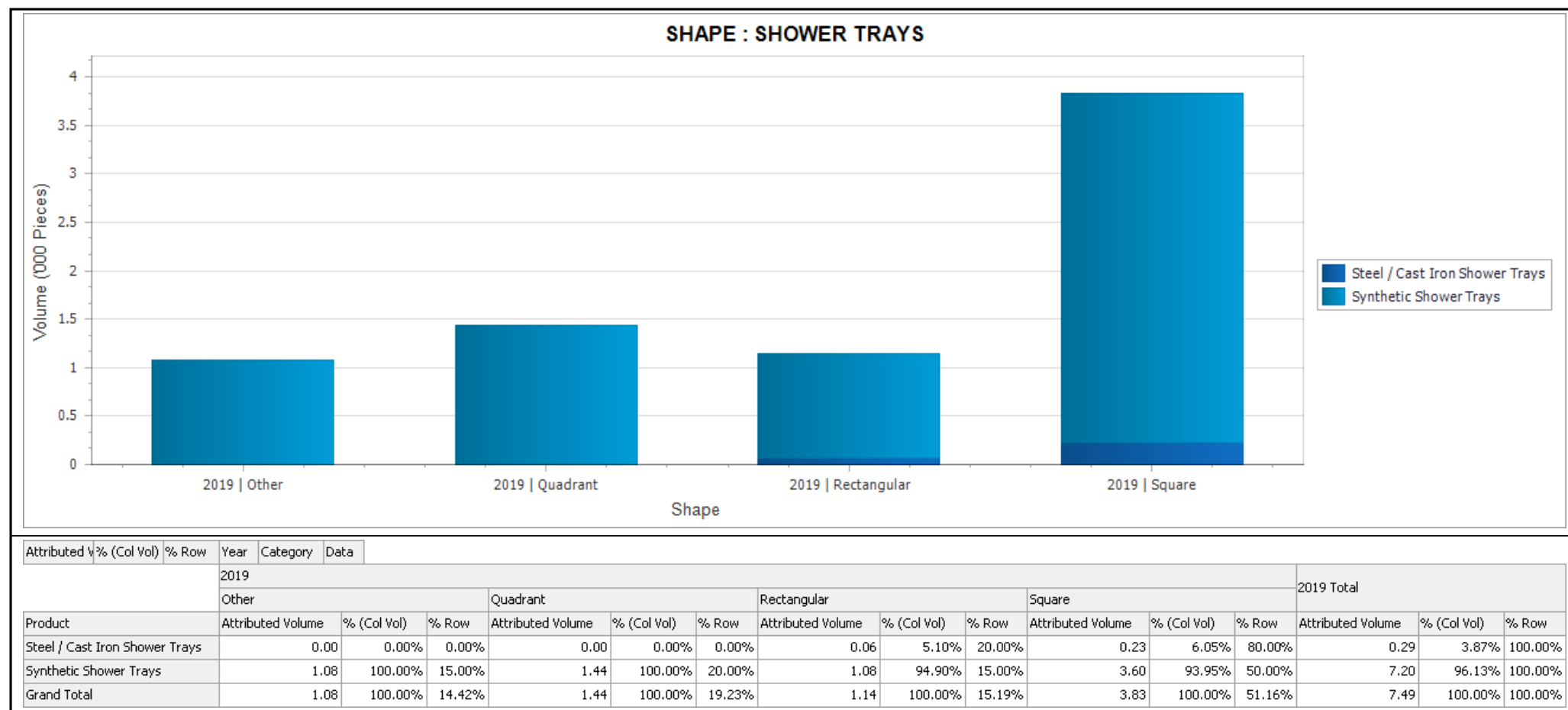
EE - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

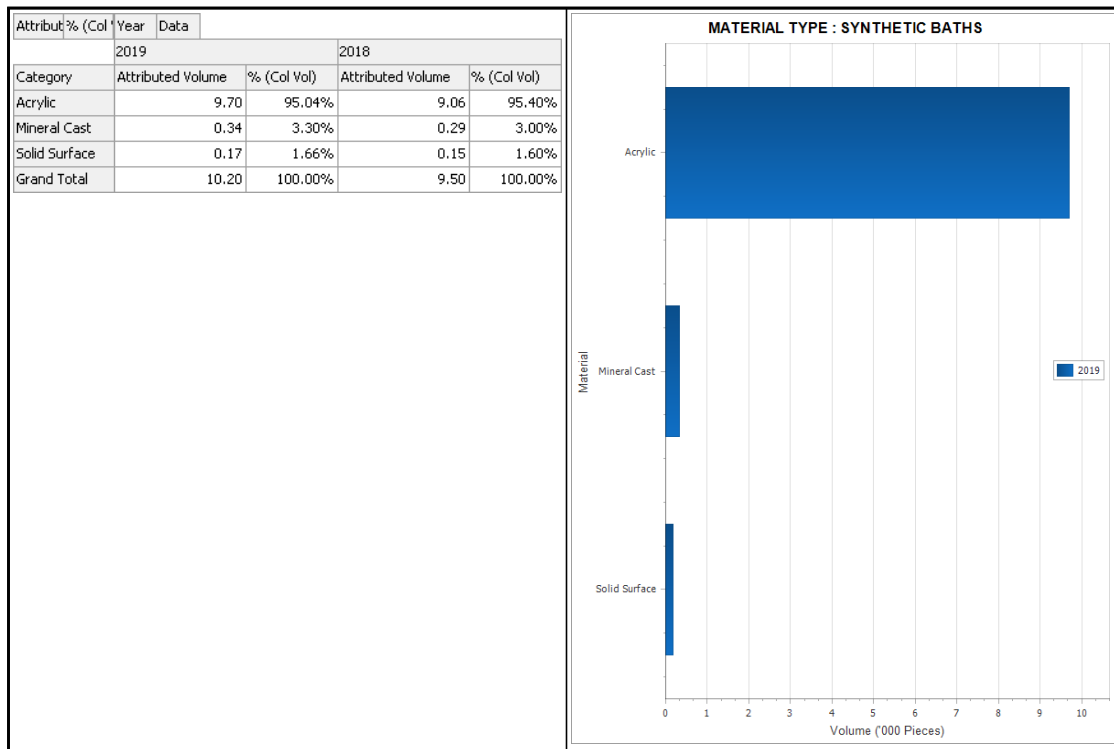
EE - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

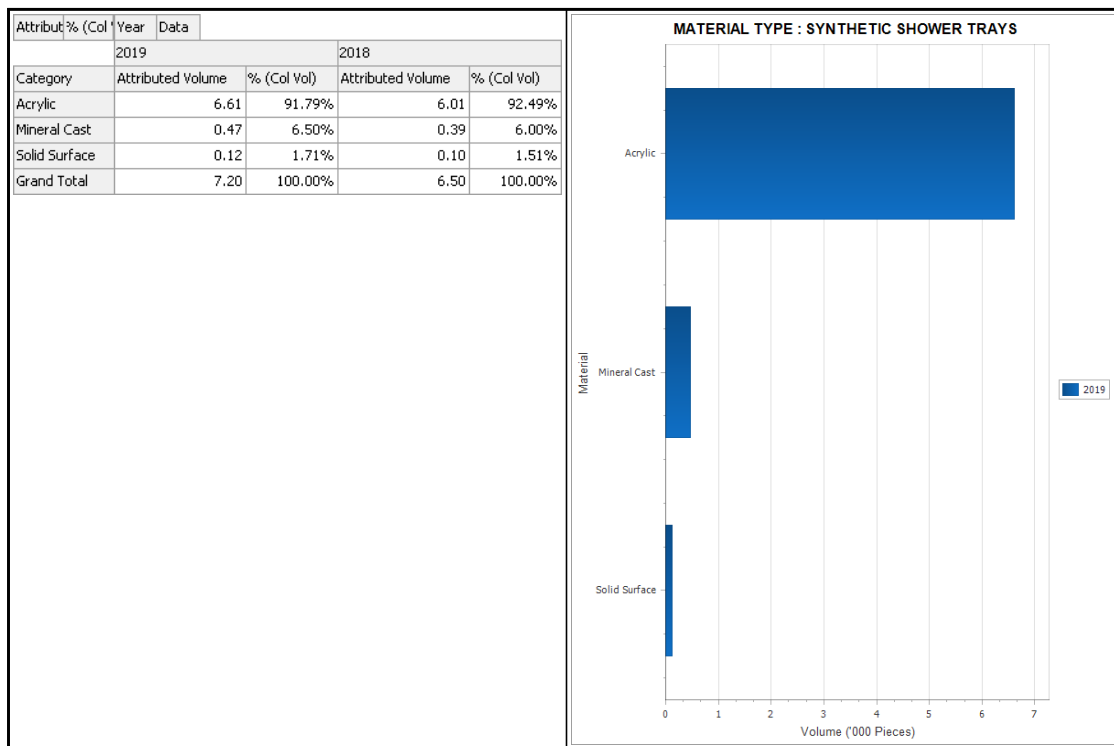
EE - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

1.4.6 Sales by Material : Synthetic Shower Trays

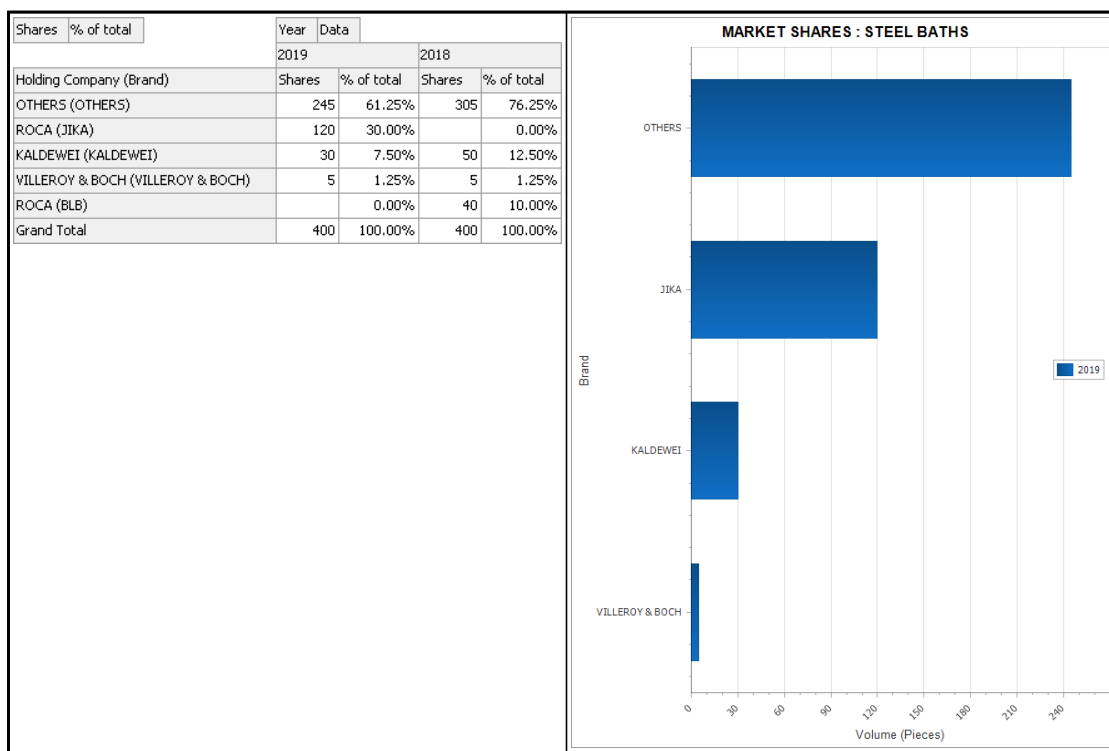
EE - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

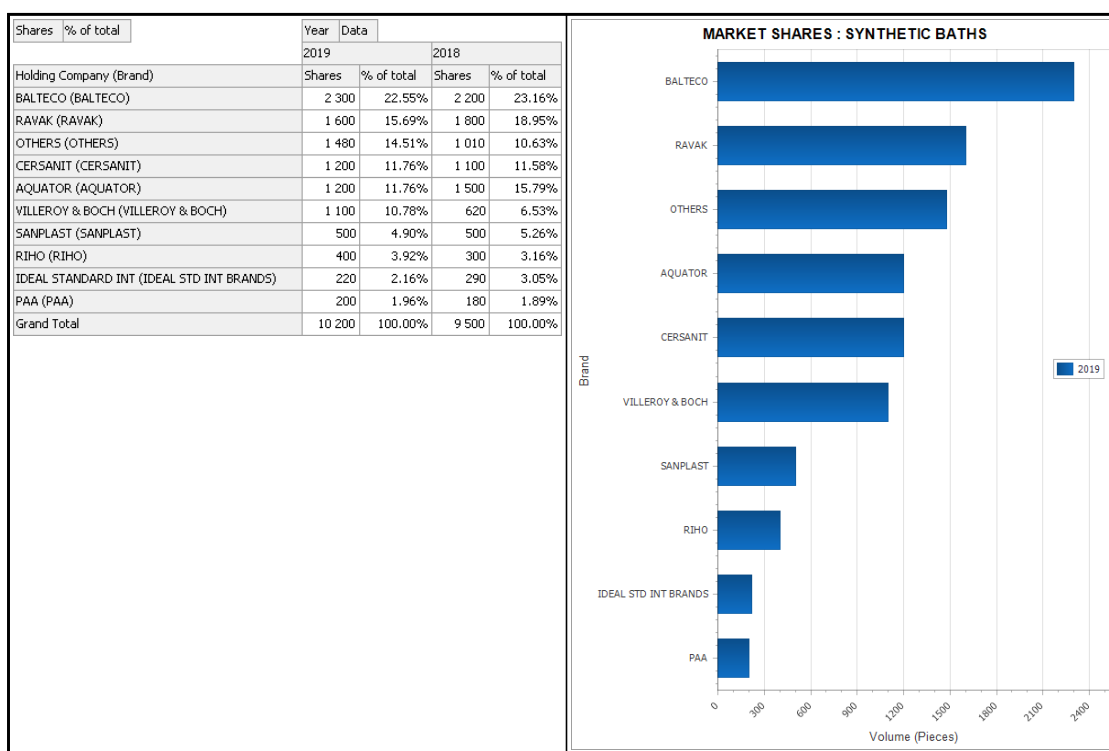
EE - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

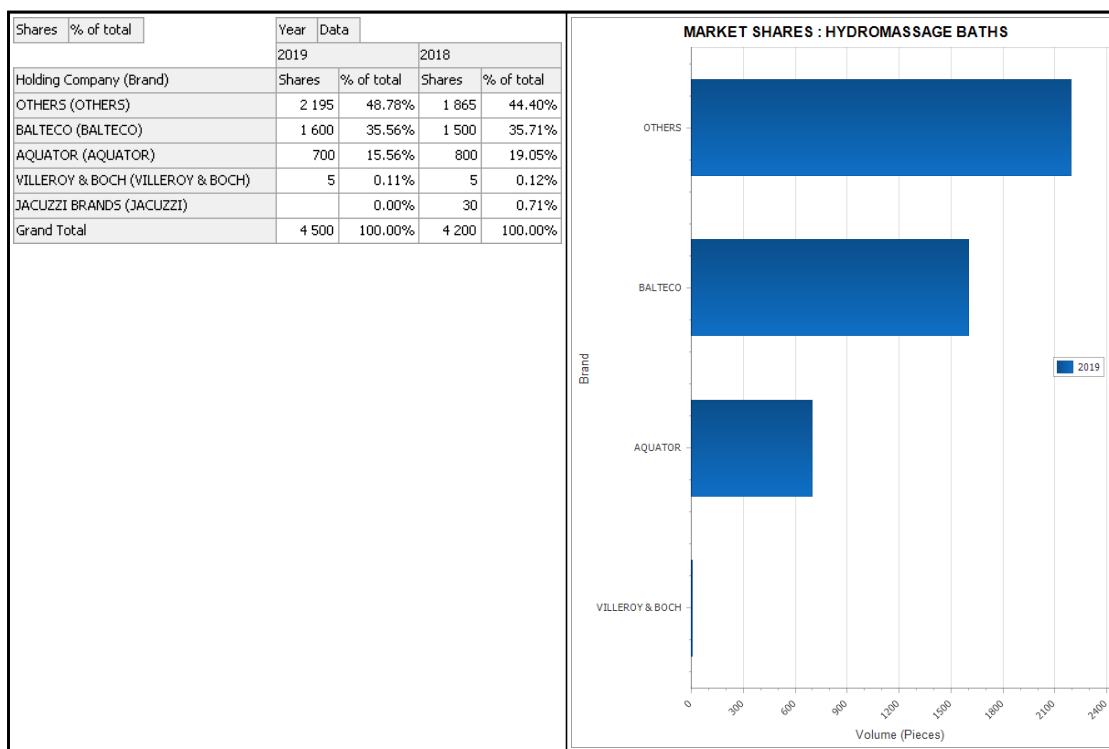
EE - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

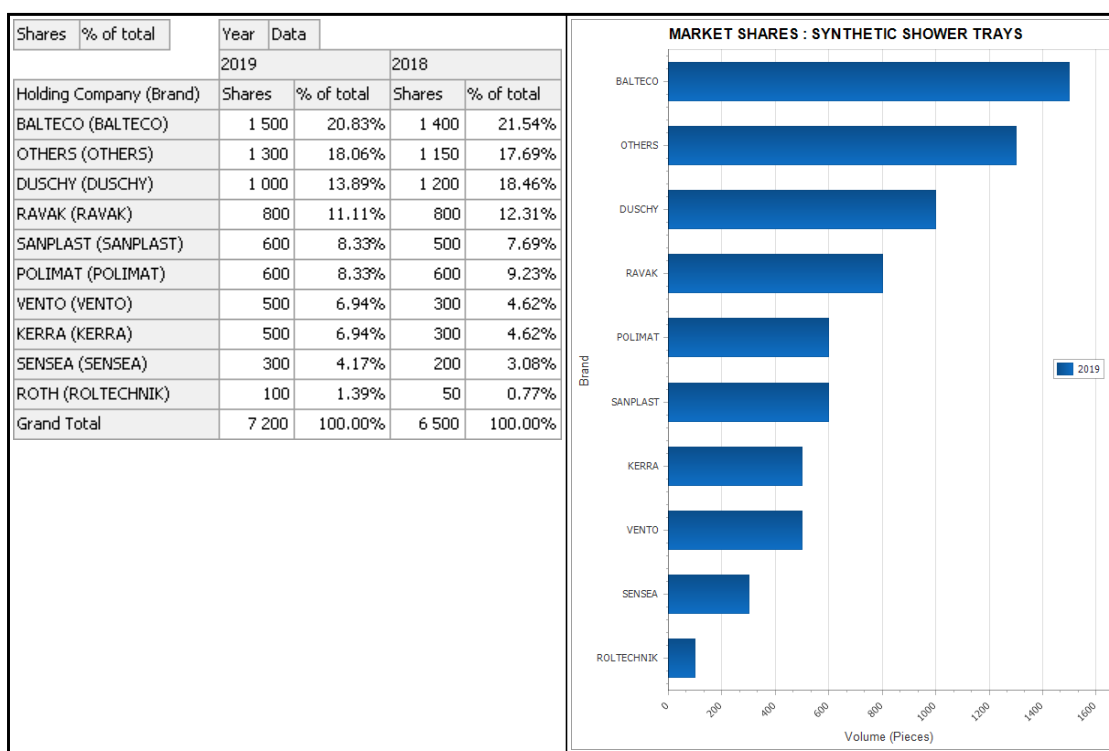
EE - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Synthetic Shower Trays

EE - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 EE - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Lithuania	2	47.3%	4	23.5%	0	6.0%	1	8.3%
Poland	1	23.6%	2	11.8%	0	0.0%	0	0.0%
Portugal	1	17.2%	4	23.5%	0	5.6%	1	8.3%
Italy	0	6.0%	3	17.6%	0	0.0%	0	0.0%
Germany	0	5.9%	4	23.5%	0	4.9%	1	8.3%
OTHERS	0	0.0%	0	0.0%	3	83.4%	9	75.0%
Total	5	100.0%	17	100.0%	3	100.0%	12	100.0%

Source : Trademap

1.6.2 EE - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Russian Federation	0	100.0%	3	100.0%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	0	0.0%	1	0.0%
Total	0	100.0%	3	100.0%	0	0.0%	1	0.0%

Source : Trademap

1.6.3 EE - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Lithuania	4	36.6%	10	17.9%	4	24.6%	9	13.6%
Czech Republic	3	27.6%	7	12.5%	0	1.7%	1	1.5%
Turkey	2	19.4%	12	21.4%	0	0.0%	0	0.0%
Germany	1	5.5%	13	23.2%	2	12.2%	25	37.9%
Latvia	0	2.4%	1	1.8%	0	0.8%	1	1.5%
Poland	0	2.0%	2	3.6%	0	0.6%	1	1.5%
India	0	1.6%	3	5.4%	0	0.0%	0	0.0%
France	0	1.5%	5	8.9%	0	0.8%	4	6.1%
Ukraine	0	1.4%	1	1.8%	1	6.2%	2	3.0%
OTHERS	0	1.8%	2	3.6%	8	53.2%	23	34.8%
Total	10	100.0%	56	100.0%	16	100.0%	66	100.0%

Source : Trademap

1.6.4 EE - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Latvia	1	92.9%	4	57.1%	0	67.4%	4	80.0%
Lithuania	0	6.9%	3	42.9%	0	0.0%	0	0.0%
OTHERS	0	0.2%	0	0.0%	0	32.6%	1	20.0%
Total	1	100.0%	7	100.0%	1	100.0%	5	100.0%

Source : Trademap

1.6.5 EE - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Lithuania	148	30.0%	728	22.2%	53	11.8%	296	10.1%
China	109	22.0%	261	8.0%	103	22.7%	240	8.2%
Germany	74	15.0%	1 031	31.4%	58	12.9%	757	25.8%
Latvia	62	12.6%	347	10.6%	35	7.7%	104	3.5%
Poland	48	9.7%	227	6.9%	84	18.6%	361	12.3%
Austria	8	1.6%	152	4.6%	8	1.7%	184	6.3%
Turkey	8	1.5%	29	0.9%	14	3.2%	70	2.4%
Finland	8	1.5%	79	2.4%	2	0.3%	36	1.2%
Netherlands	7	1.5%	85	2.6%	2	0.5%	37	1.3%
Bulgaria	6	1.2%	27	0.8%	0	0.0%	0	0.0%
OTHERS	17	3.3%	314	9.6%	93	20.6%	848	28.9%
Total	494	100.0%	3 280	100.0%	452	100.0%	2 933	100.0%

Source : Trademap

1.6.6 EE - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Finland	145	47.0%	637	36.4%	120	36.6%	491	30.2%
Sweden	44	14.2%	318	18.2%	46	14.0%	324	19.9%
Germany	44	14.1%	230	13.1%	75	23.0%	284	17.4%
Latvia	19	6.1%	116	6.6%	10	3.0%	30	1.8%
Russian Federation	15	4.8%	104	5.9%	32	9.9%	220	13.5%
Belgium	12	3.8%	97	5.5%	0	0.0%	0	0.0%
Romania	5	1.7%	38	2.2%	3	0.9%	16	1.0%
Georgia	4	1.5%	39	2.2%	12	3.6%	97	6.0%
Norway	4	1.5%	50	2.9%	5	1.5%	47	2.9%
Lithuania	4	1.4%	38	2.2%	0	0.0%	0	0.0%
Ukraine	4	1.2%	21	1.2%	4	1.3%	25	1.5%
OTHERS	9	2.9%	62	3.5%	20	6.2%	94	5.8%
Total	309	100.0%	1 750	100.0%	328	100.0%	1 628	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
EE - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.4%
	Wholesalers / Merchants
	78.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	4.0%	12.2%	14.0%	9.3%	26.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.0%		26.2%		35.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	10.0%	0.0%	0.0%	10.3%
Installers				
20.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	22.4%	4.0%	26.2%	25.0%	16.5%	0.0%	2.0%	0.0%	0.0%	0.0%	3.8%			
	Residential						Non-Residential								
	94.2%						5.8%								
New Build				Residential RMI				New Build				Non-Residential RMI			
36.8%				57.4%				1.4%				4.4%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
30.0%		6.8%		3.0%		54.4%		1.4%		0.0%		3.5%		0.9%	

1.7.2 Route to Market: Baths
EE - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	68.0%
	Wholesalers / Merchants
	68.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	6.0%	16.0%	12.0%	16.0%	24.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.0%		28.0%		40.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	10.0%	0.0%	0.0%	14.0%
Installers				
24.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	14.0%	6.0%	28.0%	26.0%	21.1%	0.0%	2.0%	0.0%	0.0%	0.0%	2.9%			
	Residential						Non-Residential								
	95.1%						4.9%								
New Build				Residential RMI				New Build				Non-Residential RMI			
33.5%				61.6%				1.2%				3.7%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
29.0%		4.5%		3.0%		58.6%		1.2%		0.0%		3.0%		0.7%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.3 Route to Market - Consolidated View : Baths

EE - ESTIMATED DISTRIBUTION FOR BATHS : 2019

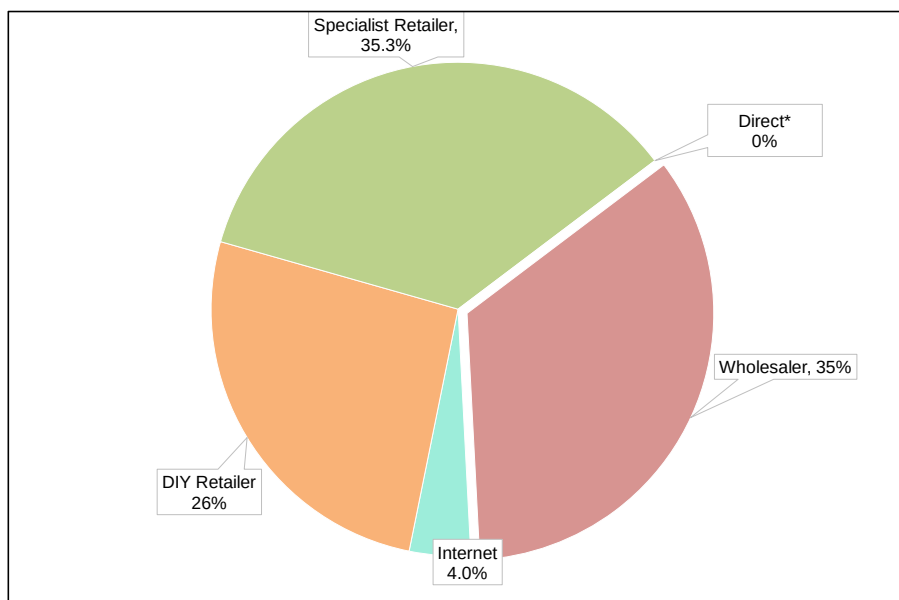
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
34.4%	4.0%	26.2%	35.3%	0.0%	33.0%	4.9%	61.2%	0.9%
100%					37.9%		62.1%	

1.7.4 Route to Market - Consolidated View : Baths

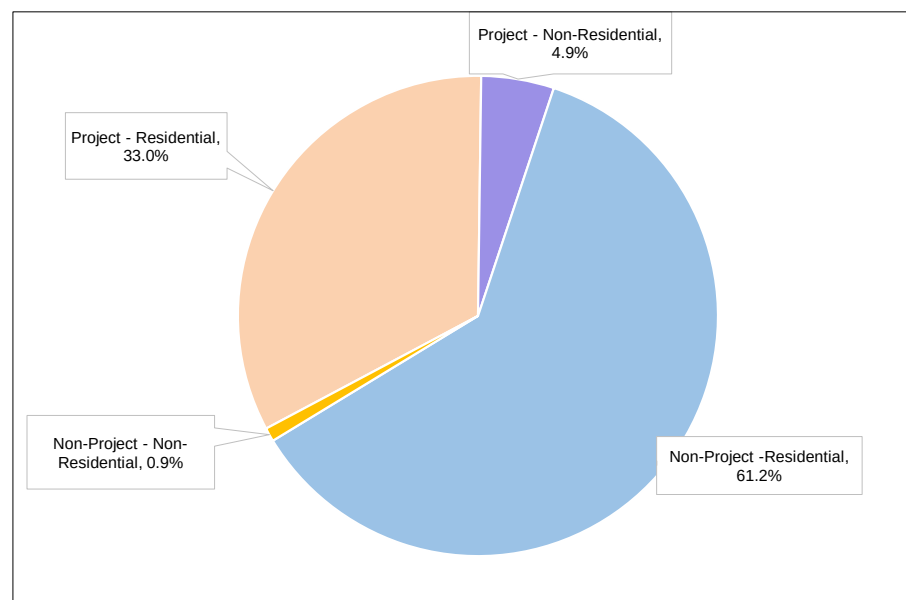
EE - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.0%	6.0%	28.0%	40.0%	0.0%	32.0%	4.2%	63.1%	0.7%
100%					36.2%		63.8%	

EE - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



EE - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays
EE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	79.6%
	Wholesalers / Merchants
	79.6%

Retail Level	Manufacturer 0.0%	Wholesaler 5.0%	Manufacturer 10.4%	Wholesaler 17.0%	Manufacturer 10.0%	Wholesaler 28.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.0%		27.4%		38.0%	

Manufacturer 0.0%	Wholesaler 11.0%	Internet 0.0%	DIY 0.0%	Specialist 16.0%
Installers				
27.0%				

End Use Level	Manufacturer 0.0%	Wholesaler 16.6%	Internet 5.0%	DIY 27.4%	Specialist 22.0%	Installer 13.9%
	Residential					
	84.9%					
	New Build			Residential RMI		
	23.1%			61.8%		
	Project	Non-Project		Project	Non-Project	
	22.0%	1.1%		4.0%	57.8%	

Manufacturer 0.0%	Wholesaler 2.0%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 13.1%
Non-Residential					
15.1%					
New Build			Non-Residential RMI		
2.0%			13.1%		
Project	Non-Project		Project	Non-Project	
2.0%	0.0%		11.0%	2.1%	

1.7.6

Route to Market: Shower Trays
EE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	69.0%
	Wholesalers / Merchants
	69.0%

Retail Level	Manufacturer 0.0%	Wholesaler 7.0%	Manufacturer 16.0%	Wholesaler 12.0%	Manufacturer 15.0%	Wholesaler 22.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.0%		28.0%		37.0%	

Manufacturer 0.0%	Wholesaler 11.0%	Internet 0.0%	DIY 0.0%	Specialist 17.0%
Installers				
28.0%				

End Use Level	Manufacturer 0.0%	Wholesaler 15.0%	Internet 7.0%	DIY 28.0%	Specialist 20.0%	Installer 15.8%
	Residential					
	85.8%					
	New Build			Residential RMI		
	20.3%			65.5%		
	Project	Non-Project		Project	Non-Project	
	19.0%	1.3%		5.0%	60.5%	

Manufacturer 0.0%	Wholesaler 2.0%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 12.2%
Non-Residential					
14.2%					
New Build			Non-Residential RMI		
2.0%			12.2%		
Project	Non-Project		Project	Non-Project	
2.0%	0.0%		10.0%	2.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

EE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

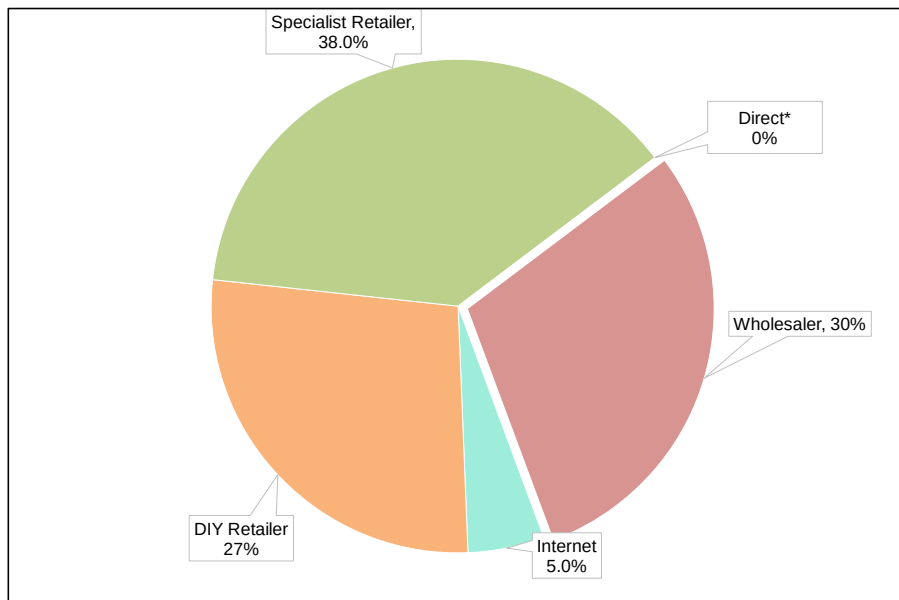
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.6%	5.0%	27.4%	38.0%	0.0%	26.0%	13.0%	58.9%	2.1%
100%					39.0%		61.0%	

1.7.8 Route to Market - Consolidated View : Shower Trays

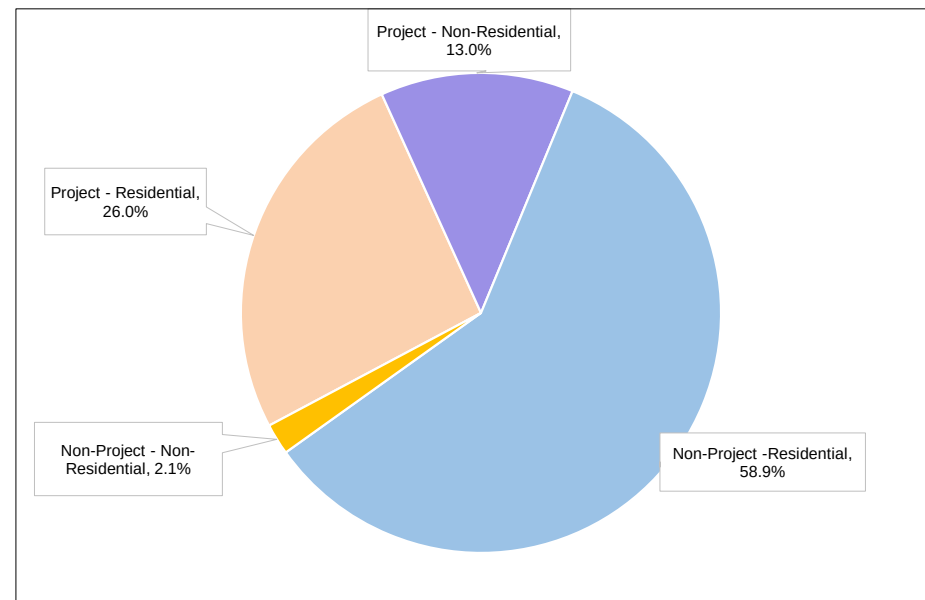
EE - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.0%	7.0%	28.0%	37.0%	0.0%	24.0%	12.0%	61.8%	2.2%
100%					36.0%		64.0%	

EE - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



EE - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



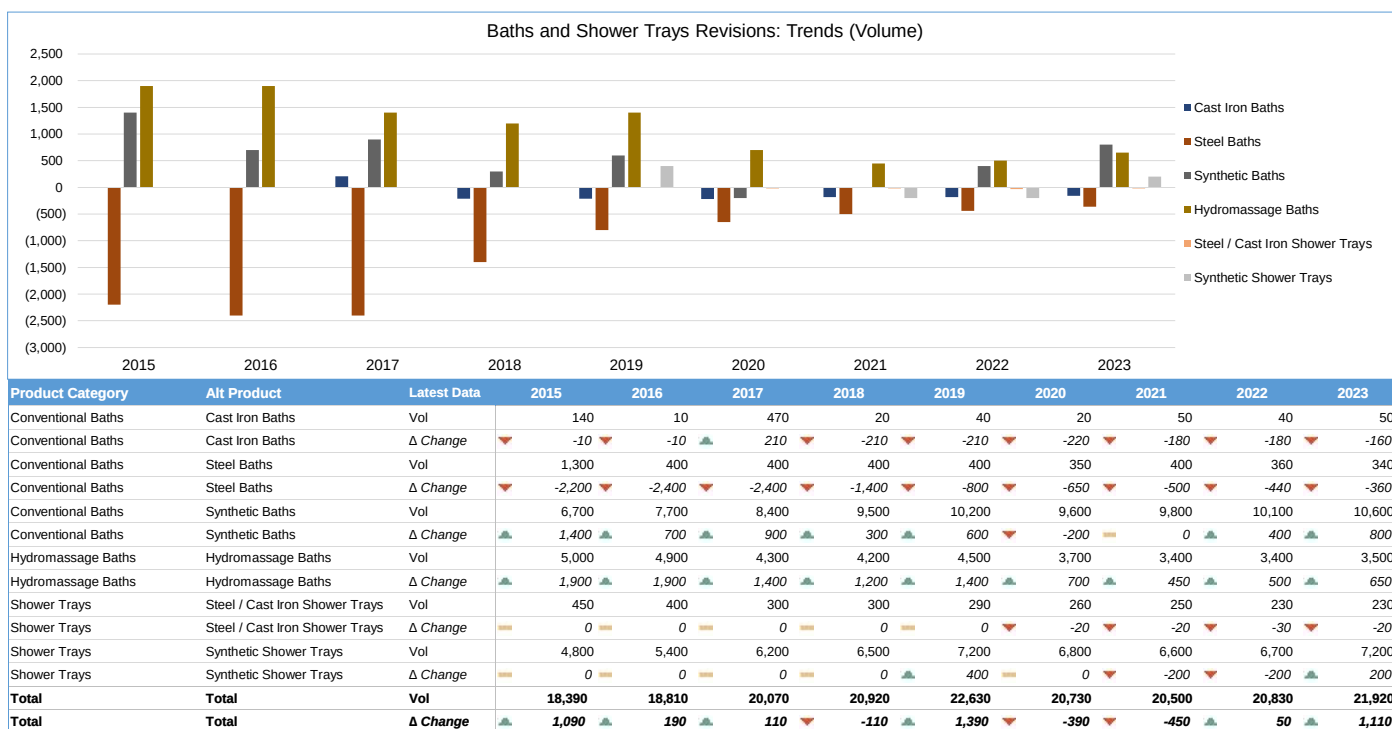
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Estonian Baths and Shower Trays Market (July 2020)

EE - REVISIONS IN THE ESTONIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: July 2019



In light of new data from manufacturers and customs statistics, sales of baths have been revised upwards for 2005-2013 and downwards for 2014-2019. A large number of steel baths were previously classified as sales in Estonia, but these actually re-exported to Russia, especially imports from Spain and Poland between 2007 and 2012.

These changes affected end use segmentation and consequently caused decline in average MSP of baths. In light of new data from manufacturers and customs sales of shower trays have been revised for 2006-2009 and 2019.

ESTONIA

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Overall, Estonia has one of the smallest sanitary ware markets in Europe. The Baltics, in general, all have relatively small markets. The Estonian ceramic sanitary ware market only really started to grow in 1995, after the market collapsed in the early 1990s, and growth was especially high in 1996 and 1997, exceeding 20% each year. This was partly due to the speed at which Estonia succeeded in rebuilding its national economy. In addition, favourable developments on the Estonian construction market helped the overall market to grow strongly. The overall sales grew strongly during much of the 1990s and 2000s, but this growth came to an abrupt end in 2008 with the economic crisis. The market is mature in Estonia, and unlikely to grow significantly in the coming years. White models remain to be the most popular ones.

Despite the rising popularity of wall hung WCs, the overall market is still dominated by floor standing WCs in Estonia. This, in turn, explains the high sales volumes of 'other' CSW in Estonia, which mainly consists of exposed ceramic cisterns. There is no tradition of installing bidets, and the penetration of these products is very low. Therefore, WCs and exposed ceramic cisterns predictably constitute the main part of the market. The general market trend is that fewer households use pedestals and half pedestals. Thus, the rising popularity of installing bathroom furniture has had a clear impact on the washbasin market, as well as pedestals, as fewer pedestals and half pedestals are installed and there is some shift away from ceramic washbasins.

The plastic cistern market is now dominated by concealed cisterns, as they are getting more popular among consumers and sales have grown strongly over the years. These are expected to grow further due to the increasing popularity amongst Estonian consumers, but also due to the EU regulation that is enforcing the installation of concealed cisterns in public toilets. It is estimated that around 75% of concealed cisterns are sold in a set with the WC bowl, and mainly they are sold to be installed with a wall hung WC.

Recent Market Trends

The Estonian sanitary ware market continued to grow at strong rates in 2019, as consumer confidence remained high and housing completions increased, which resulted in consumers continuing to invest more in products such as bathroom equipment. Therefore, the market growth was mainly attributed to the higher demand from the new housing sector, but also to increased replacement expenditure.

Wall hung WC sales, in particular, experienced another boost during 2019. Sales of wall hung WCs are linked to concealed plastic cisterns and they usually move in the same direction. The highest sales of these models were recorded in the non-housing segment. Wall hung WC models are more expensive but private

businesses and state institutions can afford to purchase them, unlike the average consumer in Estonia.

Prices and Market Values

The overall 2019 ceramic sanitary ware and alternatives market increased in value and in volume. Prices increased for most segments which led to an increase in the overall value. The MSP decreased for WCs and ceramic washbasins due to a shift towards lower-priced products.

The concealed plastic cistern market segment remained small in 2019, in both volume and value, despite an increase in concealed cistern sales. The average price per piece for other CSW, plastic cisterns and non-ceramic washbasins increased further. Average prices have increased, due to insignificant price hikes by manufacturers. The majority of ceramic sanitary ware is sold in the lower and middle segments.

New Housing

Sales to the new housing segment increased in 2019, following a high number of completed new dwellings. Overall growth was mainly attributed to increased sales of ceramic sanitary ware, as well as concealed plastic cisterns. Usually between three and four ceramic items are installed per dwelling.

Construction companies are not required to install ceramic sanitary ware in new dwellings; however, the general trend is that the construction market is developing and they want to install ceramic sanitary ware to earn additional profit. Construction companies offer certain sets of products to clients and, upon request, consumers can then replace any item in the set if they want. There is a notable trend towards wall hung WCs in new housing.

Housing RMI

The replacement and maintenance sector has historically been the main market driver. Sales to this segment have continued to increase in 2019. It seems that the improving economic climate stimulates Estonians to spend money on renovations. However, the market is close to saturation and unlikely to grow significantly.

Ceramic sanitary ware has the highest share of total housing RMI sales. According to past experience, and future expectations as well, the CSW segment should continue with a healthy growth rate after expected fall in 2020 as the new housing and housing RMI segments are forecast to push the market forward. The market is predominantly driven by like-for-like replacement, and if households are satisfied with the quality of the brand – they try to replace products ones of the same brand.

Non-Housing

Sale to the non housing segment declined in 2019. The non-housing (hospitals, gyms, nurseries) replacement is forecast to be the main driver. High demand has come from hotels and state contracts, but also constructions such as offices, trade centres and public buildings.

Most concealed plastic cisterns have gone to the non-housing sector, in combination with wall hung WCs. However, sales volumes are quite low. Ceramic sanitary ware still dominates this segment.

Supply Structure

There are no domestic manufacturers of ceramic sanitary ware and alternatives in Estonia. All products are imported from Europe and China. As a result, there is no direct supply to installers and retailers. All products are imported and channelled via wholesalers and DIY stores.

Traditionally, Eastern European producers have been very strong within the Estonian market for ceramic sanitary ware, most notably the Polish CERSANIT and the Czech JIKA (part of ROCA). CERSANIT has kept the lead in the market. It is one of the cheapest European brands on the market.

CERSANIT is not commonly used in new construction and is mainly distributed through the DIY channel in Estonia, via such chains as EHITUSE ABC and FEB. VILLEROY & BOCH remains in second place in the ceramic sanitary ware market. GEBERIT, with the former SANITEC brands, also has a good hold on the market through the IFÖ, IDÖ, and KOLO brands.

There are also some imports from Turkey and China. KERRA and REA are OEM brands which recently entered the market. Some of the products are often re-exported to other countries (e.g. Russia).

VILLEROY & BOCH, GEBERIT, GROHE, VIEGA, TECE, HYBNER are the main market players in the concealed plastic cisterns sector.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The COVID-19 crisis started affecting Estonia in March and led to a two-month lockdown. Constructions and non-essential commercial activities were suspended. Individual housing construction was not affected much and was predominantly

ongoing. Even though installers did not have a shortage of bathroom appliances, households were very cautious in allowing installers to enter the property. Installation/replacement activities also declined similar to construction activities. Lockdown lasted for about two months and the country started gradually reopening by the end of May as the number of infected people came down and became more controllable.

The government was able to support small businesses based on its financial resources. Considering that Estonia is an IT hub, businesses quickly adjusted to a new reality and retailers successfully switched to online sales.

The construction and replacement segments should leave significant imprint on the 2020 CSW market. Some projects were put on hold due to lockdown measures. Some developers realise that they would not be able to sell dwellings profitably and may freeze projects. Some developers would not be able to sell completed dwellings (predominantly in the economy segment) and finally, some households would not have enough savings left to renovate the dwelling. The current crisis will negatively affect the property prices. At this stage, it is difficult to evaluate whether new buyers commit themselves to purchase of new dwellings and consequently purchase and installations of ceramic sanitary ware or would put on hold expensive purchases until the market stabilises or there is a fall in property prices.

In terms of replacement, some end users are likely to postpone 'big ticket' purchases and save money. Only necessary replacements will take place on the market and most consumers will be largely driven by prices rather than quality. Some households may opt to purchase the lowest priced appliances as a temporary solution.

The overall sanitary ware market is forecast to decline in 2020 due to the lockdown measures, decreased purchasing power of the general population and an expected fall in replacement activity. Unemployment is likely to increase and real wages of the population to decline. The resumption of KREDEX programme should prevent sales from collapse. The overall sanitary ware market is forecast to remain under significant pressure and expected to only start recovering in 2021. Demand from the RMI segment should increase, due to the previously postponed replacement decisions. It is likely that housing construction would decrease in 2021-2022. With the high degree of certainty some new build flats would not be sold in 2020. As a result, start of some new projects will be postponed to 2021 and 2022.

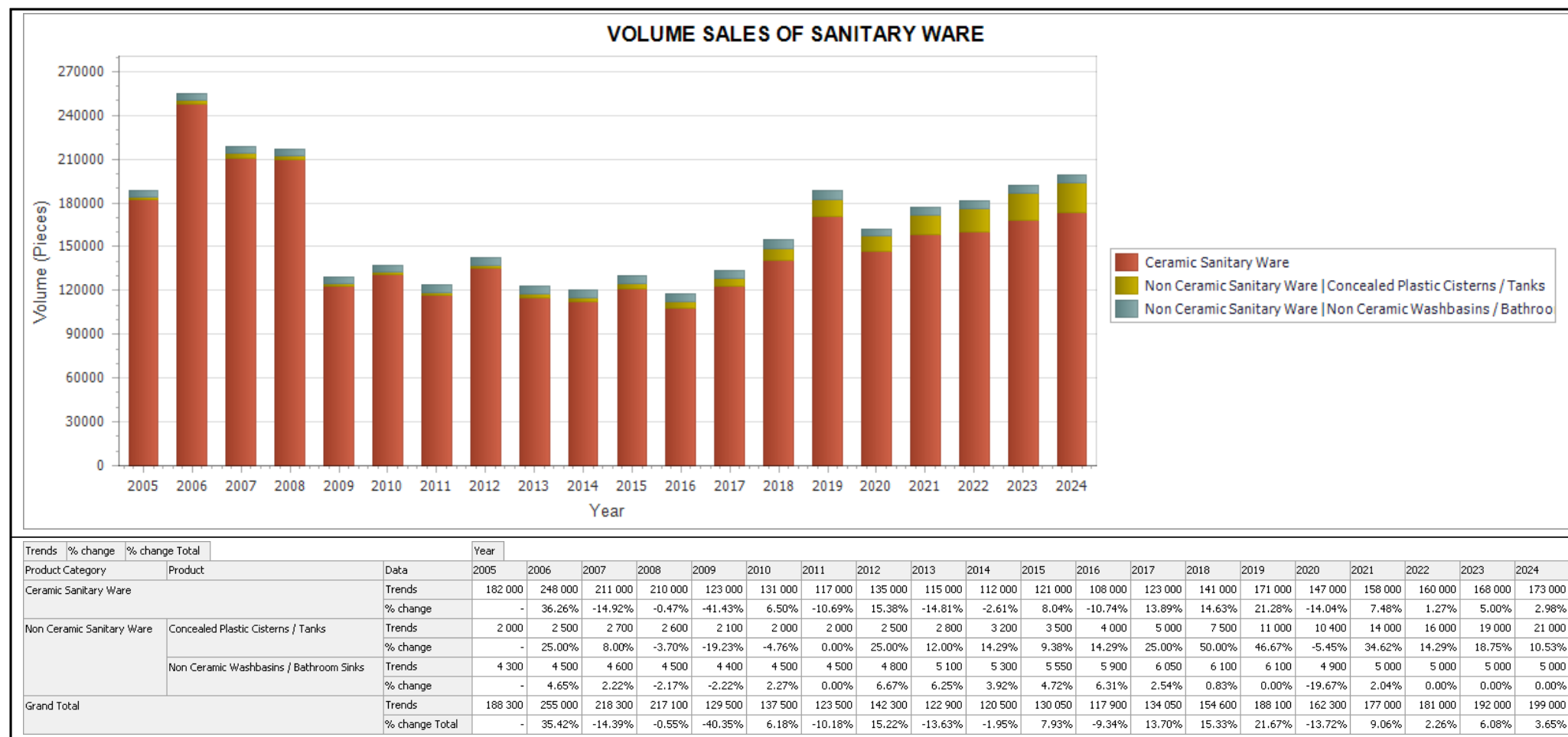
Ceramic sanitary ware sales are estimated to play a significant role in the growth of the market, while sales of plastic cisterns are set to follow the same trend as in previous years. The renovation sector and the new housing segments are expected to push the market forward in long term. There is no substitution on the market apart from, possibly, growth in the sales of base units – which should negatively affect pedestal sales.

In terms of price segments, the development is very much dependent on the economic situation in the country. If the economy maintains the same level of

growth as previously, it is most likely that we will see a shift from low- to high-priced products after 2021.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

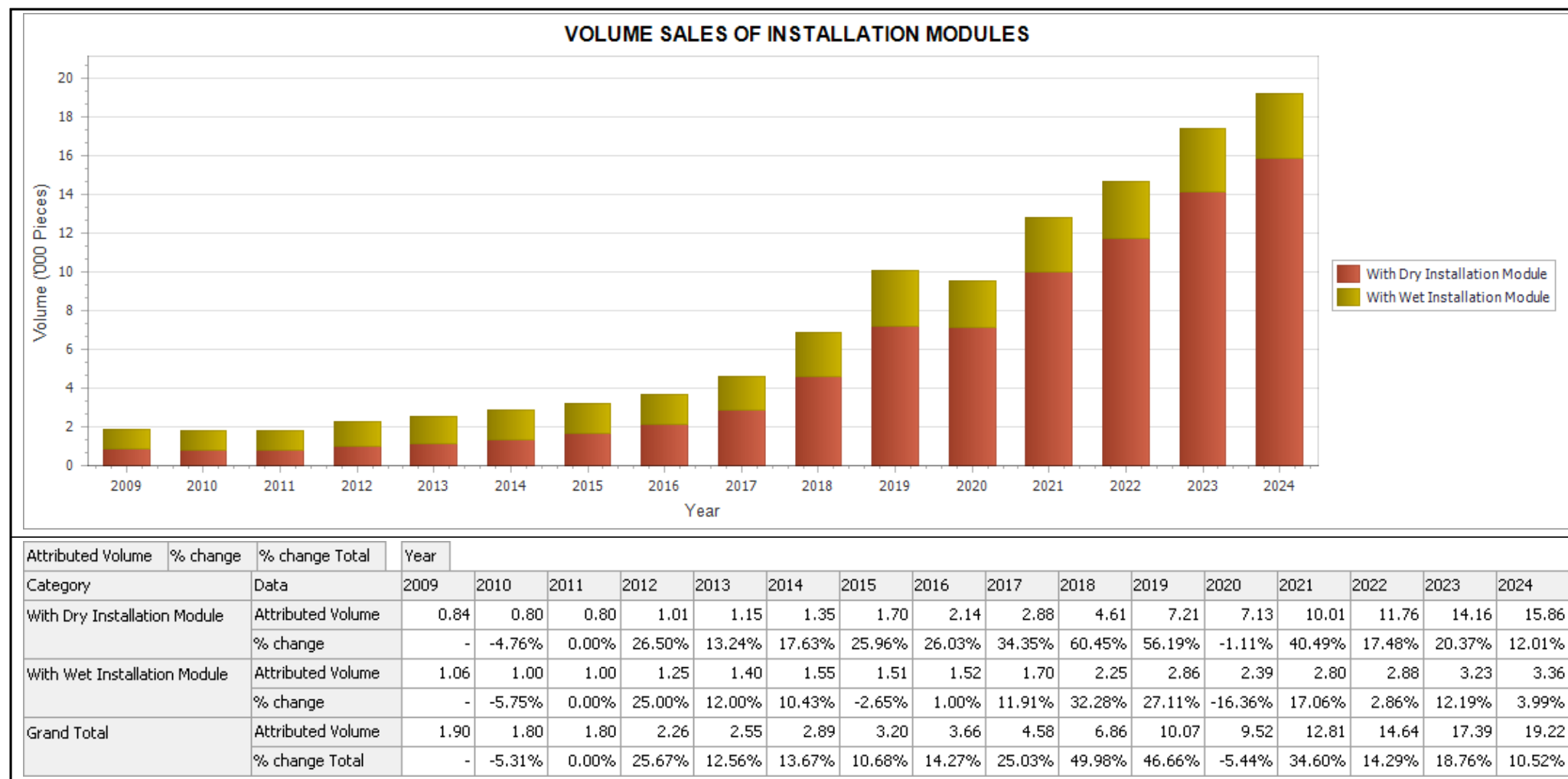
EE - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

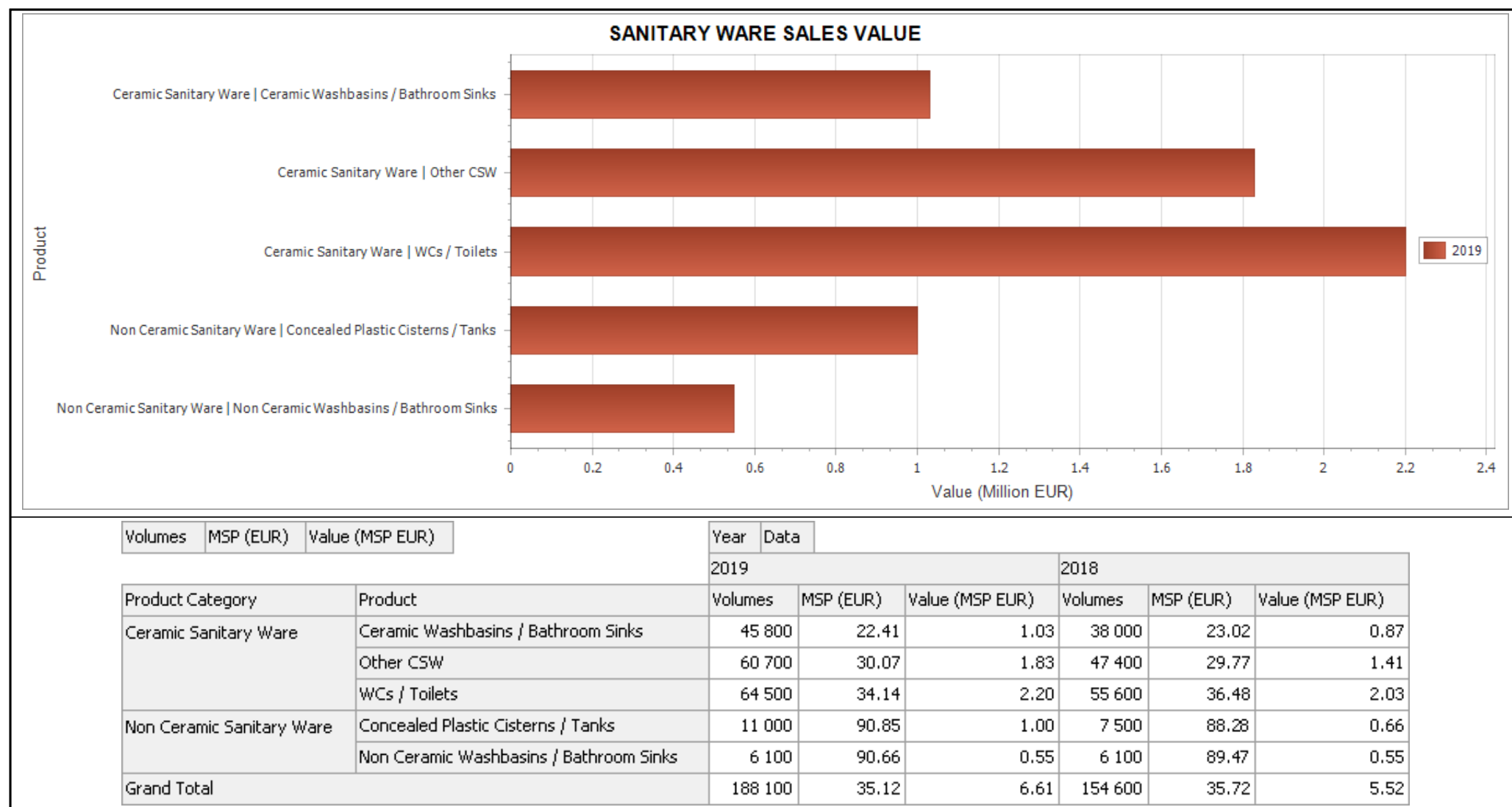
EE - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

EE - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

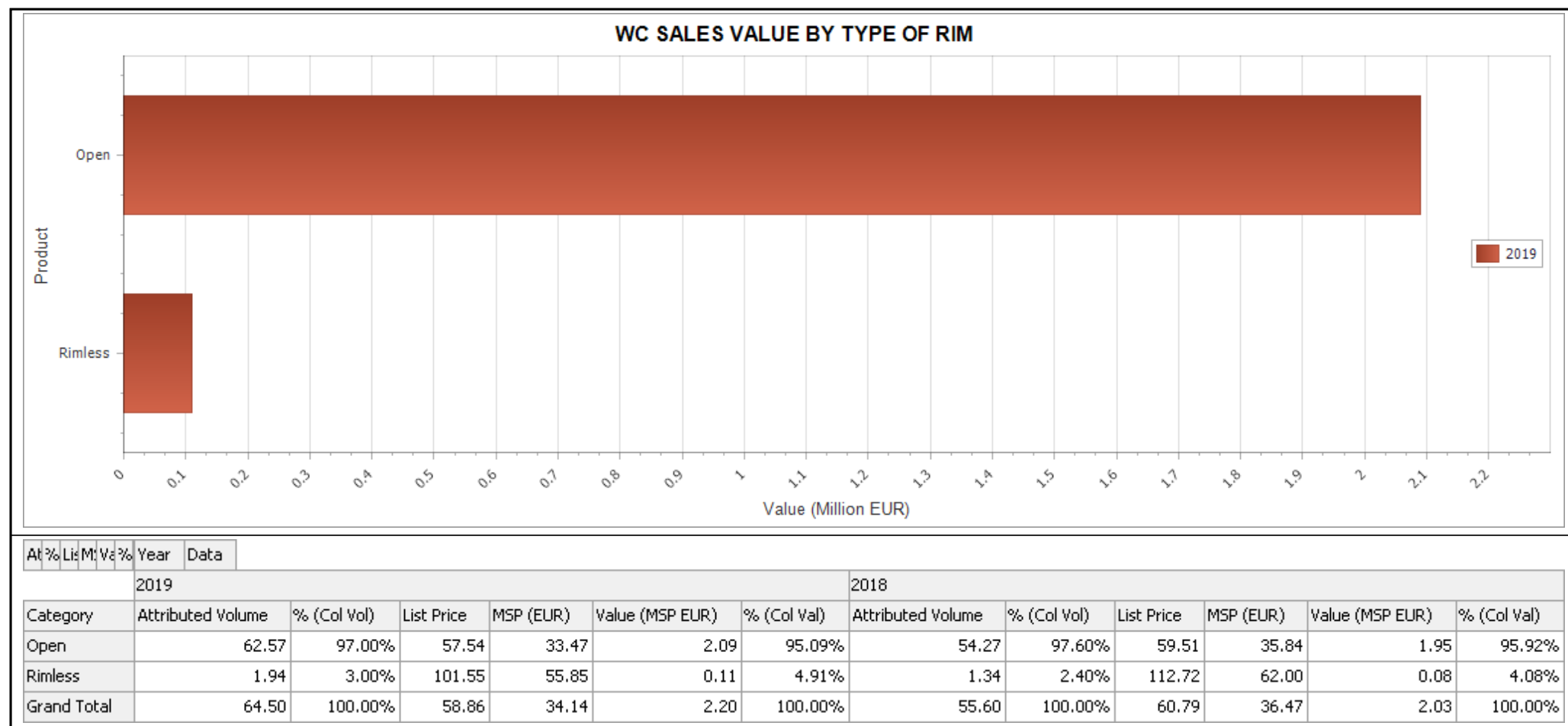
EE - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed %	% (Col Vol)	List Price	MSP (EUR)	Value (MSP)	% (Col Val)	Year	Data						
2019								2018					
Alt Product	Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	13.74	30.00%	39.55	22.74	0.31	30.44%	11.25	29.60%	39.98	23.99	0.27	30.84%
	Hand Washbasins	7.15	15.60%	20.63	11.86	0.08	8.26%	5.93	15.60%	21.09	12.65	0.08	8.57%
	Inset Washbasins	0.46	1.00%	55.30	31.80	0.01	1.42%	0.30	0.80%	53.09	31.85	0.01	1.11%
	Pedestal Washbasins	7.40	16.16%	42.29	24.32	0.18	17.53%	6.60	17.36%	40.95	24.57	0.16	18.53%
	Semi-Recessed Washbasins	1.37	3.00%	48.09	27.65	0.04	3.70%	1.14	3.00%	46.64	27.98	0.03	3.65%
	Undermount Washbasins	0.46	1.00%	47.17	27.12	0.01	1.21%	0.30	0.80%	45.50	27.30	0.01	0.95%
	Wall Hung Washbasins	15.22	33.24%	43.91	25.25	0.38	37.44%	12.48	32.84%	42.47	25.48	0.32	36.35%
Other CSW	Bidets	2.00	3.30%	68.42	39.00	0.08	4.28%	1.96	4.12%	61.67	37.00	0.07	5.13%
	Close-Coupled Cisterns	47.08	77.56%	54.39	31.00	1.46	79.97%	36.66	77.34%	51.23	30.74	1.13	79.87%
	Others	0.26	0.43%	50.88	29.00	0.01	0.41%	0.24	0.50%	46.67	28.00	0.01	0.47%
	Pedestals & Half Pedestals	10.45	17.21%	42.11	24.00	0.25	13.74%	7.65	16.15%	38.83	23.30	0.18	12.64%
	Urinals	0.91	1.50%	56.14	32.00	0.03	1.60%	0.90	1.89%	49.89	29.93	0.03	1.90%
WCs / Toilets	Close-Coupled WC Bowls	43.22	67.00%	46.55	27.00	1.17	52.99%	37.81	68.00%	49.95	29.97	1.13	55.87%
	Floor Standing WC Bowls	6.77	10.50%	60.34	35.00	0.24	10.76%	8.62	15.50%	64.75	38.85	0.33	16.51%
	Wall Hung WC Bowls	14.51	22.50%	94.83	55.00	0.80	36.25%	9.17	16.50%	101.75	61.05	0.56	27.62%
Grand Total		171.01	100.00%	51.37	29.55	5.05	100.00%	141.00	100.00%	50.99	30.59	4.31	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

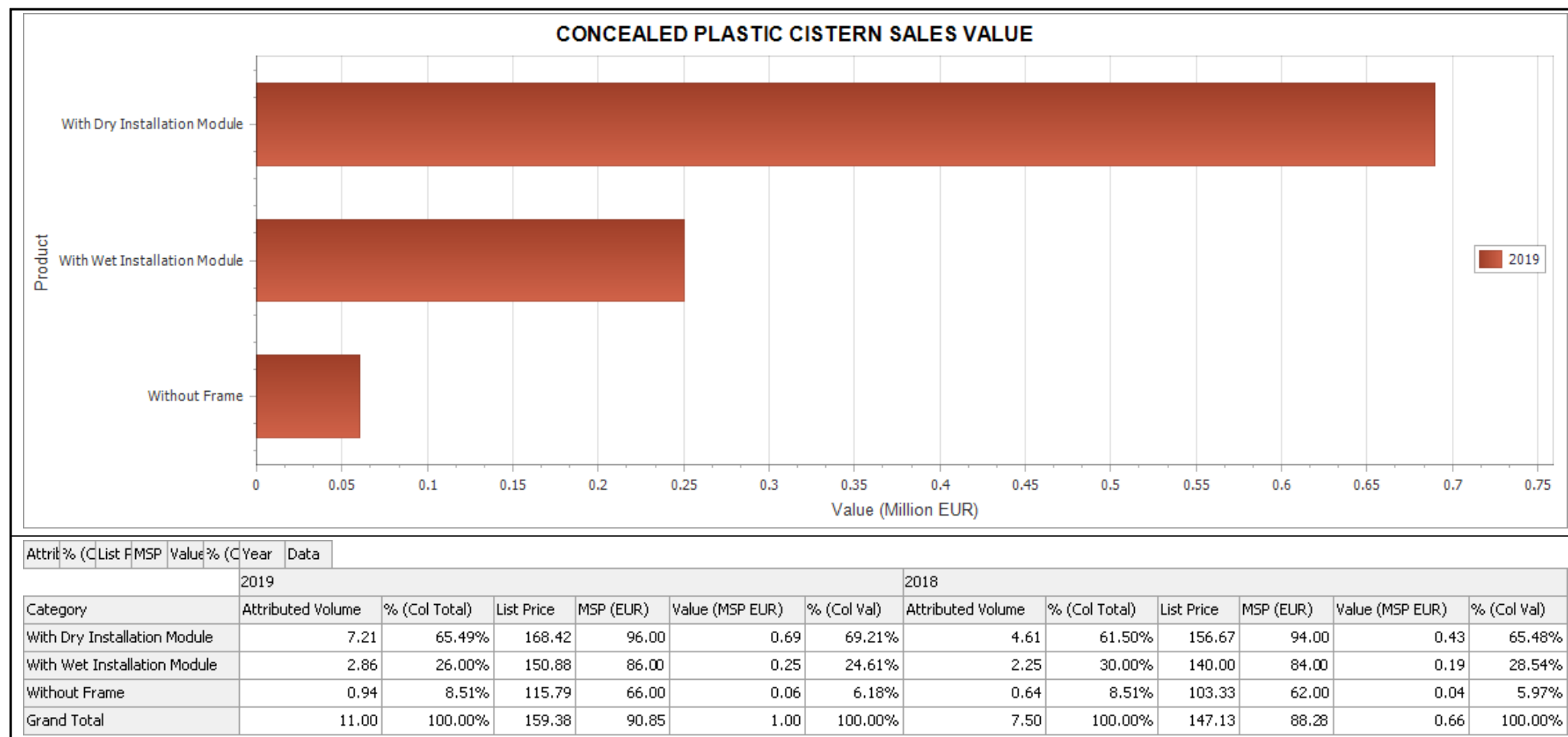
EE - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

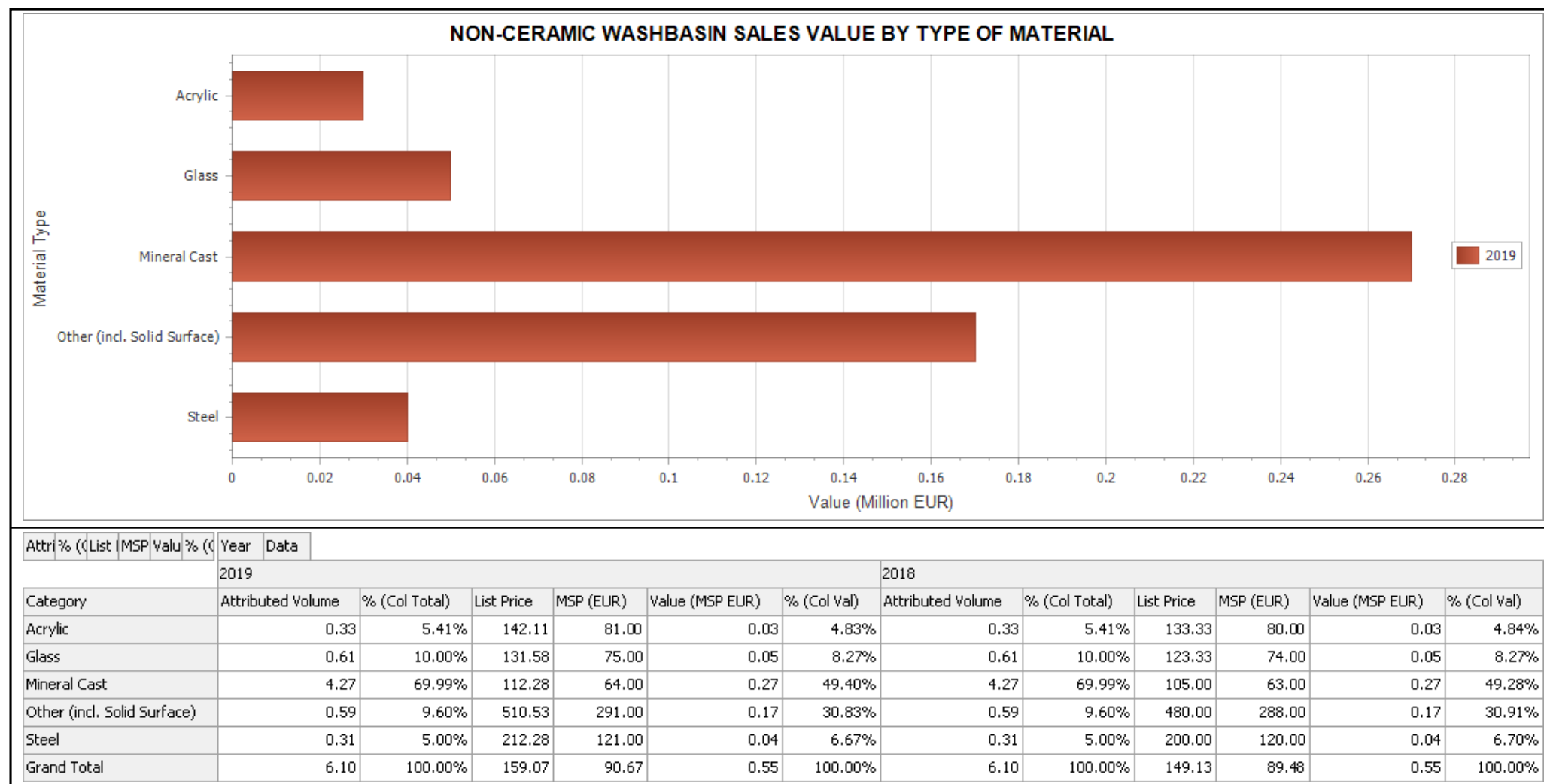
EE - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

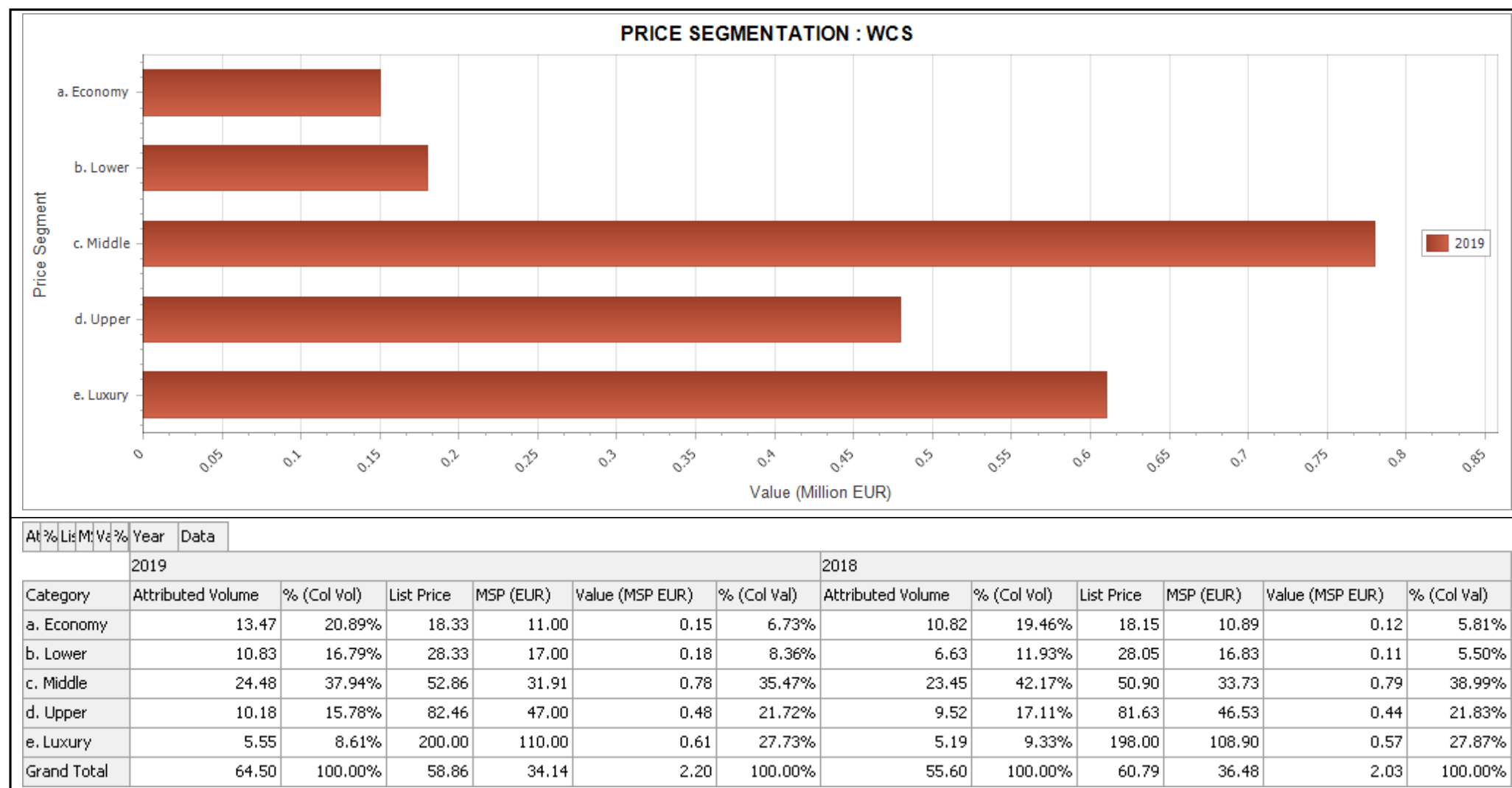
EE - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

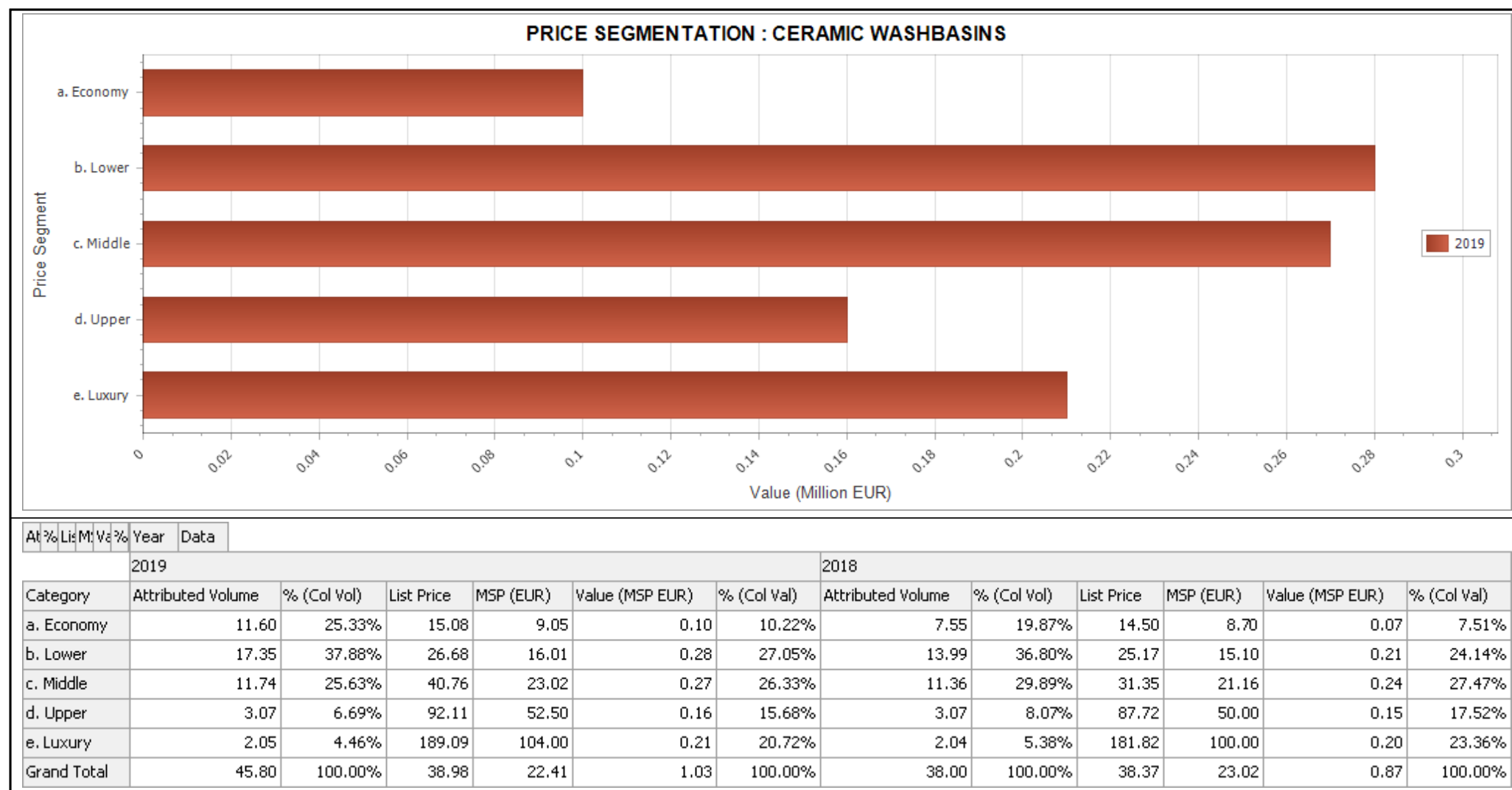
EE - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€20, Middle €20-€40, Upper €40-€60, Luxury >€80

2.3.7 Price Segmentation : Ceramic Washbasins

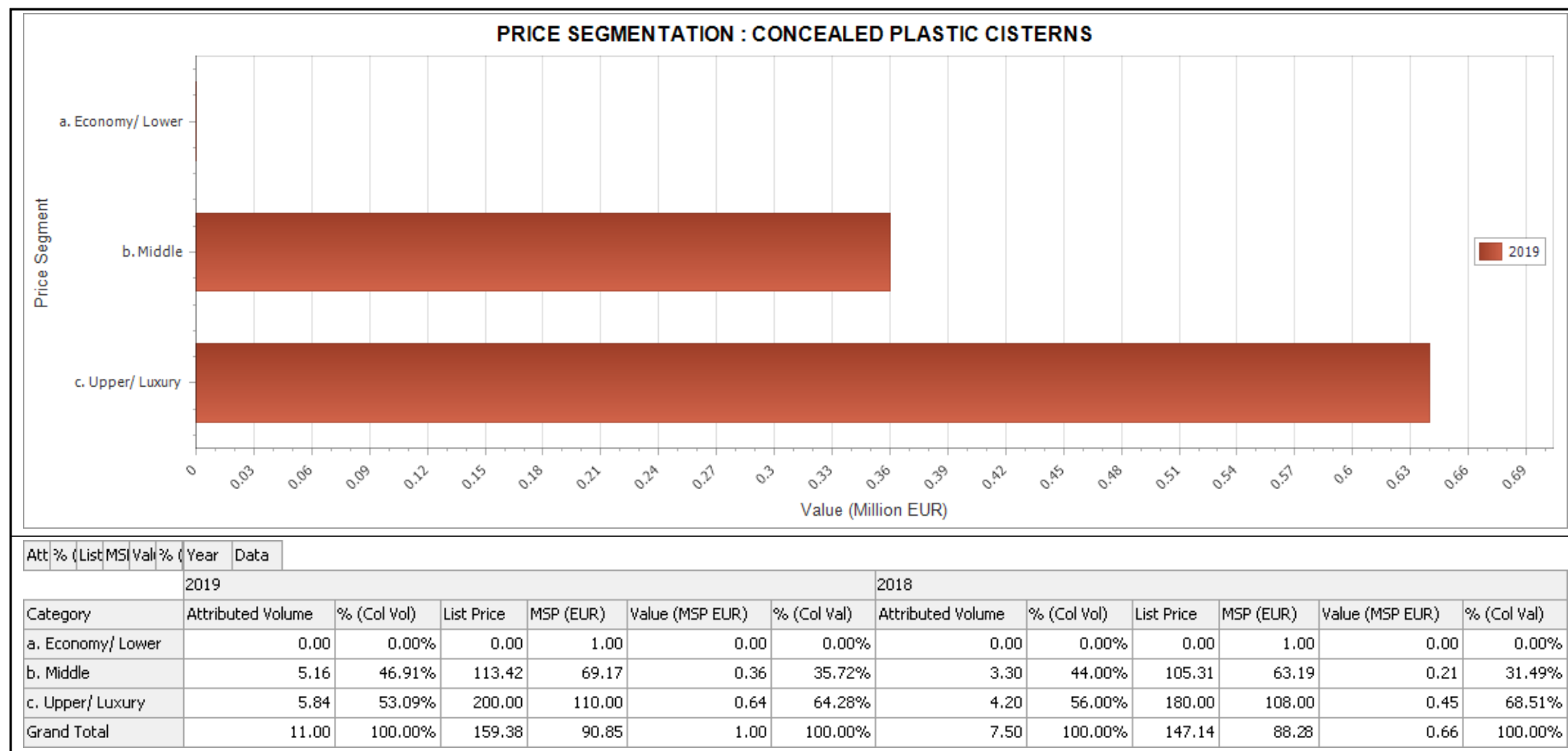
EE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€10, Lower €10-€20, Middle €20-€30, Upper €30-€60, Luxury >€60

2.3.9 Price Segmentation : Concealed Plastic Cisterns

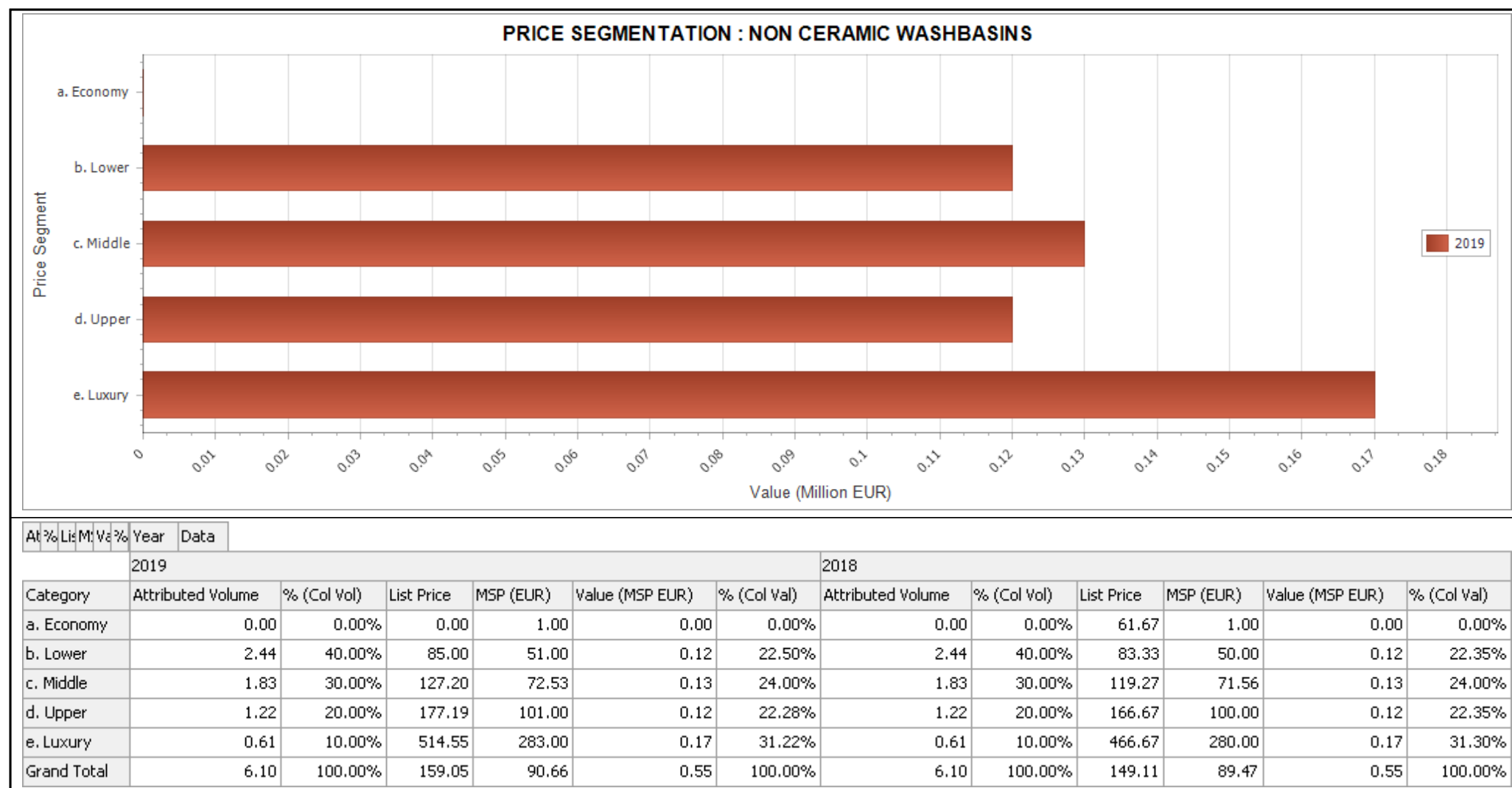
EE - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

2.3.10 Price Segmentation : Non Ceramic Washbasins

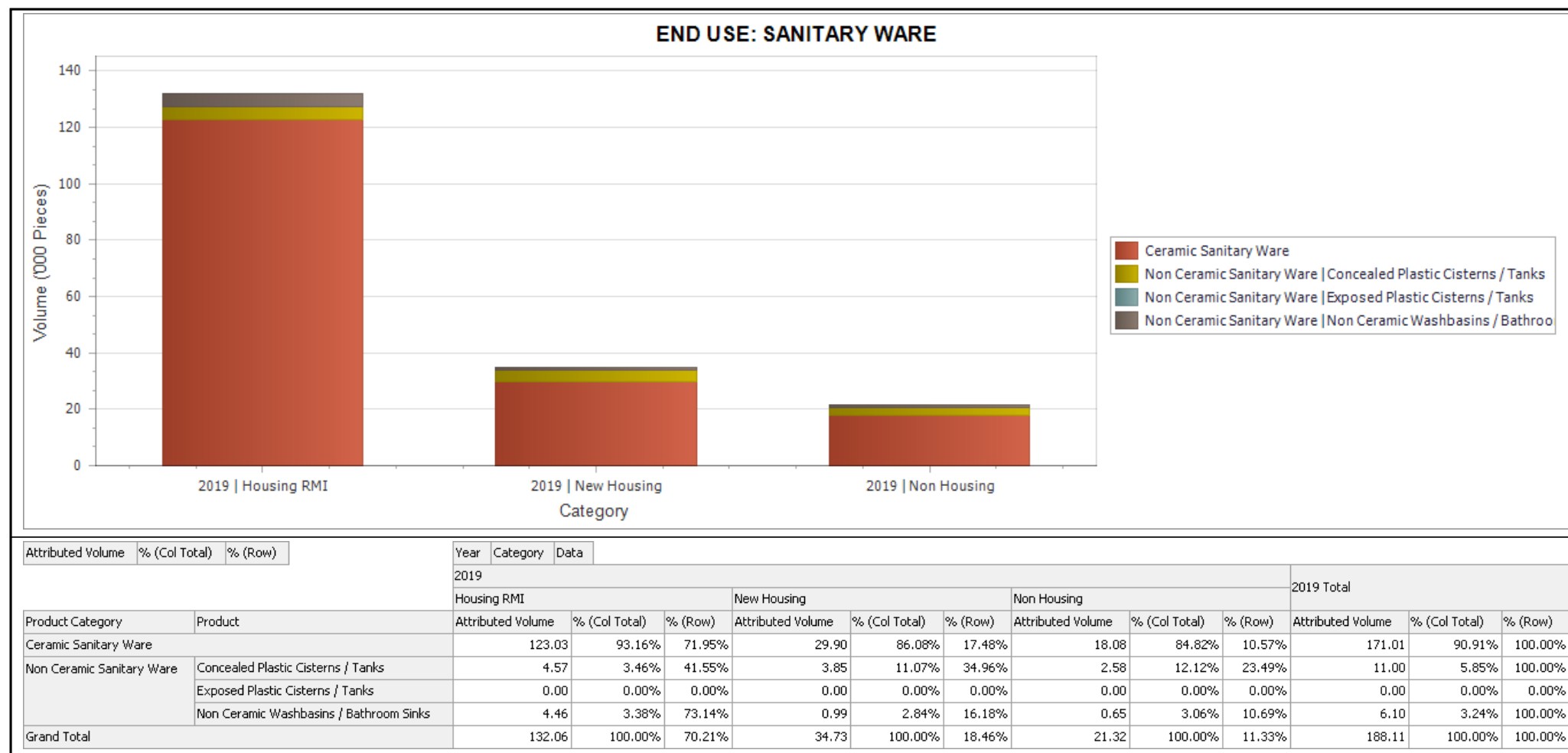
EE - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€60, Middle €60-€80, Upper €80-€120, Luxury >€120

2.4.1 End Use : Base Year

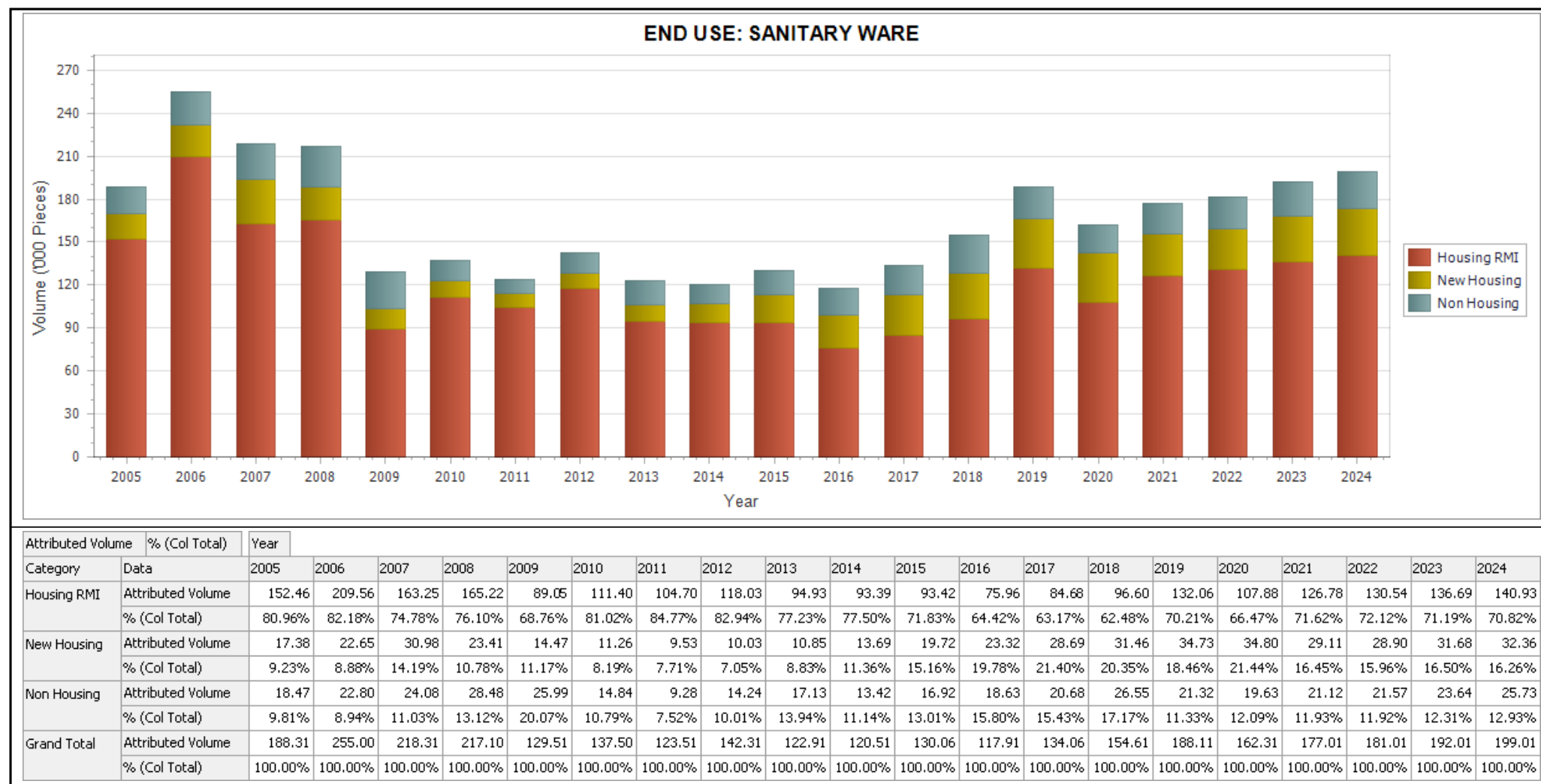
EE - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

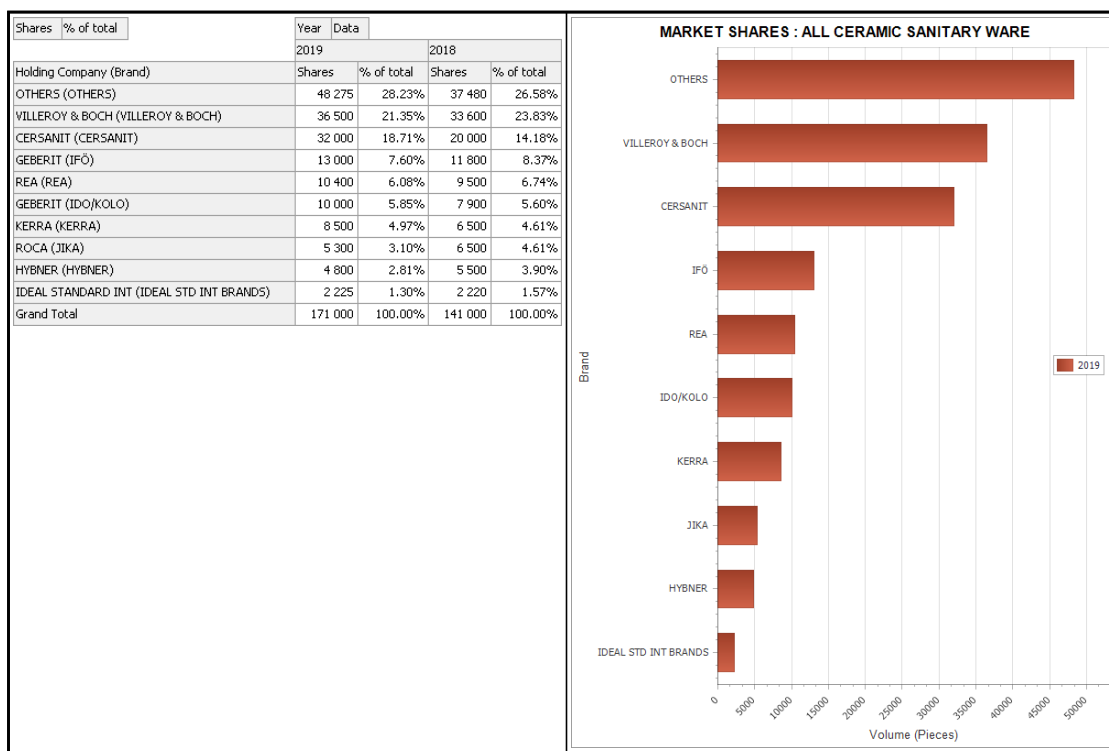
EE - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

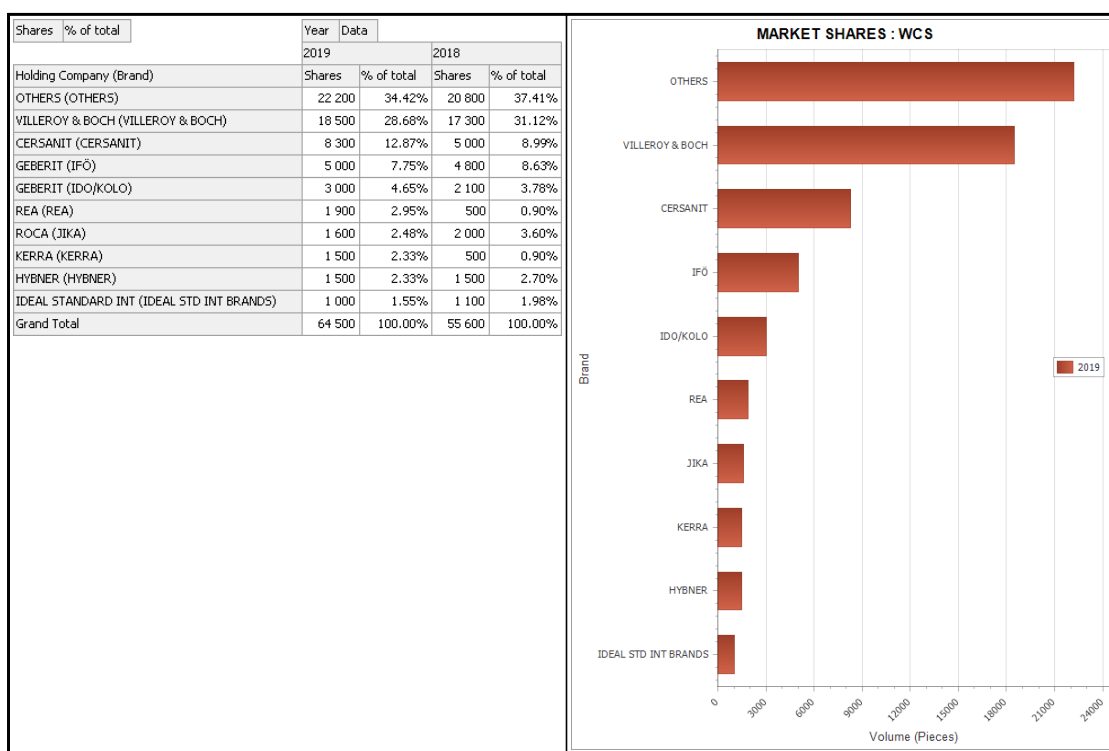
EE - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

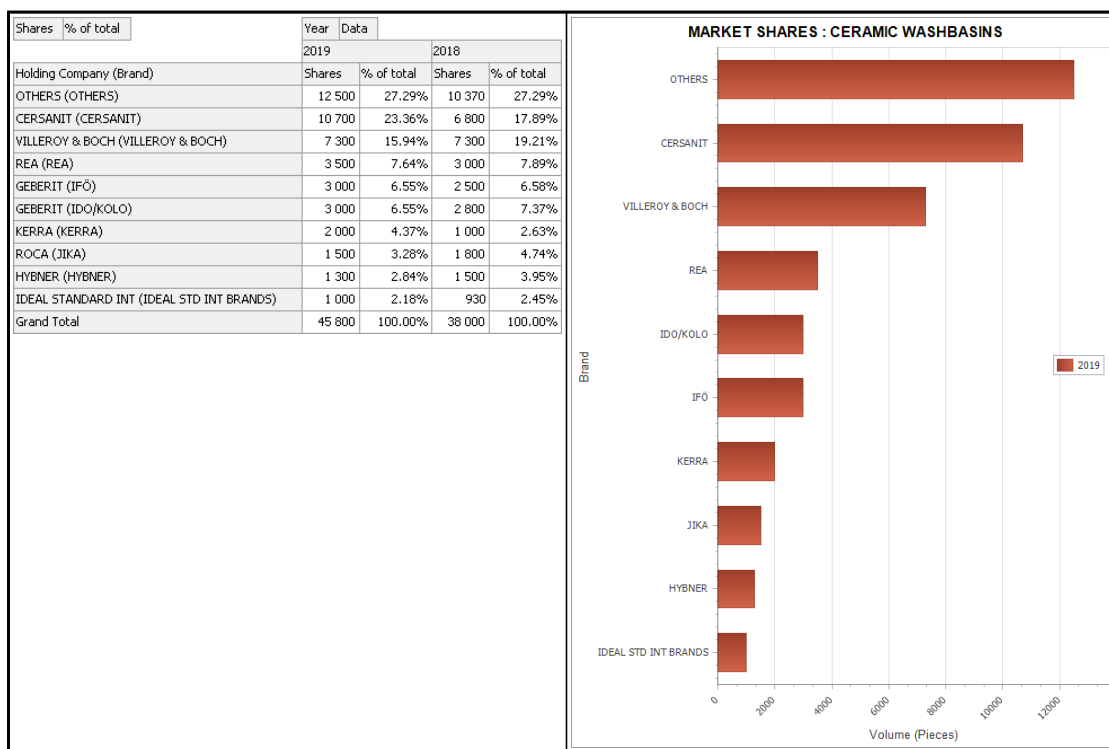
EE - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

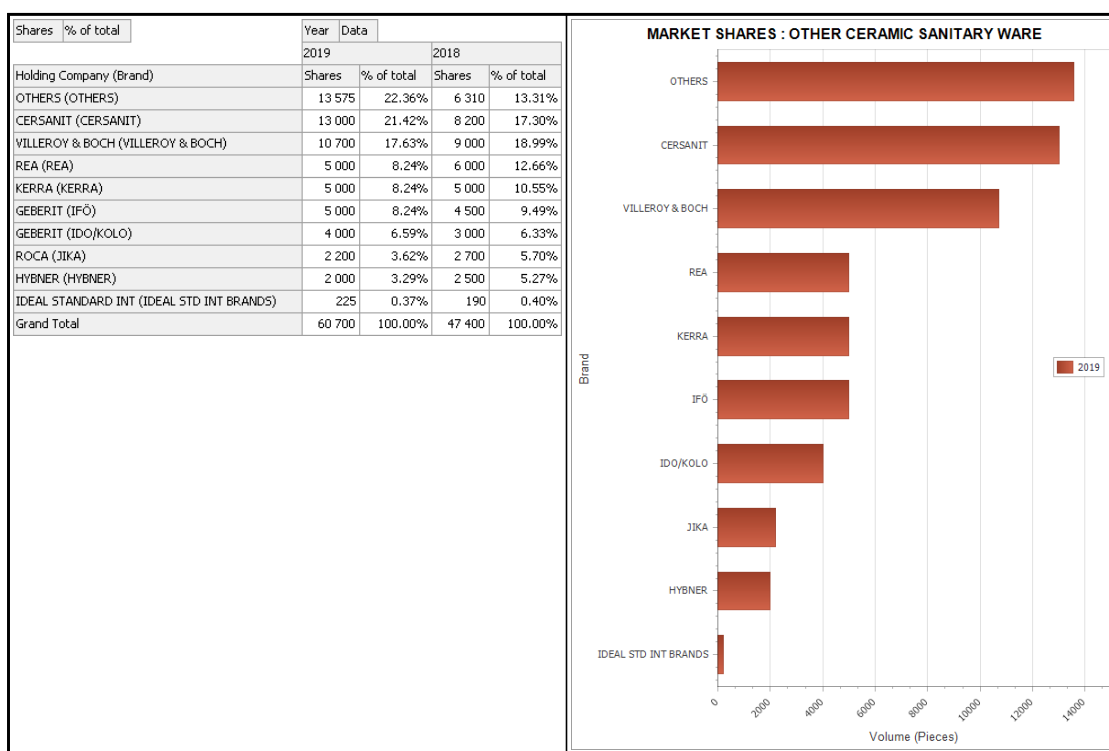
EE - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

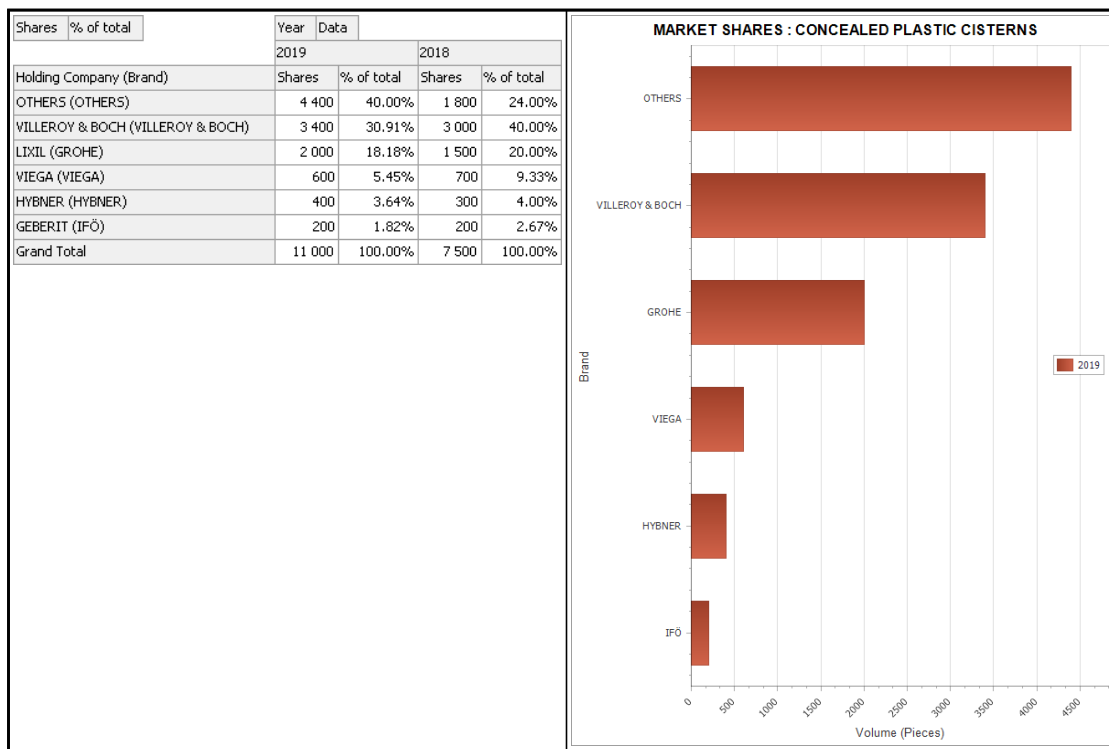
EE - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

EE - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.6.1 EE - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Turkey	984	33.3%	2 060	22.2%	913	37.5%	1 897	25.1%
Poland	503	17.0%	984	10.6%	317	13.0%	635	8.4%
Sweden	275	9.3%	855	9.2%	349	14.3%	1 263	16.7%
Finland	260	8.8%	1 390	15.0%	65	2.7%	451	6.0%
Germany	201	6.8%	1 601	17.2%	176	7.2%	1 403	18.6%
Egypt	141	4.8%	252	2.7%	107	4.4%	183	2.4%
Lithuania	108	3.7%	289	3.1%	69	2.8%	144	1.9%
China	95	3.2%	135	1.5%	51	2.1%	121	1.6%
Czech Republic	93	3.2%	233	2.5%	105	4.3%	260	3.4%
Latvia	73	2.5%	298	3.2%	57	2.4%	152	2.0%
Denmark	49	1.7%	148	1.6%	4	0.2%	39	0.5%
OTHERS	176	5.9%	1 041	11.2%	220	9.0%	1 003	13.3%
Total	2 957	100.0%	9 286	100.0%	2 434	100.0%	7 551	100.0%

Source : Trademap

2.6.2 EE - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Finland	288	24.8%	2 256	30.3%	361	30.3%	2 577	33.2%
Germany	254	21.9%	1 621	21.8%	245	20.5%	1 545	19.9%
France	173	14.9%	1 107	14.9%	172	14.4%	1 114	14.4%
Italy	105	9.1%	647	8.7%	125	10.5%	743	9.6%
Latvia	97	8.3%	356	4.8%	89	7.5%	697	9.0%
Lithuania	50	4.3%	103	1.4%	47	3.9%	102	1.3%
United States of America	31	2.7%	197	2.6%	19	1.6%	109	1.4%
Poland	30	2.6%	90	1.2%	13	1.1%	81	1.0%
Netherlands	29	2.5%	193	2.6%	28	2.4%	179	2.3%
Brazil	24	2.1%	123	1.7%	8	0.6%	40	0.5%
Russian Federation	17	1.4%	224	3.0%	11	1.0%	154	2.0%
OTHERS	62	5.4%	530	7.1%	74	6.2%	415	5.4%
Total	1 161	100.0%	7 447	100.0%	1 192	100.0%	7 756	100.0%

Source : Trademap

2.6.3 EE - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Latvia	350	33.2%	1 007	20.9%	435	41.6%	1 158	25.6%
Lithuania	325	30.8%	978	20.3%	201	19.2%	532	11.7%
Germany	118	11.2%	759	15.8%	125	12.0%	723	16.0%
Sweden	110	10.5%	539	11.2%	159	15.3%	760	16.8%
Finland	78	7.4%	992	20.6%	56	5.4%	815	18.0%
Poland	44	4.2%	186	3.9%	5	0.5%	41	0.9%
OTHERS	30	2.8%	357	7.4%	64	6.1%	503	11.1%
Total	1 054	100.0%	4 818	100.0%	1 045	100.0%	4 532	100.0%

Source : Trademap

2.6.4 EE - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Latvia	324	39.7%	919	36.1%	308	46.4%	973	36.3%
Lithuania	262	32.1%	724	28.4%	232	34.8%	633	23.6%
Netherlands	127	15.6%	42	1.6%	0	0.0%	0	0.0%
Sweden	73	8.9%	498	19.5%	77	11.6%	575	21.4%
Finland	15	1.8%	205	8.0%	30	4.5%	257	9.6%
OTHERS	16	1.9%	161	6.3%	18	2.7%	244	9.1%
Total	817	100.0%	2 549	100.0%	665	100.0%	2 682	100.0%

Source : Trademap

2.7.1

Route to Market: Ceramic Sanitary Ware
EE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	82.6%
	Wholesalers / Merchants
	82.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	5.0%	17.4%	12.0%	0.0%	38.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.0%		29.4%		38.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	16.0%	0.0%	0.0%	5.0%
Installers				
21.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	8.6%	5.0%	29.4%	33.0%	13.4%	0.0%	3.0%	0.0%	0.0%	0.0%	7.6%
	Residential						Non-Residential					
	89.4%						10.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	17.5%			71.9%			2.0%			8.6%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	16.0%	1.5%		5.0%	66.9%		2.0%	0.0%		4.0%	4.6%	

2.7.2

Route to Market: Ceramic Sanitary Ware
EE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.0%
	Wholesalers / Merchants
	78.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	7.0%	22.0%	7.0%	0.0%	38.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.0%		29.0%		38.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	14.0%	0.0%	0.0%	5.0%
Installers				
19.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	9.0%	7.0%	29.0%	33.0%	9.8%	0.0%	3.0%	0.0%	0.0%	0.0%	9.2%
	Residential						Non-Residential					
	87.8%						12.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.2%			72.6%			2.0%			10.2%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	14.0%	1.2%		6.0%	66.6%		2.0%	0.0%		5.0%	5.2%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

EE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

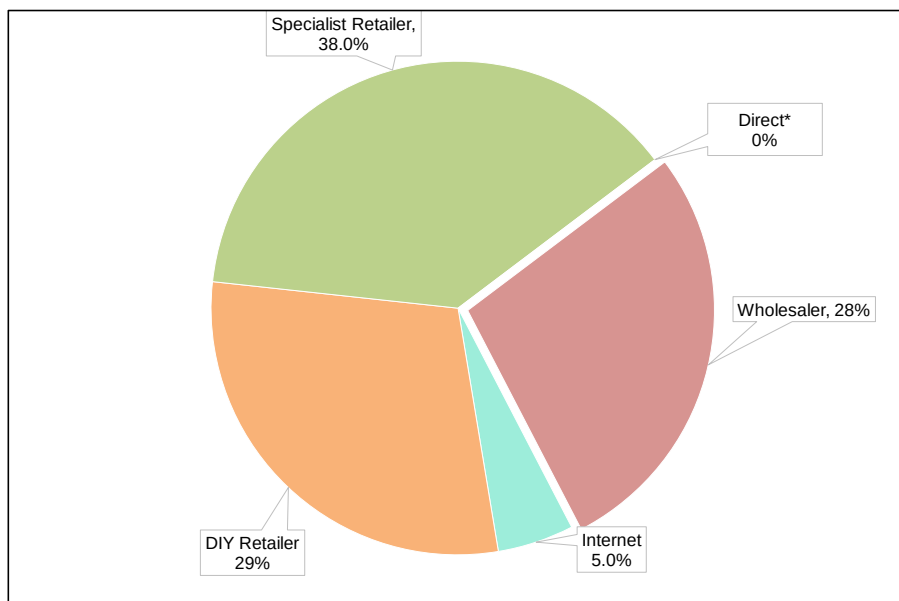
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.6%	5.0%	29.4%	38.0%	0.0%	21.0%	5.9%	68.4%	4.7%
100%					26.9%		73.1%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

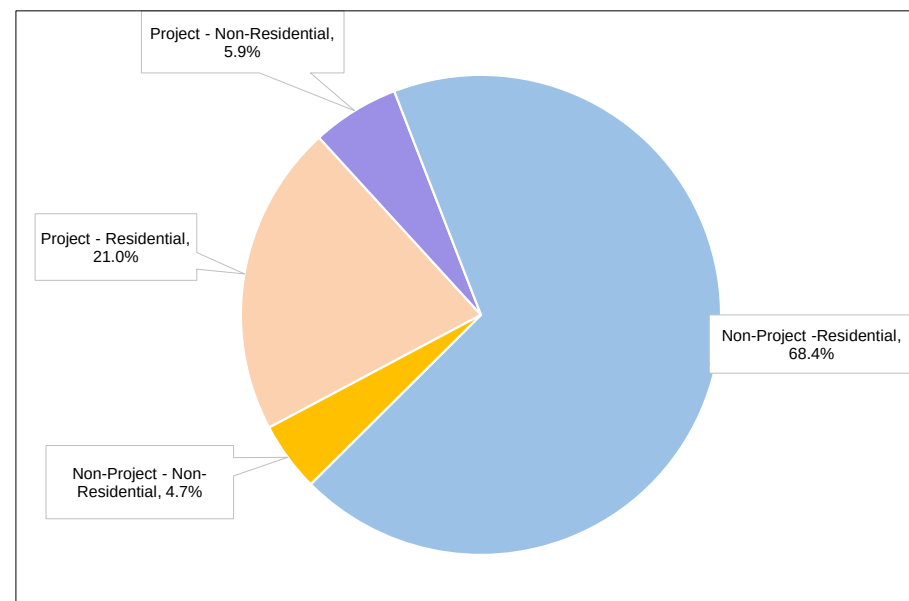
EE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.0%	7.0%	29.0%	38.0%	0.0%	20.0%	6.0%	67.8%	6.2%
100%					26.0%		74.0%	

EE - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



EE - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
EE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	94.4%
	Wholesalers / Merchants
	94.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	5.0%	5.6%	10.0%	0.0%	23.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.0%		15.6%		23.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	5.0%	0.0%	0.0%	21.0%
Installers				
26.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	36.4%	5.0%	15.6%	2.0%	17.5%
	Residential					
	76.5%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	15.0%	0.0%	0.0%	0.0%	8.5%
Non-Residential					
23.5%					

New Build		Residential RMI	
35.0%		41.6%	
Project	Non-Project	Project	Non-Project
33.0%	2.0%	5.0%	36.6%

New Build		Non-Residential RMI	
9.0%		14.5%	
Project	Non-Project	Project	Non-Project
9.0%	0.0%	13.0%	1.5%

2.7.6 Route to Market: Plastic Cisterns
EE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	90.0%
	Wholesalers / Merchants
	90.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	7.0%	10.0%	8.0%	0.0%	23.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.0%		18.0%		23.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	5.0%	0.0%	0.0%	21.0%
Installers				
26.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	34.0%	7.0%	18.0%	2.0%	18.7%
	Residential					
	79.7%					
	New Build		Residential RMI			
	24.2%		55.5%			
	Project	Non-Project	Project	Non-Project		
	23.0%	1.2%	6.0%	49.5%		

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

EE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

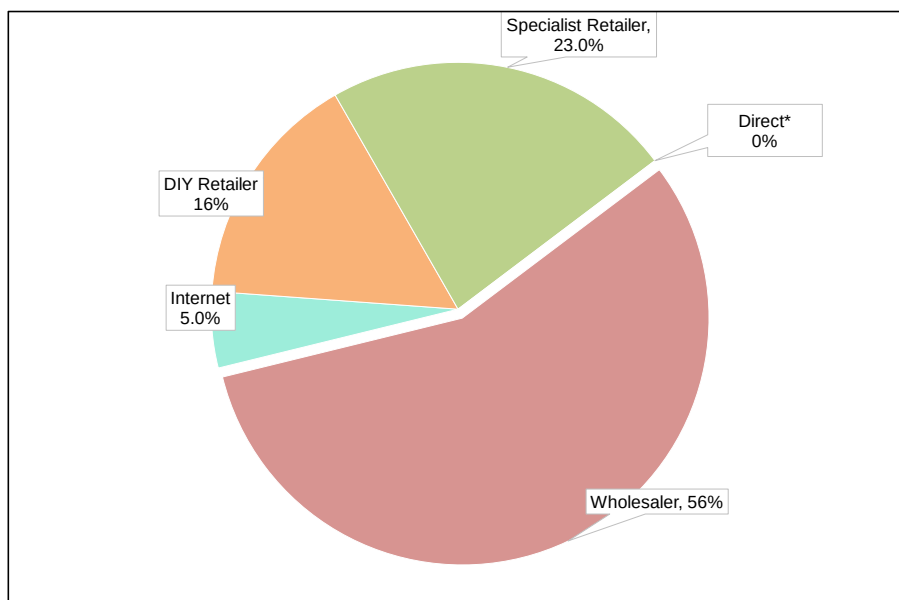
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
56.4%	5.0%	15.6%	23.0%	0.0%	38.0%	22.0%	38.5%	1.5%
100%					60.0%		40.0%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

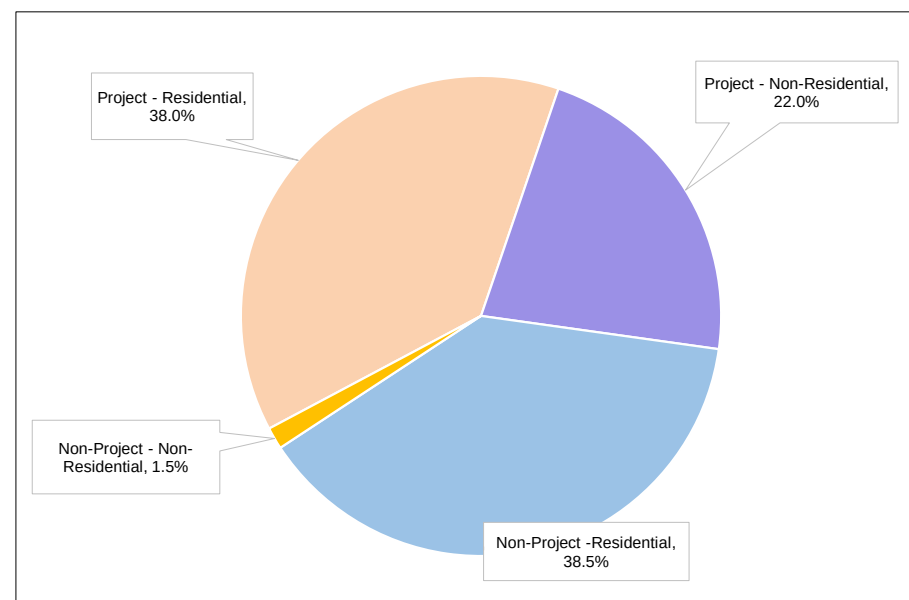
EE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
52.0%	7.0%	18.0%	23.0%	0.0%	29.0%	19.0%	50.7%	1.3%
100%					48.0%		52.0%	

EE - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



EE - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



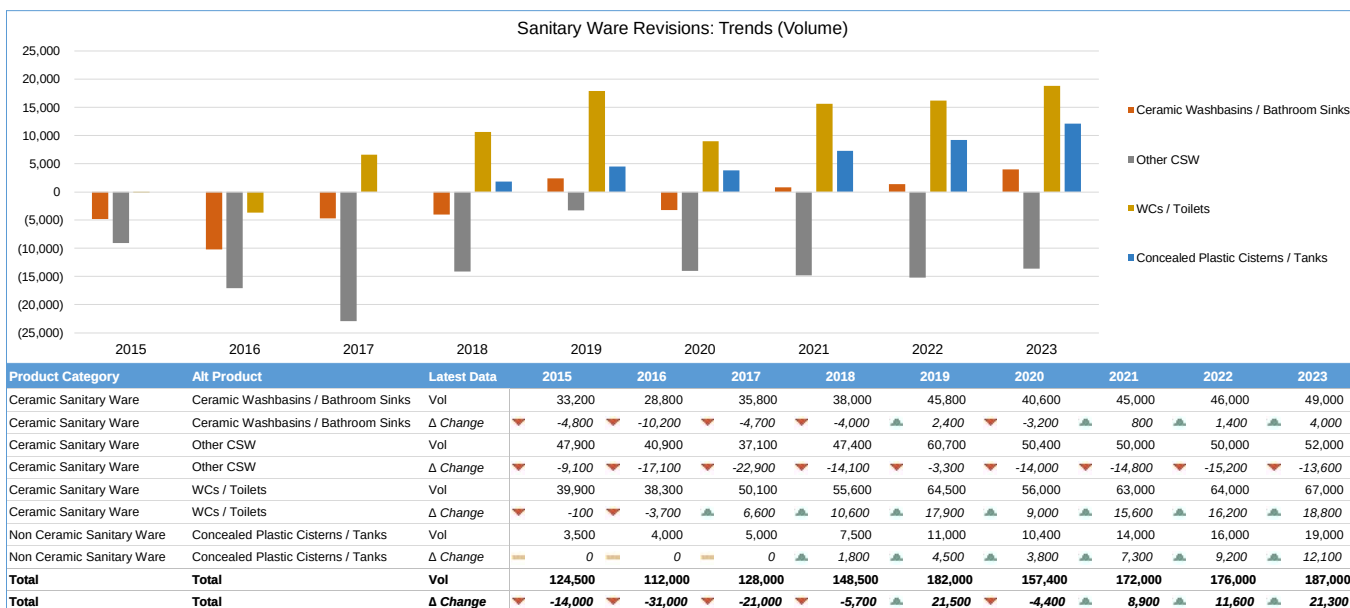
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Estonian Sanitary Ware Market (July 2020)

EE - REVISIONS IN THE ESTONIAN SANITARY WARE MARKET

Data Comparison: July 2019



In light of new data from manufacturers and customs sales of sanitary ware have been revised for 2005-2019. Rising imports from low labour countries, such as Poland and Turkey, have particularly grown. The changes affected end use segmentation and consequently caused decline in average MSP of ceramic washbasins and WCs and increase for other CSWs and plastic cisterns for 2019.

ESTONIA

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Similarly to the sanitary ware market, Estonia has one of the smallest markets for taps and mixers in Europe. From 1995 onwards, high growth rates were seen and helped the market to recover significantly, with sales reaching their peak in 2007. The economic downturn between 2008 and 2009 had a severe impact on sales volumes, although the taps and mixers market, in comparison to larger equipment markets (e.g. CSW), held up slightly better because they are cheaper products and hurt less financially if replaced. The taps and mixers market was the first segment of the overall Estonian bathroom market to see a stabilisation in the market decline, between 2009 and 2011.

The most important market trend seen on the Estonian market was the active entrance of Chinese (often unbranded) taps and mixers in the early 2000s, gaining market share at the expense of Italian and Eastern European brands. In 2005, the trend turned downwards, and the share of these Chinese products decreased sharply, due to their low quality and the growing popularity of the middle price segment. However, Chinese imports have increased again since 2009, which is believed to have been caused by the economic downturn. Chinese imports are still significant in the market. These products are low-priced, which makes them available to low-income households. BRG estimates that Chinese products will continue to occupy an important share of the economy segment in the near future. Chinese brands have not yet been sold in the construction market. Estonians are very keen to replace the existing Soviet equipment in their bathrooms with European products. BRG forecasts that the Estonian market is likely to grow in the mid-term, given the higher spending power of Estonians and the increase in renovation projects for non-residential buildings (especially offices and hotels).

The major characteristics of the Estonian market, similarly to the other Baltic countries, are as follows:

Out of the three Baltic states, Estonia has the highest share of single-lever, or one-head, mixers. Sales of one-head mixers make up the majority of sales in terms of volume and value, with the share of two-head mixer sales declining further. Increased demand for thermostatic mixers, in particular, has started to affect the growth rates for these mixers;

The share of pillar taps is very low, with a share of below 1% of the market per annum, and sales of thermostatic mixers are still marginal. Thermostatic mixers, however, have risen considerably during the last five years and should continue to gain share of the overall market;

The share of electronic and self-closing taps and mixers was still marginal in Estonia, with both types together accounting for around 1% of overall sales. They are only installed in the non-housing sector. Due to the COVID-19 pandemic, sales

of electronic taps and mixers are expected to increase significantly in 2020 and such sales are expected to remain high in the non-housing segment in the foreseeable future.

Recent Market Trends

The overall Estonian taps and mixers market recorded another good year in 2019. Replacement demand remains the main market driver, as taps and mixers usually have lower lifespans than other bathroom products (e.g. sanitary ware). Thus, the vast majority of taps and mixers went to the replacement sector last year. The largest market share still belonged, as in previous years, to the lower and economy price segments, especially Chinese unbranded products. The share of low-quality Asian products decreased, however, as consumers gave preference to better-quality products.

Prices and Market Values

The total value of the Estonian taps and mixers market increased in 2019, due to an increase in sales volumes. One-head mixers account for the vast majority of sales, due to their market dominance, followed by two-head mixers, and these two segments together account for the vast majority of the total market value. Washbasin and kitchen sink mixers are the most popular categories, due to the associated higher replacement levels.

The prices of most models increased in line with inflation, but due to change in sales mix, the MSP decreased for all product categories apart from bath taps and mixers. The average price of thermostatic and electric mixers is more than twice that of a standard one-head mixer. It should be noted that not many of these products are sold in the lower and economy segments. It is forecast that the average price for taps and mixers will fluctuate in the coming years, depending on consumer preference and innovations from Chinese and Western suppliers.

The majority of pillar, one-head and two-head mixers are sold in the economy and lower price segments, whereas thermostatic mixers are mainly sold in the middle-price sector.

New Housing

The new housing segment increased in 2019. However, compared to the large replacement demand it remained small. It is expected that the segment will decrease in short term, following the construction trend – as the expectations for the Estonian construction market remain unfavourable. Mostly one-lever, two-head and thermostatic mixers go to these segments. Usually, branded middle-price mixers are installed in the segment.

Housing RMI

The replacement and renovation segment is the largest in the market. This partly depends, on the one hand, on the relatively short lifespan of some products, and on the other hand – on the lower price when compared to other bathroom segments (as households can afford to replace products more frequently). The housing RMI segment recorded growth in 2019. It does not require a significant investment from the consumer to purchase a tap or a mixer and this, together with the products' relatively short lifespans, affects RMI demand in Estonia. Most two-head mixers are sold along with single-lever models in this segment. There is no obvious pattern between displacement and like-for-like replacements, and both occur on a regular basis.

These factors result in high replacement demand per annum. Sales are expected to fall in 2020, linked directly to the impact of the COVID-19 crisis.

Non-Housing

The non-housing segment is the smallest in terms of sales and share (in proportion to total sales). This segment has been growing along with the other segments; however, it is predicted that it will remain the smallest during the foreseeable future. Most self-closing and electronic mixers are sold in this segment. The market decreased in 2019. Due to the COVID-19 pandemic, demand for and sales of electric mixers increased significantly in the second quarter of 2020.

Supply Structure

The overall taps and mixers market is mainly split between the renovation and construction sectors, as mentioned above. While Western European brands (e.g. from Germany and Italy) compete in the construction segment, most Chinese, Italian, Lithuanian and Polish mixers aimed at the lower segment are sold via shops and DIY outlets and destined for the replacement segment. These replacement mixers account for the majority of the market. Chinese taps and mixers mainly go to 'budget' replacements and summer houses.

There are no domestic manufacturers. Only VIPEX distributes taps and mixers, under private label HARMA. BLUE STAR is another OEM present on the market.

RUBINETA remains the market leader and has an assembly facility in Lithuania. It predominantly imports parts from China and sells products in the neighbouring countries. ORAS' position is stronger in Estonia than in the other Baltic States. Due to its positioning in the higher price segment, it does not experience competition from Chinese brands. Additionally, construction companies usually opt for quality and therefore prefer to install taps and mixers of well-established brands, thus not usually specifying Chinese products. HANS GROHE is well-positioned in the market, and its successful marketing and price/quality balance are the main accelerators. It is believed to be a leader in the project sector. DAHL and EHITUSE

ABC are the main distributors of HANSGROHE. GUSTAVSBERG offers a wide range of products and sets. However, its sales remain low.

Sales of other well-established European brands have remained marginal. There are also other unbranded or OEM Chinese taps and mixers sold in the country. DIY stores play an important role in the market. Many brands, particularly Chinese and Eastern European ones, are sold in DIY stores.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The COVID-19 crisis started affecting Estonia in March and led to a two-month lockdown. Constructions and non-essential commercial activities were suspended. Individual housing construction was not affected much and was predominantly ongoing. Even though installers did not have a shortage of bathroom appliances, households were very cautious in allowing installers to enter the property. Installation/replacement activities also declined similar to construction activities. Lockdown lasted for about two months and the country started gradually reopening by the end of May as the number of infected people came down and became more controllable.

The government was able to support small businesses based on its financial resources. Considering that Estonia is an IT hub, businesses quickly adjusted to a new reality and retailers successfully switched to online sales.

The construction and replacement segments should leave significant imprint on the 2020 taps and mixers market. Some projects were put on hold due to lockdown measures. Some developers realise that they would not be able to sell dwellings profitably and may freeze projects. Some developers would not be able to sell completed dwellings (predominantly in the economy segment) and finally, some households would not have enough savings left to renovate the dwelling. The current crisis will negatively affect the property prices. At this stage, it is difficult to evaluate whether new buyers commit themselves to the purchase of new dwellings and consequently purchase and install taps and mixers or would put on hold expensive purchases until the market stabilises or there is a fall in property prices.

In terms of replacement, some end users are likely to postpone 'big ticket' purchases and save money. Only necessary replacements will take place on the market and most consumers will be largely driven by prices rather than quality. Some households may opt to purchase the lowest priced appliances as a temporary solution.

The overall taps and mixers market is forecast to decline in 2020 due to the lockdown measures, decreased purchasing power of the general population and an expected fall in replacement activity. Unemployment is likely to increase and real wages of the population to decline. The resumption of KREDEX programme should prevent sales from collapse. The overall taps and mixers market is forecast to remain under significant pressure and expected to only start recovering in 2021. Demand from the RMI segment should increase, due to the previously postponed replacement decisions. It is likely that housing construction would decrease in 2021-2022. With the high degree of certainty some new build flats would not be sold in 2020. As a result, start of some new projects will be postponed to 2021 and 2022.

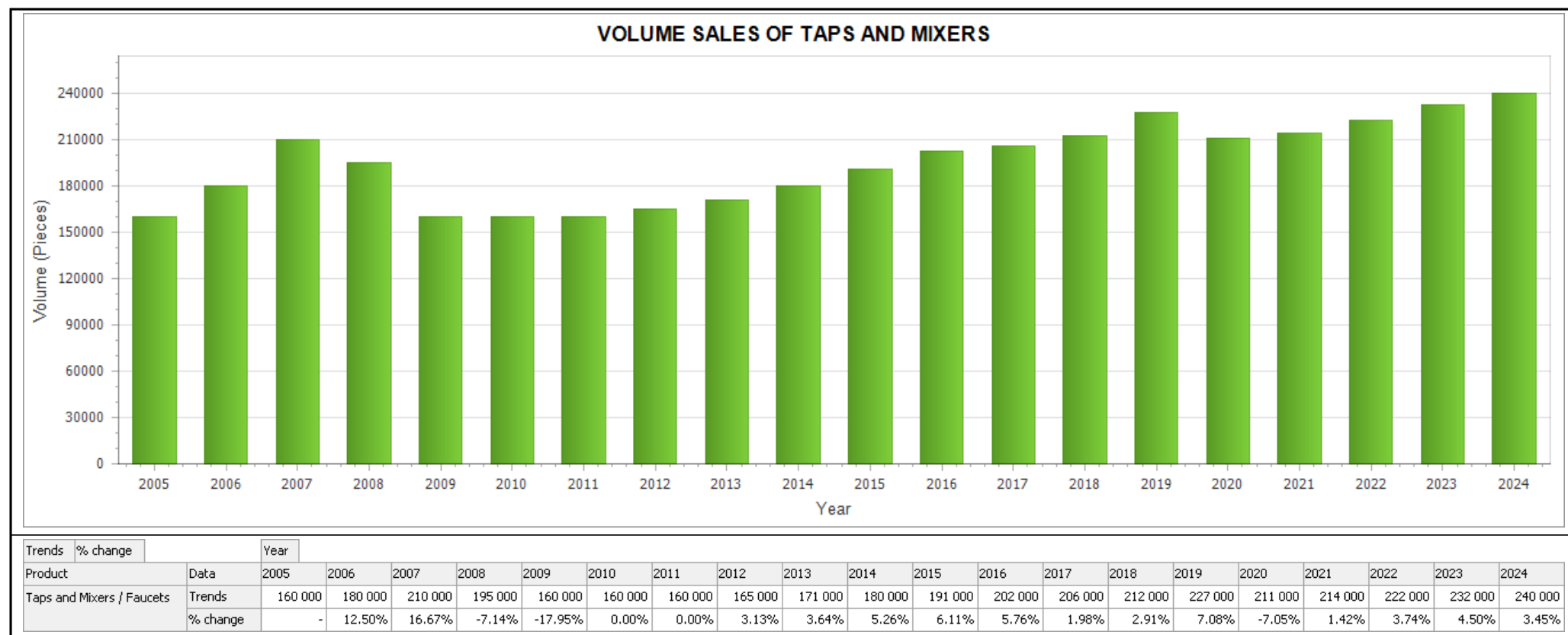
The replacement segment is expected to remain the decisive market driver, since it accounts for the largest share of the market. Self-closing and electric models are predominantly sold in the non-housing market, and their penetration should increase further.

The Estonian taps and mixers market is believed to be still far from saturation level, based on the quality of products sold in recent years (which require more frequent replacement). The share of one-head mixers should continue to grow and the share of two-head and pillar mixers should decline in the coming years, as the former proves to be a profitable substitution for two-head and pillar mixers. The share of thermostatic mixers, despite still being marginal, is forecast to increase further, mainly negatively affecting the demand for two-head and, to a lesser extent, one-head mixers.

The market is sensitive to the quality of products sold to consumers; the longer the product lasts, the less demand appears in the market. However, often even a good-quality model needs replacement before its lifespan reaches the end and, thus, its lifespan does not differ much from lower-quality models. The market is also dependent on consumer purchasing power, since low-income households usually have more serious problems to solve before they decide to renovate their bathrooms.

3.2 Historical Trends and Forecasts : Taps and Mixers

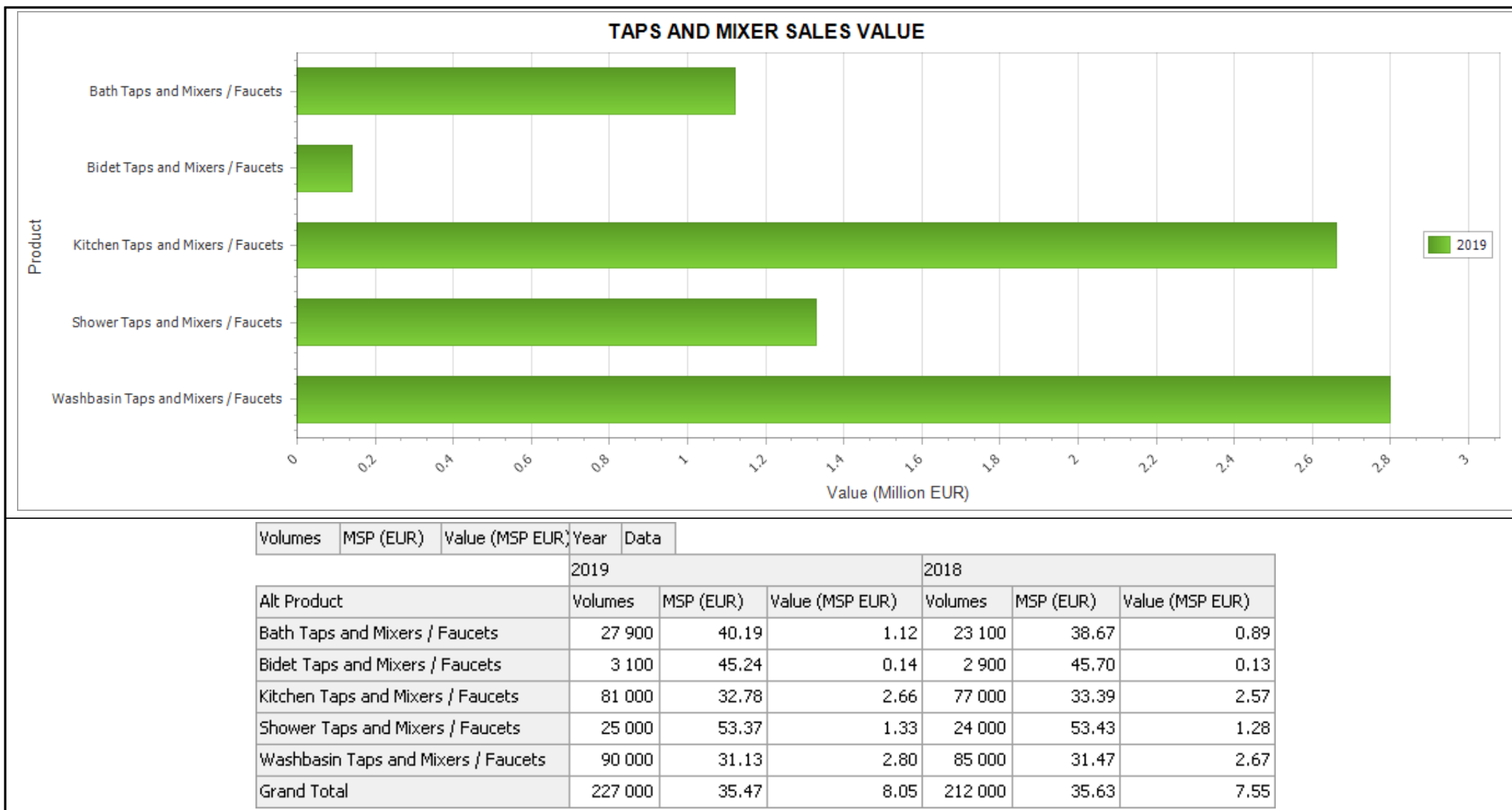
EE - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

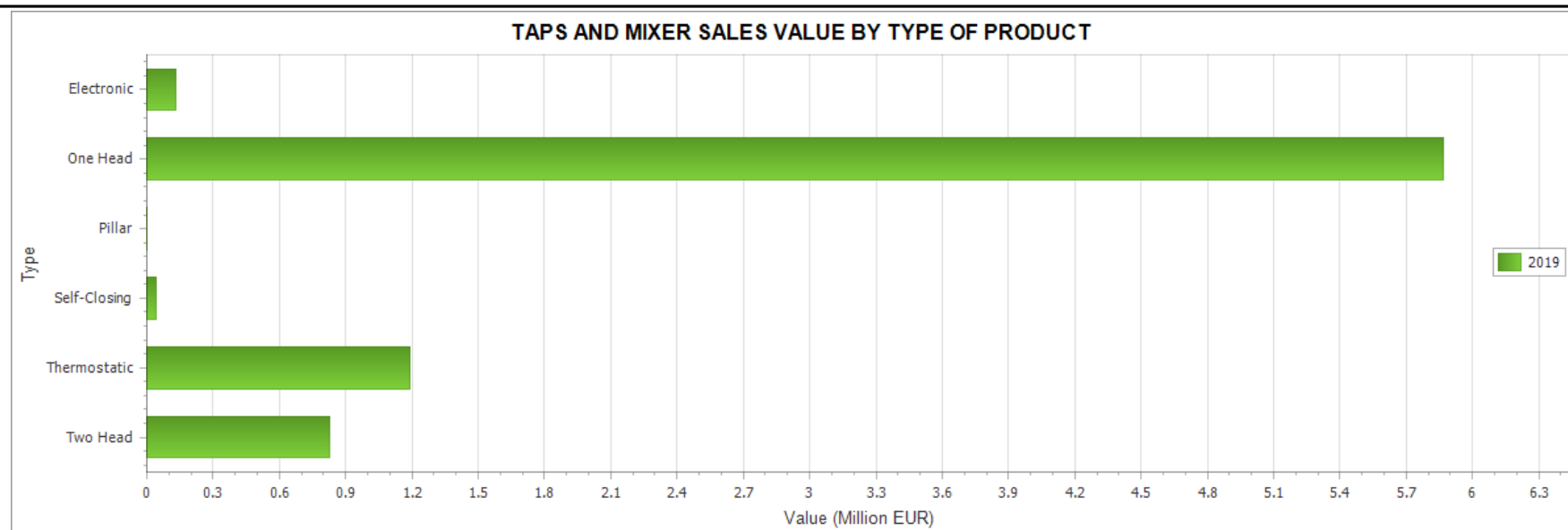
EE - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

EE - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT

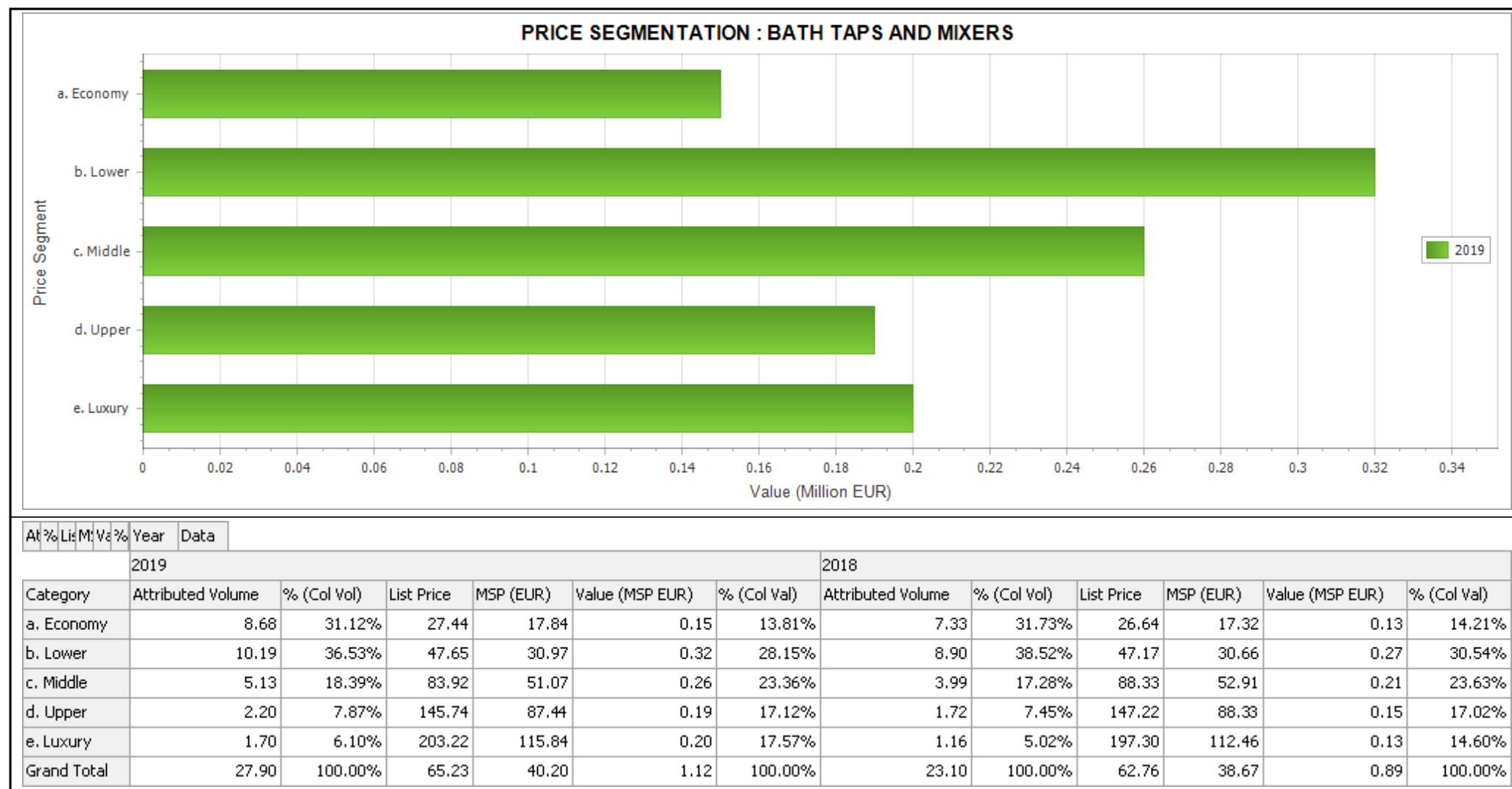


At %	MS Va %	Year	Data								
		2019				2018					
Category	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
Electronic	1.45	0.64%	89.08	0.13	1.60%	1.74	0.82%	88.20	0.15	2.03%	
One Head	185.56	81.74%	31.62	5.87	72.85%	172.23	81.24%	31.86	5.49	72.63%	
Pillar	0.25	0.11%	8.77	0.00	0.03%	0.22	0.11%	8.60	0.00	0.03%	
Self-Closing	0.77	0.34%	45.75	0.04	0.44%	0.99	0.47%	45.30	0.04	0.59%	
Thermostatic	12.15	5.35%	98.16	1.19	14.81%	11.16	5.26%	97.94	1.09	14.47%	
Two Head	26.83	11.82%	30.86	0.83	10.28%	25.67	12.11%	30.17	0.77	10.25%	
Grand Total	227.01	100.00%	35.48	8.05	100.00%	212.01	100.00%	35.63	7.55	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

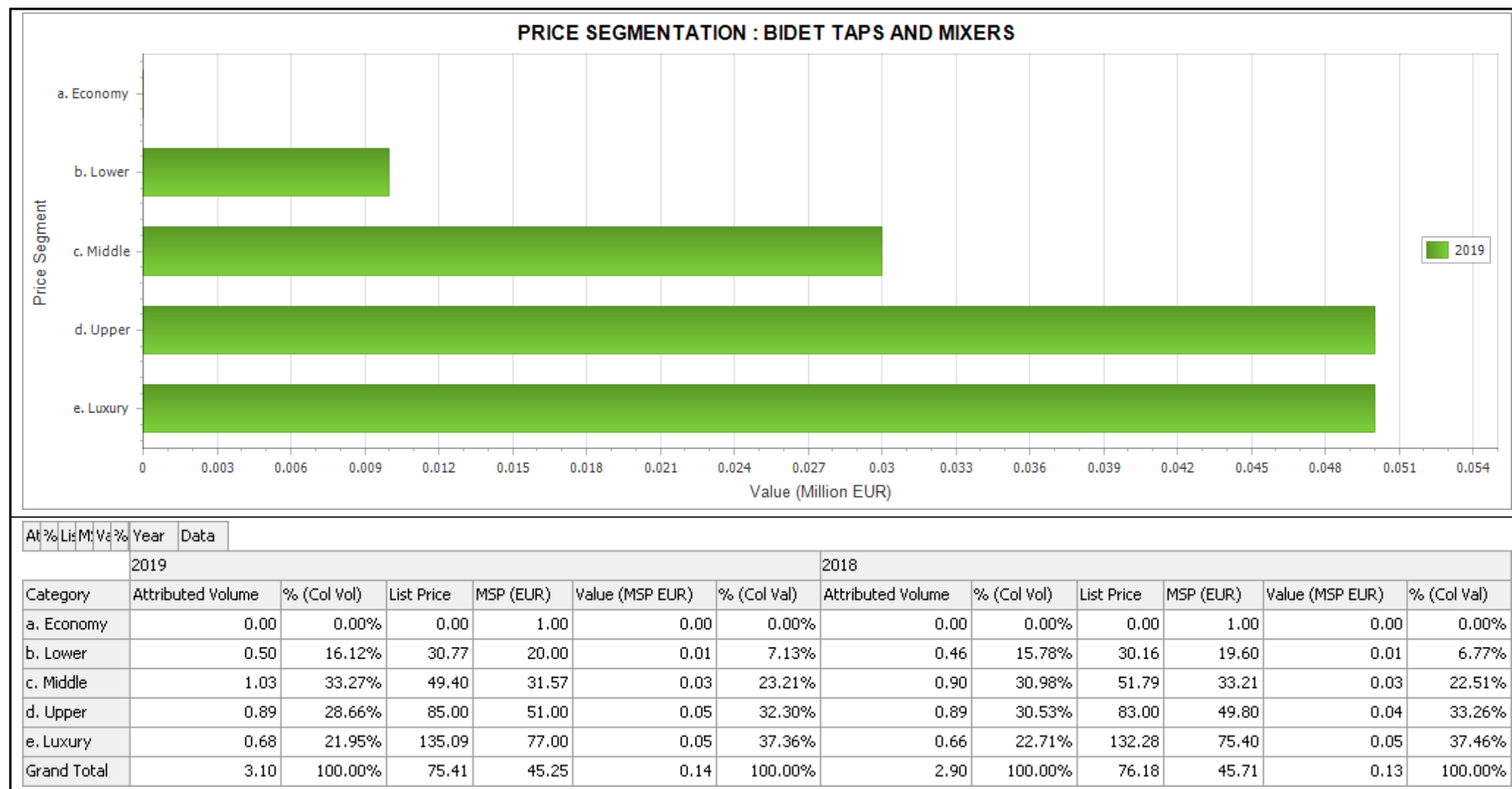
EE - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.4 Price Segmentation : Bidet Taps and Mixers

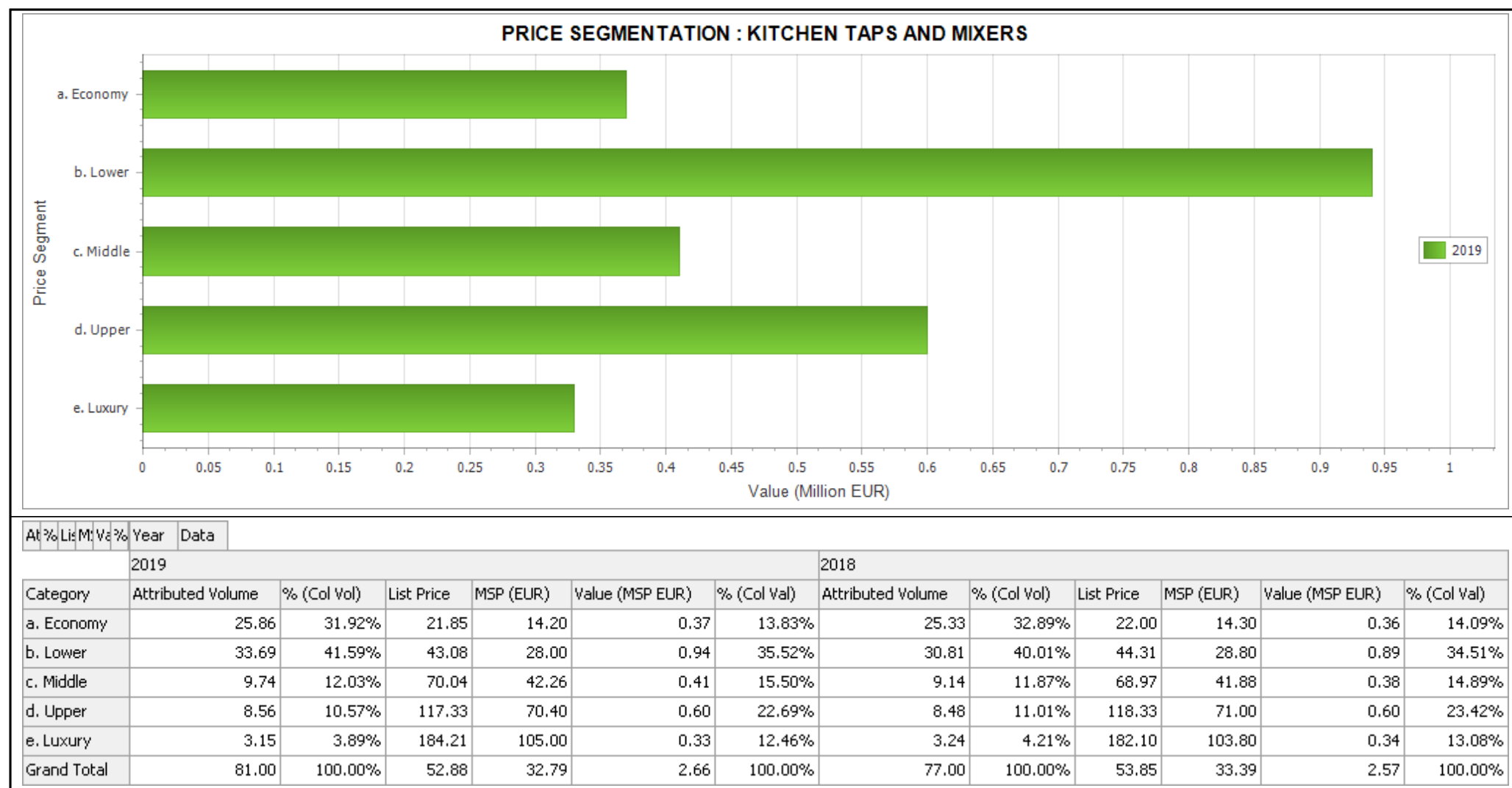
EE - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.3.5 Price Segmentation : Kitchen Taps and Mixers

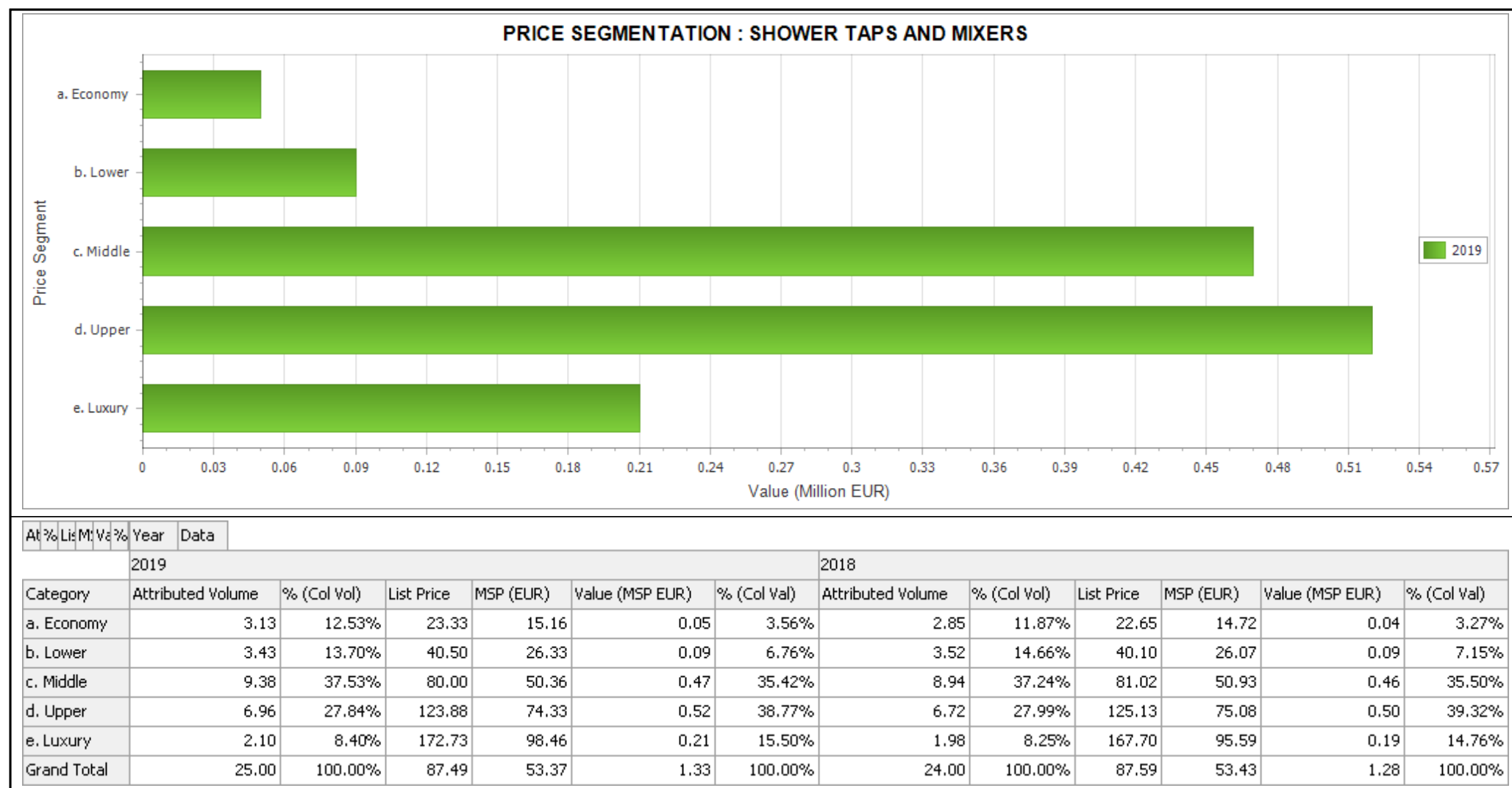
EE - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Taps and Mixers

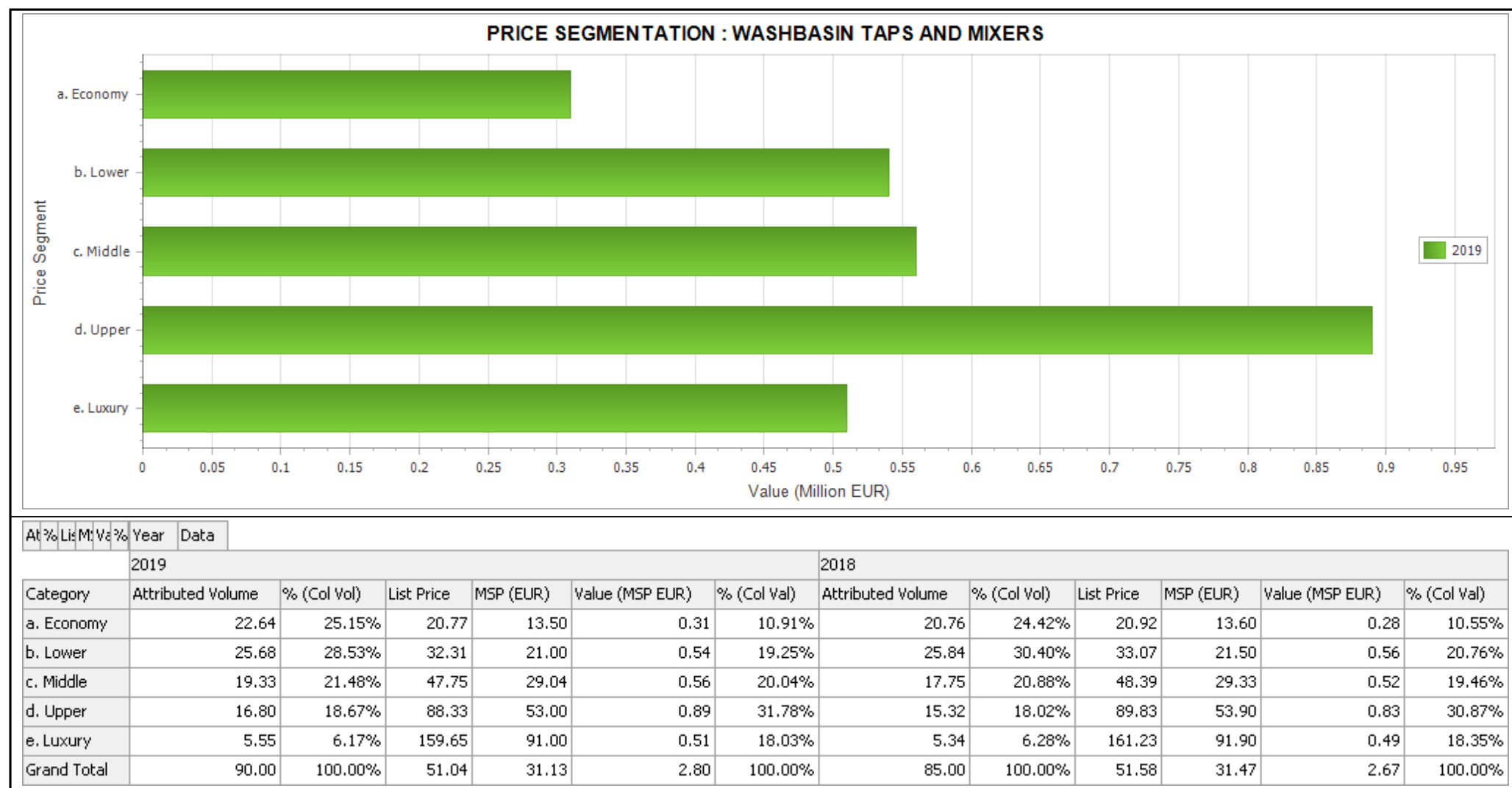
EE - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.7 Price Segmentation : Washbasin Taps and Mixers

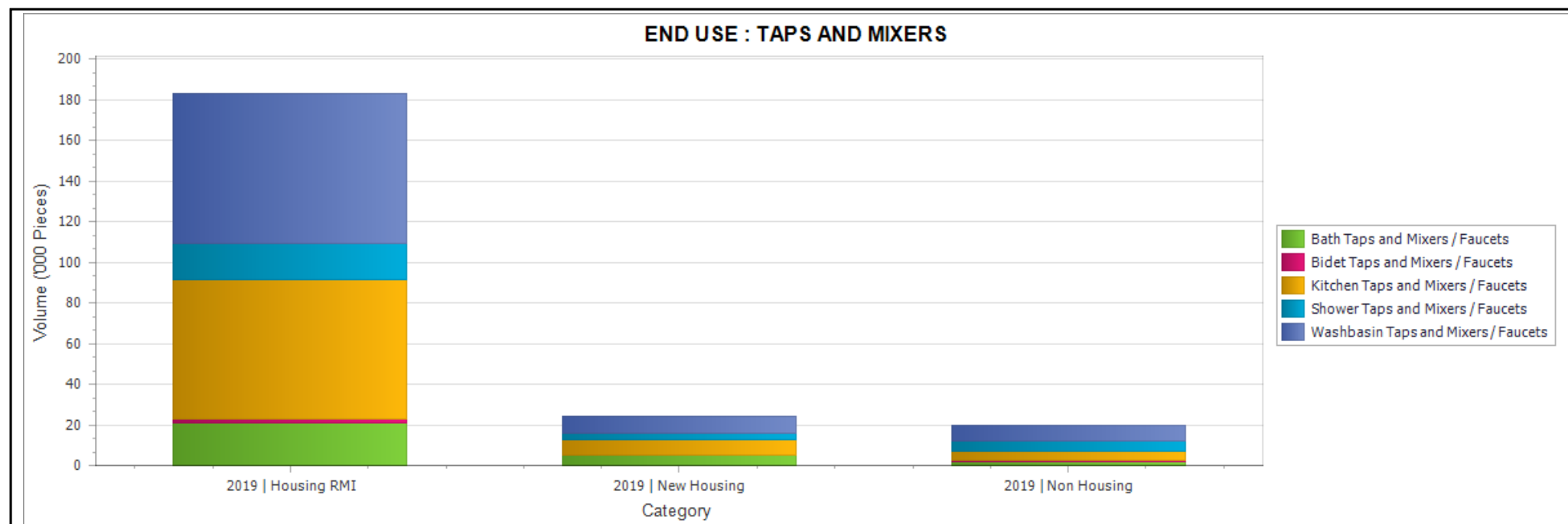
EE - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.4.1 End Use : Base Year

EE - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)

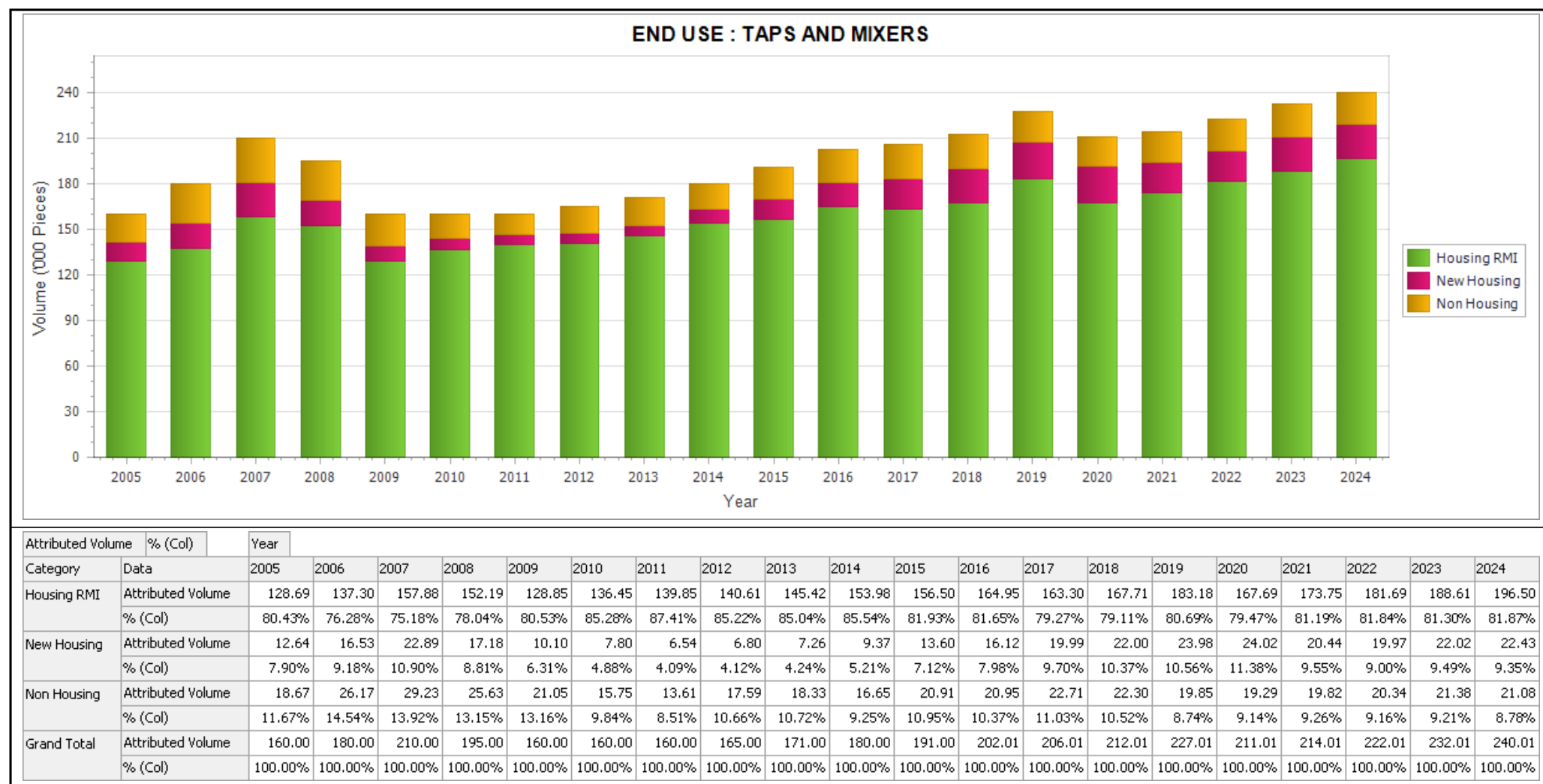


Attributed Volume	% (Col)	% (Row)	Year	Category	Data								
						2019					2019 Total		
						Housing RMI		New Housing		Non Housing			
Alt Product	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	
Bath Taps and Mixers / Faucets	20.77	11.34%	74.44%	5.06	21.10%	18.13%	2.07	10.44%	7.43%	27.90	12.29%	100.00%	
Bidet Taps and Mixers / Faucets	2.41	1.31%	77.62%	0.33	1.36%	10.51%	0.37	1.85%	11.87%	3.10	1.37%	100.00%	
Kitchen Taps and Mixers / Faucets	68.66	37.48%	84.76%	7.56	31.53%	9.33%	4.78	24.10%	5.91%	81.00	35.68%	100.00%	
Shower Taps and Mixers / Faucets	17.43	9.51%	69.71%	2.99	12.45%	11.94%	4.59	23.10%	18.34%	25.00	11.01%	100.00%	
Washbasin Taps and Mixers / Faucets	73.92	40.35%	82.13%	8.04	33.55%	8.94%	8.04	40.51%	8.93%	90.00	39.65%	100.00%	
Grand Total	183.18	100.00%	80.69%	23.98	100.00%	10.56%	19.85	100.00%	8.74%	227.01	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

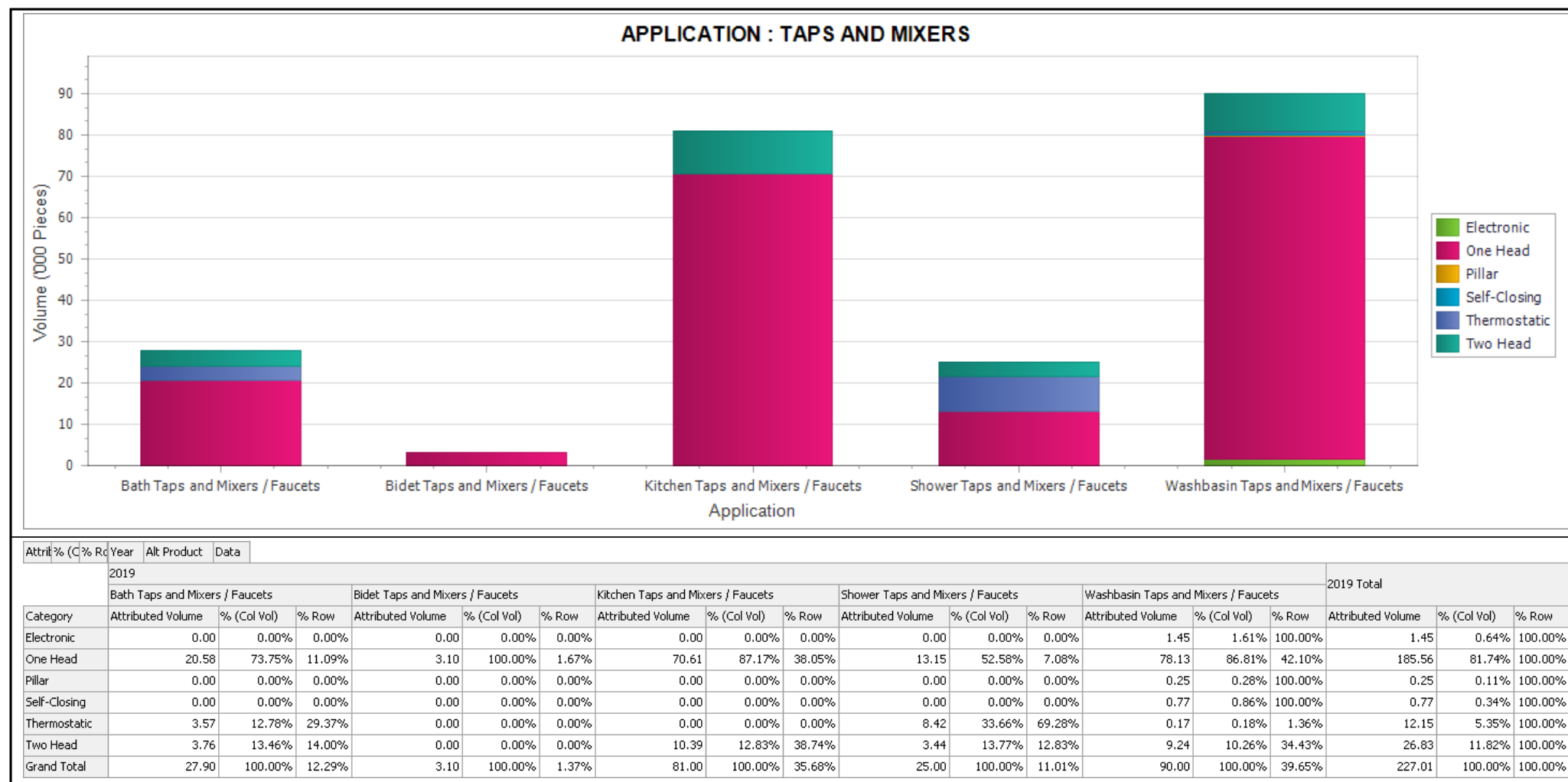
EE - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

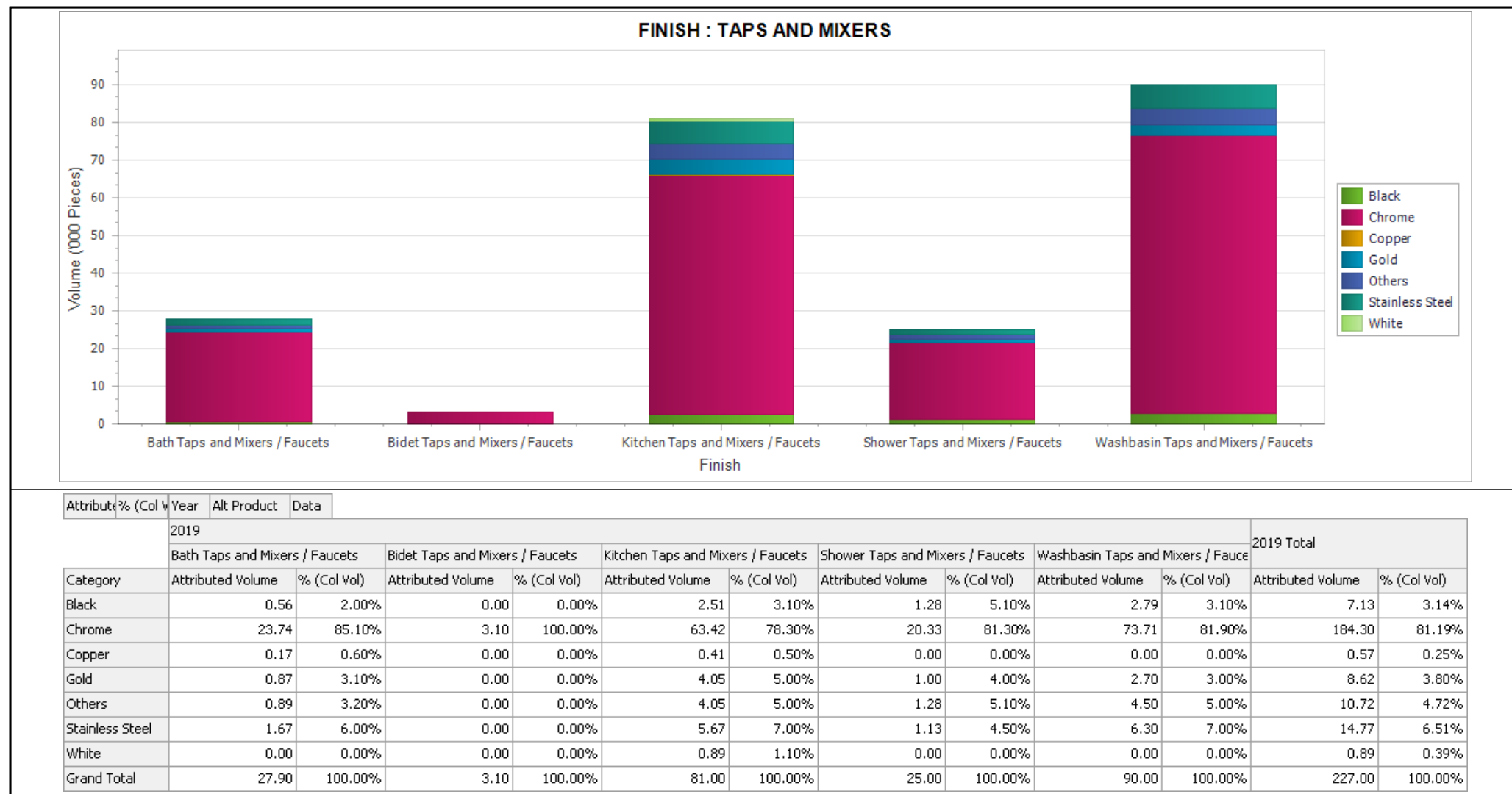
EE - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

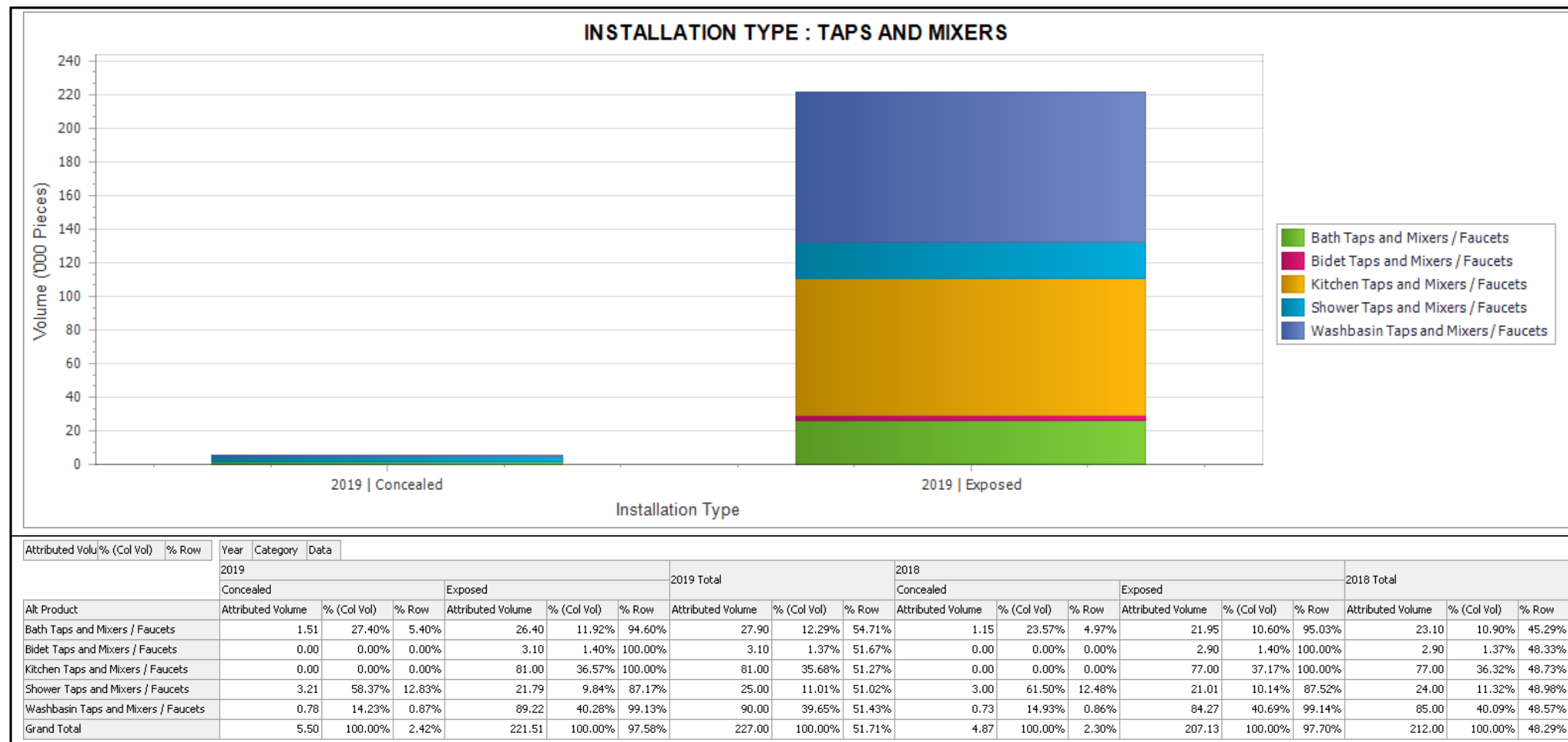
EE - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

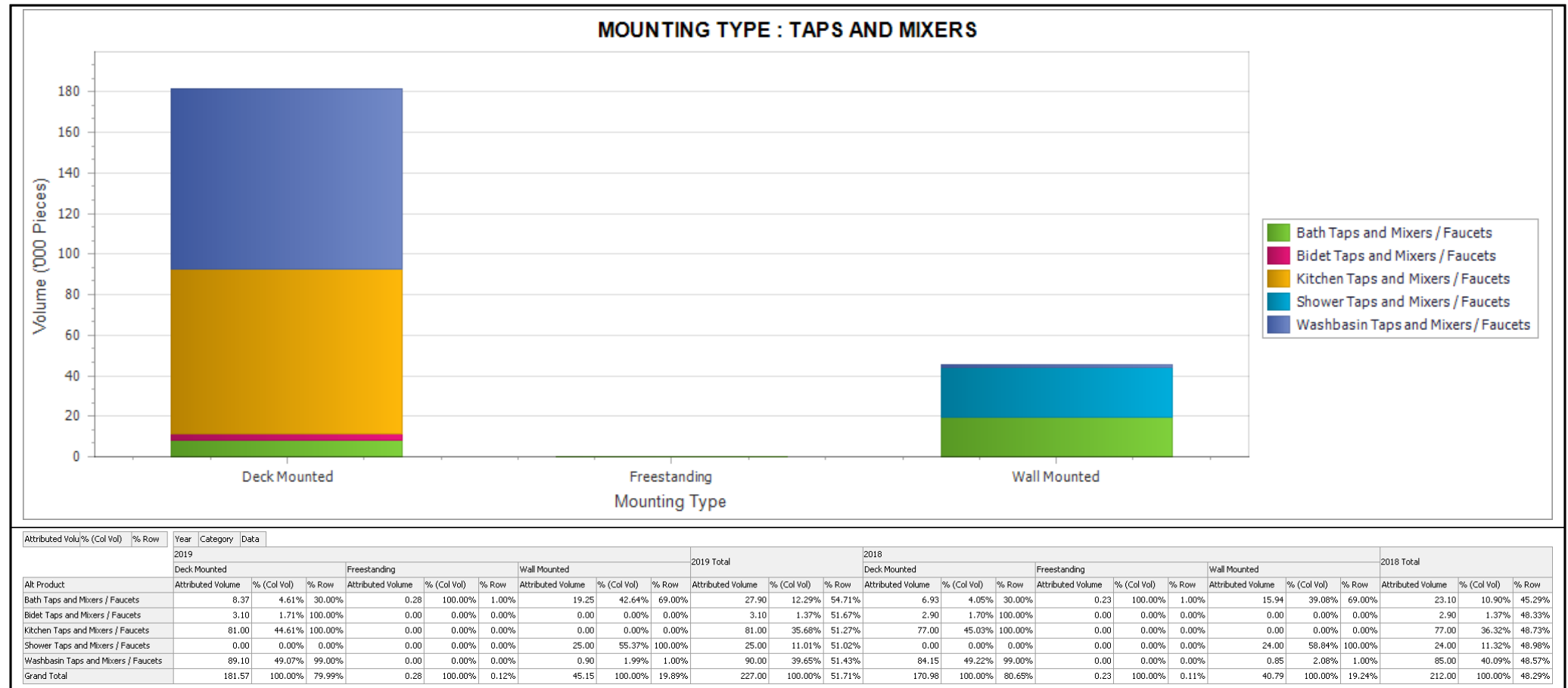
EE - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

EE - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)

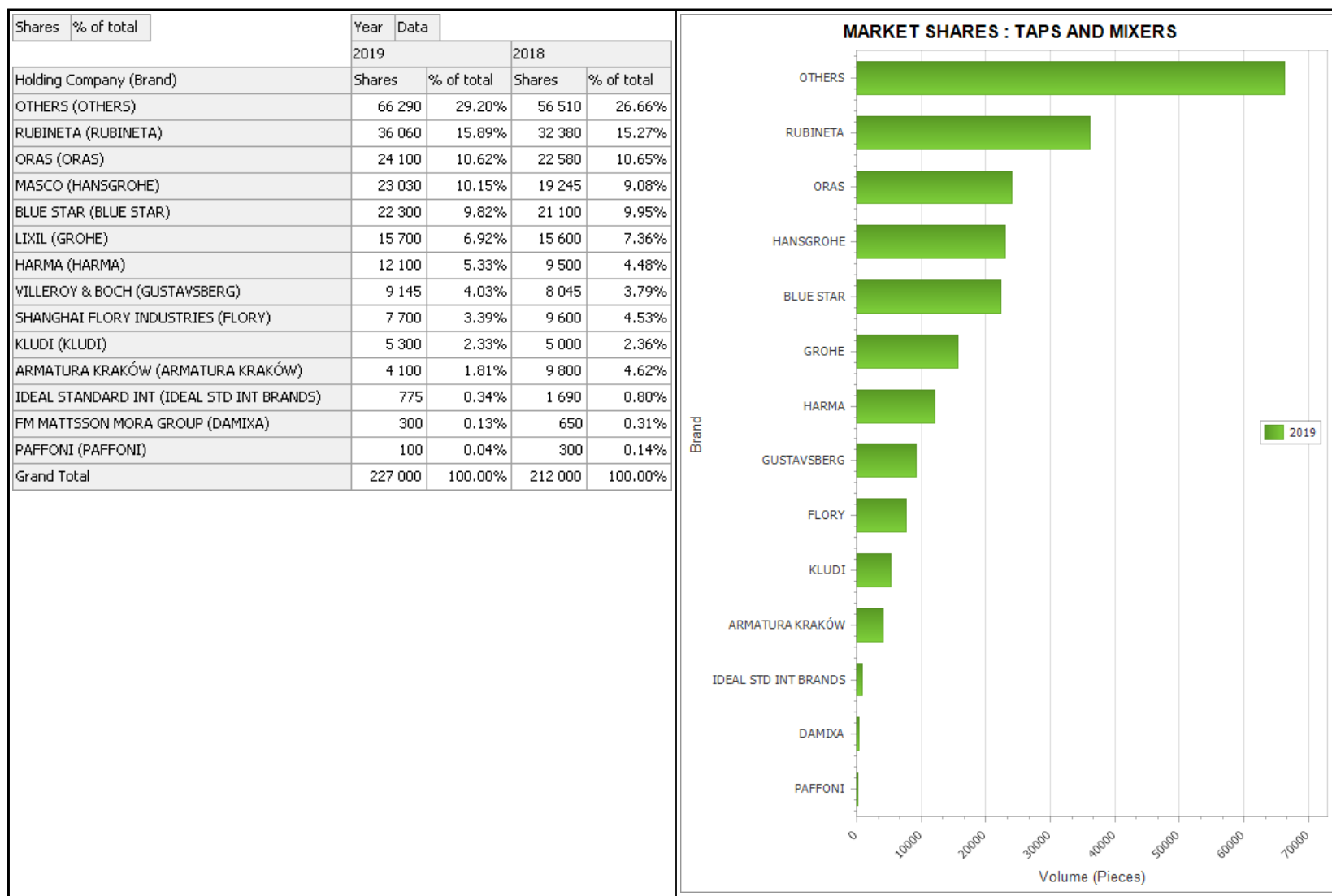


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5

Market Shares : Taps and Mixers

EE - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 EE - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	156	26.9%	5 280	40.2%	107	18.8%	3 768	31.6%
China	131	22.7%	1 475	11.2%	203	35.7%	2 308	19.3%
Finland	94	16.2%	2 539	19.3%	38	6.6%	1 258	10.5%
Lithuania	54	9.2%	957	7.3%	32	5.6%	368	3.1%
Italy	33	5.7%	645	4.9%	42	7.4%	792	6.6%
Poland	28	4.9%	439	3.3%	22	3.9%	374	3.1%
Denmark	16	2.8%	441	3.4%	10	1.7%	355	3.0%
Latvia	16	2.8%	248	1.9%	20	3.6%	211	1.8%
Czech Republic	13	2.3%	89	0.7%	9	1.6%	125	1.0%
Sweden	8	1.4%	285	2.2%	23	4.1%	766	6.4%
Spain	8	1.4%	129	1.0%	5	0.9%	83	0.7%
OTHERS	21	3.6%	613	4.7%	57	10.0%	1 528	12.8%
Total	580	100.0%	13 140	100.0%	569	100.0%	11 936	100.0%

Source : Trademap

3.6.2 EE - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Finland	27	40.6%	928	46.3%	23	16.5%	869	30.3%
Lithuania	11	16.8%	153	7.6%	20	14.1%	201	7.0%
Latvia	6	8.6%	81	4.0%	6	4.0%	85	3.0%
Sweden	5	7.8%	37	1.8%	2	1.7%	24	0.8%
Belarus	3	4.8%	39	1.9%	5	3.5%	54	1.9%
Czech Republic	3	4.4%	29	1.4%	0	0.1%	3	0.1%
Russian Federation	3	4.4%	126	6.3%	78	55.9%	1 031	36.0%
United States of America	2	3.6%	447	22.3%	1	1.0%	466	16.3%
Japan	2	2.9%	2	0.1%	0	0.0%	0	0.0%
Denmark	1	1.4%	57	2.8%	1	0.4%	4	0.1%
Norway	1	1.2%	25	1.2%	0	0.3%	16	0.6%
OTHERS	2	3.5%	82	4.1%	4	2.6%	111	3.9%
Total	68	100.0%	2 006	100.0%	140	100.0%	2 864	100.0%

Source : Trademap

3.7.1

Route to Market: Taps & Mixers / Faucets
EE - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	84.1%
	Wholesalers / Merchants
	84.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	7.0%	15.9%	23.0%	0.0%	42.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.0%		38.9%		42.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	5.0%	0.0%	0.0%	12.0%
Installers				
17.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	5.1%	7.0%	38.9%	30.0%	10.3%
	Residential					
	91.3%					
	New Build			Residential RMI		
	10.6%			80.7%		
	Project	Non-Project		Project	Non-Project	
	9.0%	1.6%		2.0%	78.7%	

Manufacturer 0.0%	Wholesaler 2.0%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 6.7%
Non-Residential 8.7%					
New Build 1.0%			Non-Residential RMI 7.7%		
Project 1.0%	Non-Project 0.0%		Project 3.0%	Non-Project 4.7%	

3.7.2

Route to Market: Taps & Mixers / Faucets
EE - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	82.0%
	Wholesalers / Merchants
	82.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	9.0%	18.0%	18.0%	0.0%	41.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.0%		36.0%		41.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	4.0%	0.0%	0.0%	11.0%
Installers				
15.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	8.0%	9.0%	36.0%	30.0%	8.2%
	Residential					
	91.2%					
	New Build			Residential RMI		
	9.3%			81.9%		
	Project	Non-Project		Project	Non-Project	
	8.0%	1.3%		2.0%	79.9%	

Manufacturer 0.0%	Wholesaler 2.0%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 6.8%
Non-Residential 8.8%					
New Build 1.0%			Non-Residential RMI 7.8%		
Project 1.0%	Non-Project 0.0%		Project 3.0%	Non-Project 4.8%	

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Taps and Mixers / Faucets

EE - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2019

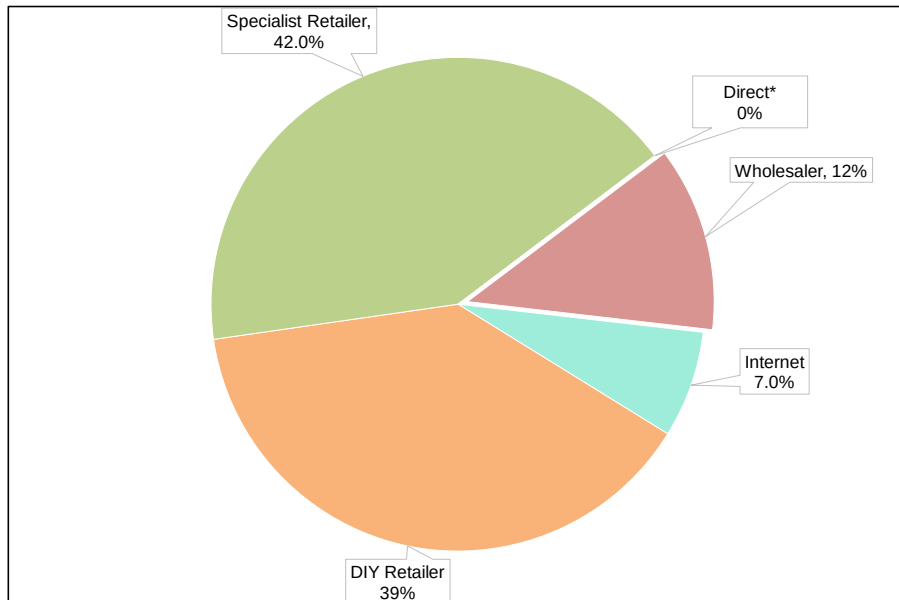
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
12.1%	7.0%	38.9%	42.0%	0.0%	11.0%	4.0%	80.3%	4.7%
100%					15.0%		85.0%	

3.7.4 Route to Market - Consolidated View : Taps and Mixers / Faucets

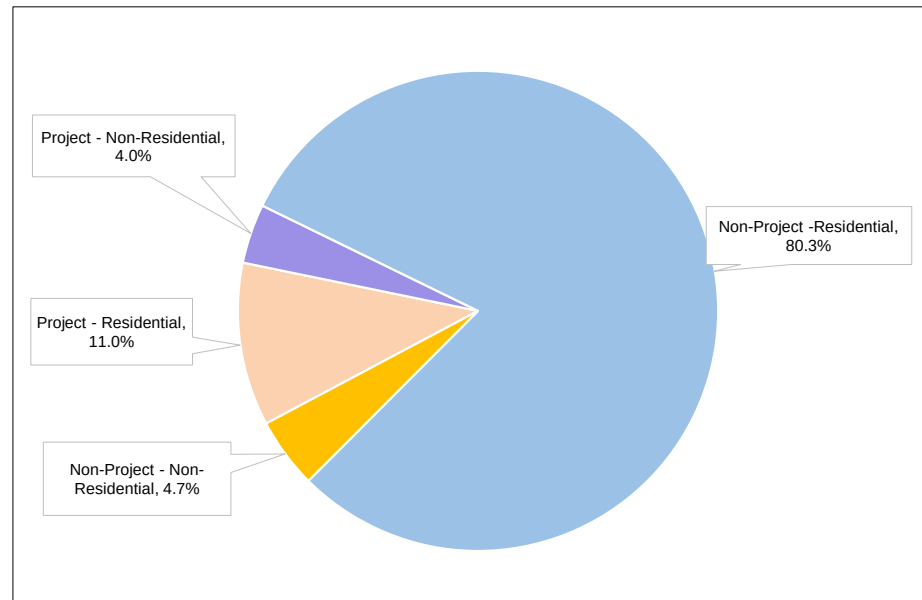
EE - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
14.0%	9.0%	36.0%	41.0%	0.0%	10.0%	4.0%	81.2%	4.8%
100%					14.0%		86.0%	

EE - SALES OF TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



EE - SALES OF TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



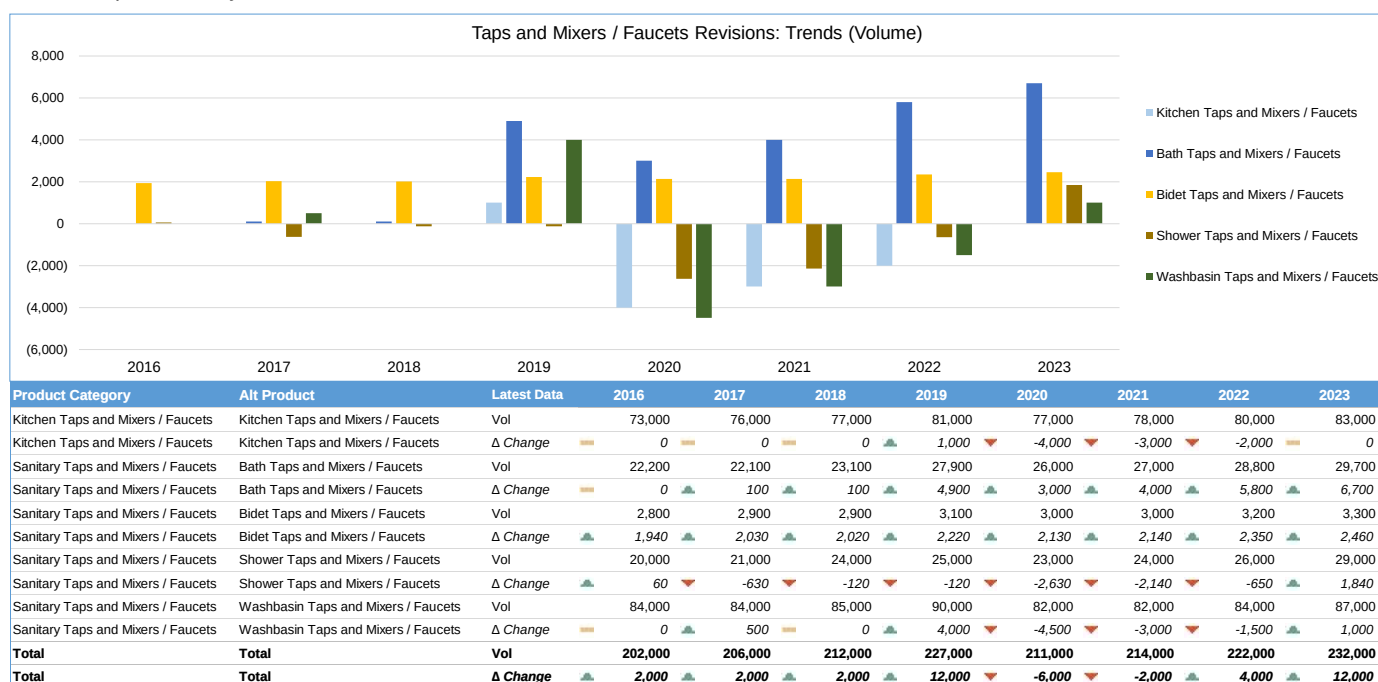
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Estonian Taps and Mixers / Faucets Market (July 2020)

EE - REVISIONS IN THE ESTONIAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: July 2019



Sales of bidets taps and mixers have been revised upwards for 2016-2019. Other taps and mixers applications saw only minor revisions, mostly due to rounding.

ESTONIA

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The market for shower wall products is still underdeveloped in Estonia, which is in line with the Estonian shower tray market, and the market has only significantly started to move forward in recent years. Despite having shown solid growth rates during the mid- to late 1990s and the 2000s, growth, in volume terms, has been rather slow. More solid growth rates have been recorded on the overall bath and shower tray market ever since the 1990s. These different market developments might indicate that not all shower and bathing products actually have a shower wall product installed.

The Estonian shower wall products market still mainly consists of shower enclosures, with only smaller quantities of shower cubicles and bath screens sold per annum. Thus, the market closely follows the trend set by the shower tray market and the rate at which Estonians replace baths with showers in their bathrooms. However, recently developing trends suggest that sales of shower enclosures without shower trays are increasing, similarly to the trend of Scandinavian showers. Unlike in other Baltic markets, Estonian consumers have generally kept their preference for baths, including hydromassage bathtubs, and bath sales still clearly exceed total shower tray sales. Bath screens and shower cubicles are sold mainly to hotels within the non-housing segment.

Most shower enclosures are made of glass. The same can be applied to bath screens. Hydrotherapy cubicle sales expanded quickly after the product's introduction, but their volume remained low, especially when compared to the market for hydromassage baths. Due to the appearance of several low-priced Chinese OEM brands in 2004, sales grew significantly before the 2008 credit crunch.

Recent Market Trends

In 2019, the overall shower wall market continued to be dominated by shower enclosures, which experienced another jump in sales volumes in line with sales of shower trays and the increasing uptake of wet rooms. Sales of shower cubicles and bath screens remained marginal, although the latter experienced an increase, albeit from a low base.

Prices and Market Values

The total value of the shower wall product market increased in 2019, thanks to healthy growth rates and higher average prices in most market segments. Unsurprisingly, the majority of the market value came from shower enclosures, while the other product segments only accounted for minor shares.

A significant share of products came from China, and for some contracts, prices were fixed in USD – which influenced price formation. The prices, at MSP, for most

Eastern European products are very competitive. Shower enclosures from Western Europe are estimated to be twice as expensive as those imported from Eastern Europe.

Shower wall products are popular among middle-class young families and the new build market. As a result, most products are sold in the lower and middle price segments, with hardly any units sold in the upper/luxury price segments.

The average prices for hydrotherapy cubicles decreased in 2019. Regarding hydrotherapy cubicles, there has been a shift from the upper and middle price segments towards the lower price segment.

New Housing

The new housing segment increased in 2019, in terms of both volume and share, as it benefitted from the strong growth rates on the construction market. Shower enclosures are favoured in this segment. Bath screens still have a considerable share in new build. Also, households prefer to have a modern bath screen to a curtain. Conventional shower cubicles only have a marginal share. Sales of bath screens and conventional shower cubicles do, however, tend to rely slightly more on this segment than those of shower enclosures. Therefore, the jump in sales of bath screens can be traced back to the increase in new dwelling completions.

Housing RMI

The replacement and renovation segment remained the main market segment for shower wall products in 2019. This segment benefited, to a great extent, from the expanding economic activity and improved consumer confidence, with its positive effects on household expenditure. The segment is expected to increase in the foreseeable future in terms of sales. The overall market seems to be immature and relies heavily on the RMI segment, particularly for shower enclosures.

The hydrotherapy cubicles segment recorded a minor increase in 2019.

Non-Housing

The non-housing segment declined in 2019 in terms of volume. The segment is expected to continue to grow during the next few years. The construction of new hotels and other public buildings has been feeding the market demand. There are no significant hotel projects planned for the future, meaning that the demand should increase due to increasing replacement levels in the non-housing sector.

Supply Structure

The bulk of the shower enclosures market is in the hands of importers. The three main sources of supply are Eastern Europe, the Far East and the Nordic countries. RAVAK of the Czech Republic remained the market leader in 2019; it remains among the top suppliers thanks to its pricing policy and good brand

recognition. RAVAK leads the shower enclosures market. DUSCHY, originally a Scandinavian company, moved its production facilities to China and remains in second place. BALTECO, an Estonian company, has significant sales; however, it was not able to compete with Chinese imports in the lower segment and left this segment to target only the upper market segment. More than 30 companies distribute BALTECO in Estonia.

The market leaders in the hydrotherapy shower cubicles segment remained DUSCHY and BALTECO in 2019. DUSCHY is distributed by its Estonian representative office, DUSCHY MARKETING.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The COVID-19 crisis started affecting Estonia in March and led to a two-month lockdown. Constructions and non-essential commercial activities were suspended. Individual housing construction was not affected much and was predominantly ongoing. Even though installers did not have a shortage of bathroom appliances, households were very cautious in allowing installers to enter the property. Installation/replacement activities also declined similar to construction activities. Lockdown lasted for about two months and the country started gradually reopening by the end of May as the number of infected people came down and became more controllable.

The government was able to support small businesses based on its financial resources. Considering that Estonia is an IT hub, businesses quickly adjusted to a new reality and retailers successfully switched to online sales.

The construction and replacement segments should leave significant imprint on the 2020 bathroom market. Some projects were put on hold due to lockdown measures. Some developers realise that they would not be able to sell dwellings profitably and may freeze projects. Some developers would not be able to sell completed dwellings (predominantly in the economy segment) and finally, some households would not have enough savings left to renovate the dwelling. The current crisis will negatively affect the property prices. At this stage, it is difficult to evaluate whether new buyers commit themselves to purchase of new dwellings and consequently purchase and installations of bathroom appliances or would put on hold expensive purchases until the market stabilises or there is a fall in property prices.

In terms of replacement, some end users are likely to postpone 'big ticket' purchases and save money. Only necessary replacements will take place on the market and most consumers will be largely driven by prices rather than quality.

Some households may opt to purchase the lowest priced appliances as a temporary solution.

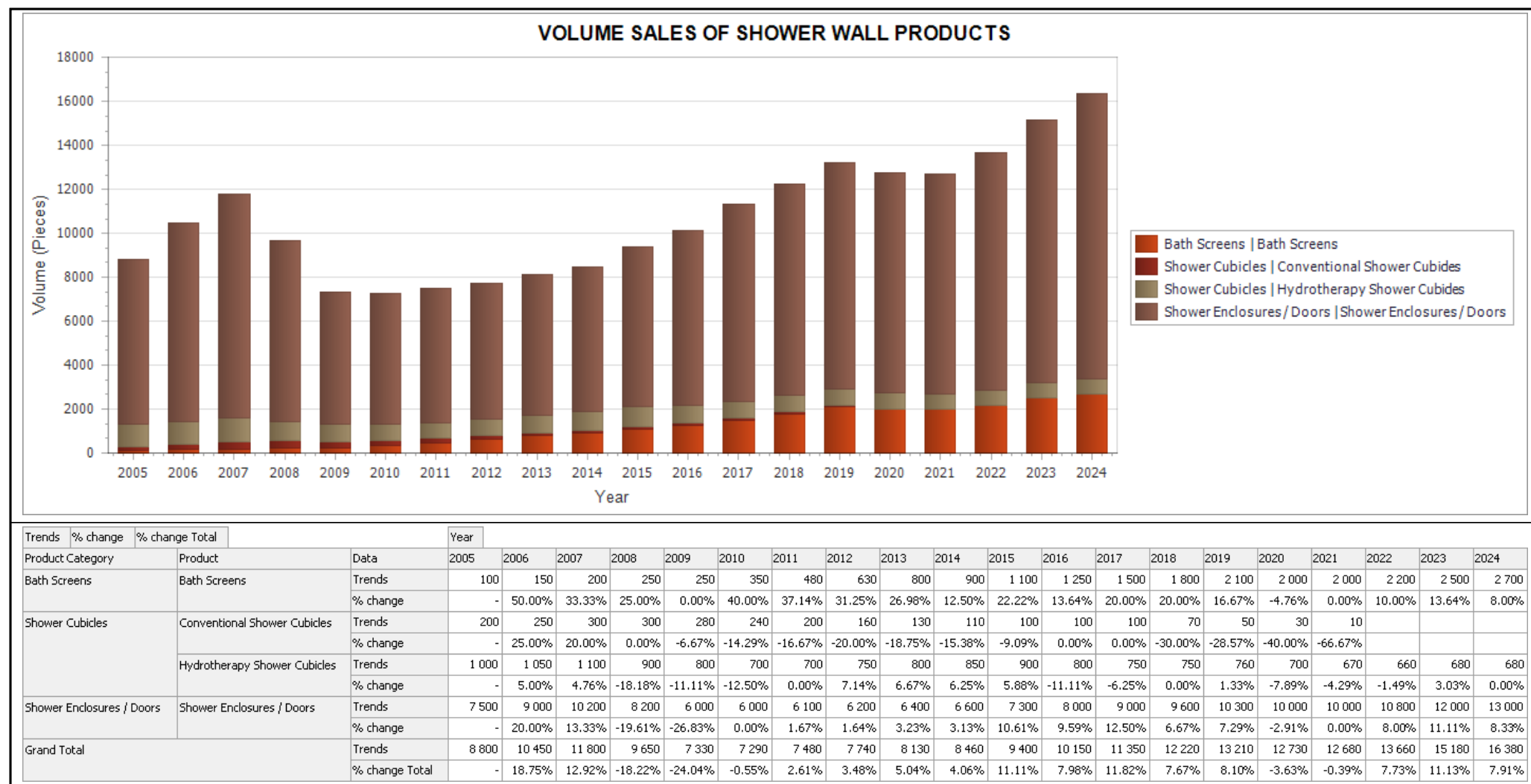
The overall shower wall market is forecast to decline in 2020 due to the lockdown measures, decreased purchasing power of the general population and an expected fall in replacement activity. Unemployment is likely to increase and real wages of the population to decline. The resumption of KREDEX programme should prevent sales from collapse. The overall bathroom market is forecast to remain under significant pressure and expected to only start recovering in the second half of 2022. Demand from the RMI segment should increase, due to the previously postponed replacement decisions. It is likely that housing construction would decrease in 2021-2022. With the high degree of certainty some new build flats would not be sold in 2020. As a result, start of some new projects will be postponed to 2021 and 2022.

The overall shower wall product market is estimated to then grow during the forecast period, fuelled by higher construction and replacement demand after 2021. Sales of shower enclosures and bath screens are forecast to increase, whereas the conventional shower cubicles segment is expected to shrink by contrast. Shower enclosures are by far the largest product segment within the shower wall family. In the long term, the share of shower wall products should increase in the new housing sector, in line with sales of synthetic shower trays. In addition, due to the closeness of Estonia to Scandinavia, Scandinavian-style tiled showers are likely to become more popular. In terms of the non-housing segment, including hotels, the penetration of shower enclosures is also likely to increase. Further the penetration of bath screen into the housing market is forecast to increase as well.

The market is sensitive to the general economic situation, since Estonians react very sensitively to changes in their purchasing power. The country is not developed as much as most Western European countries, which means that consumers are much more careful when making their decisions than those from wealthier countries. The consumer confidence indicator is a very sensitive measure for forecasting future sales in the market. The construction segment is another stimulating factor for the market's sales.

4.2 Historical Trends and Forecasts : Shower Wall

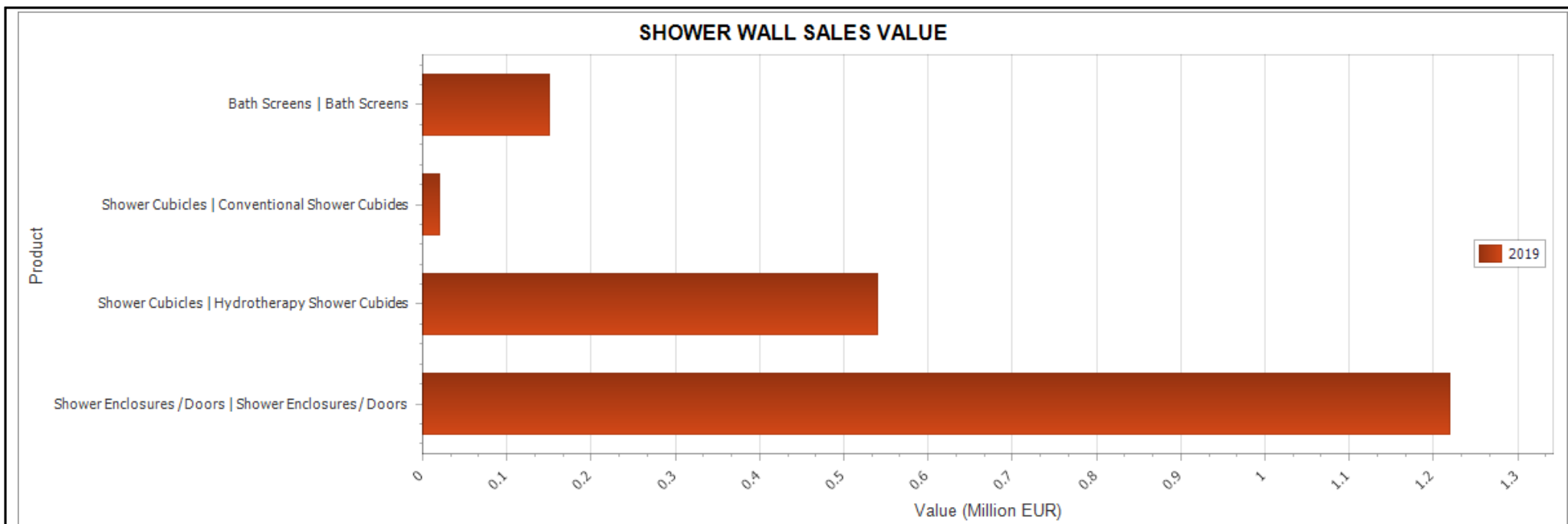
EE - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

EE - ESTIMATED VALUES OF THE SHOWER WALL MARKET

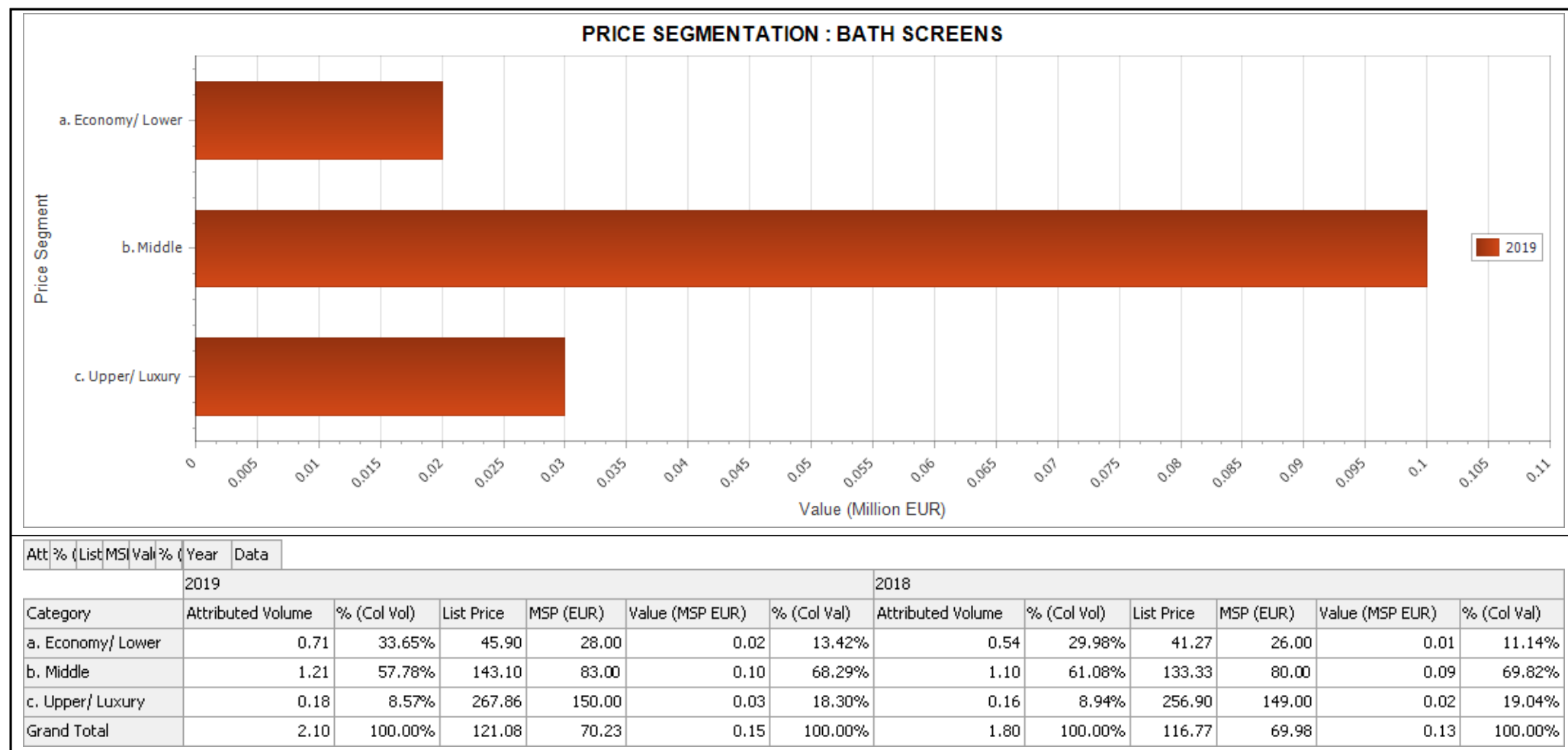


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
		2019			2018			
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Bath Screens	Bath Screens	2 100	70.24	0.15	1 800	69.93	0.13	
Shower Cubicles	Conventional Shower Cubicles	50	314.00	0.02	70	311.52	0.02	
	Hydrotherapy Shower Cubicles	760	709.05	0.54	750	754.91	0.57	
Shower Enclosures / Doors	Shower Enclosures / Doors	10 300	118.89	1.22	9 600	113.94	1.09	
Grand Total		13 210	145.85	1.93	12 220	147.93	1.81	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

EE - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

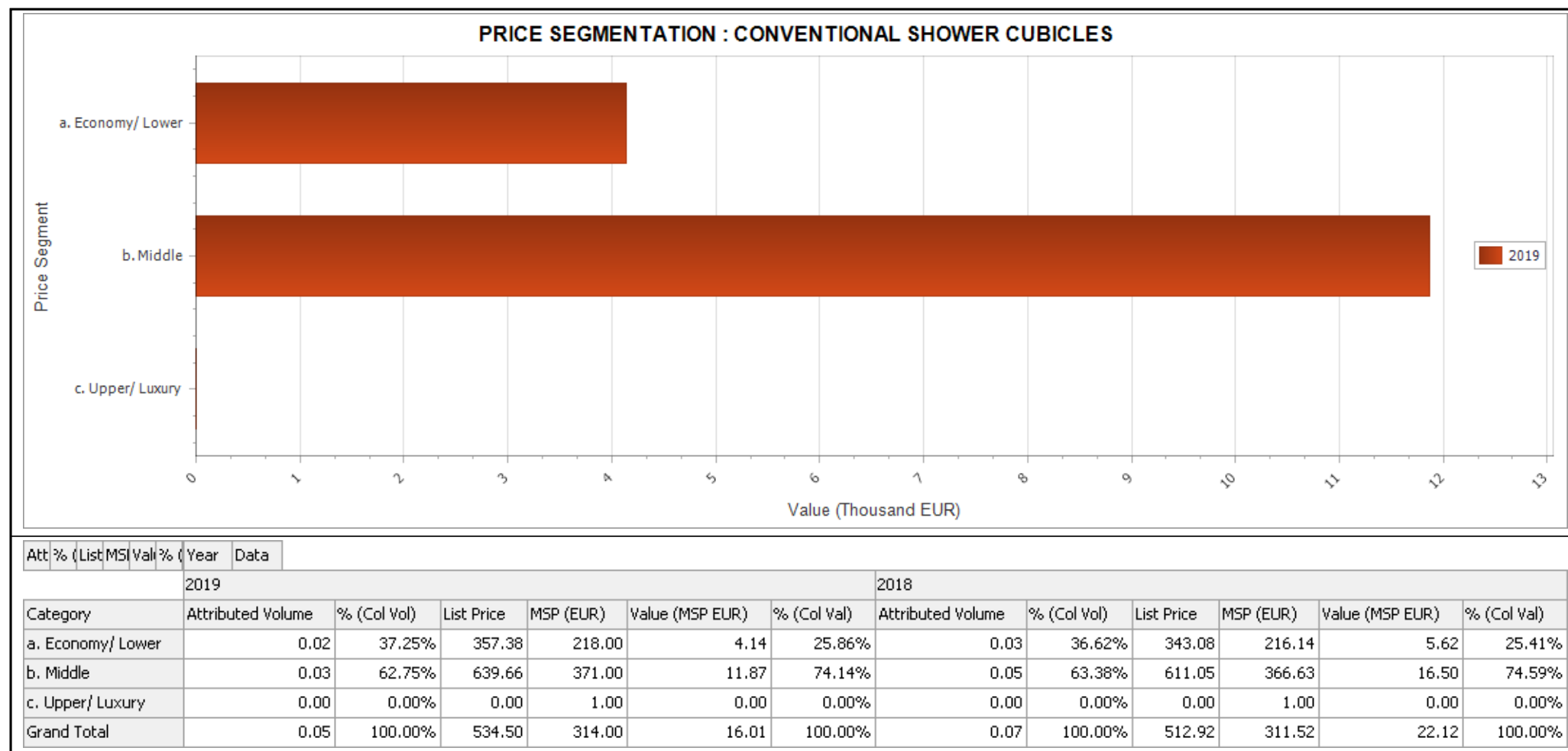


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Conventional Shower Cubicles

EE - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

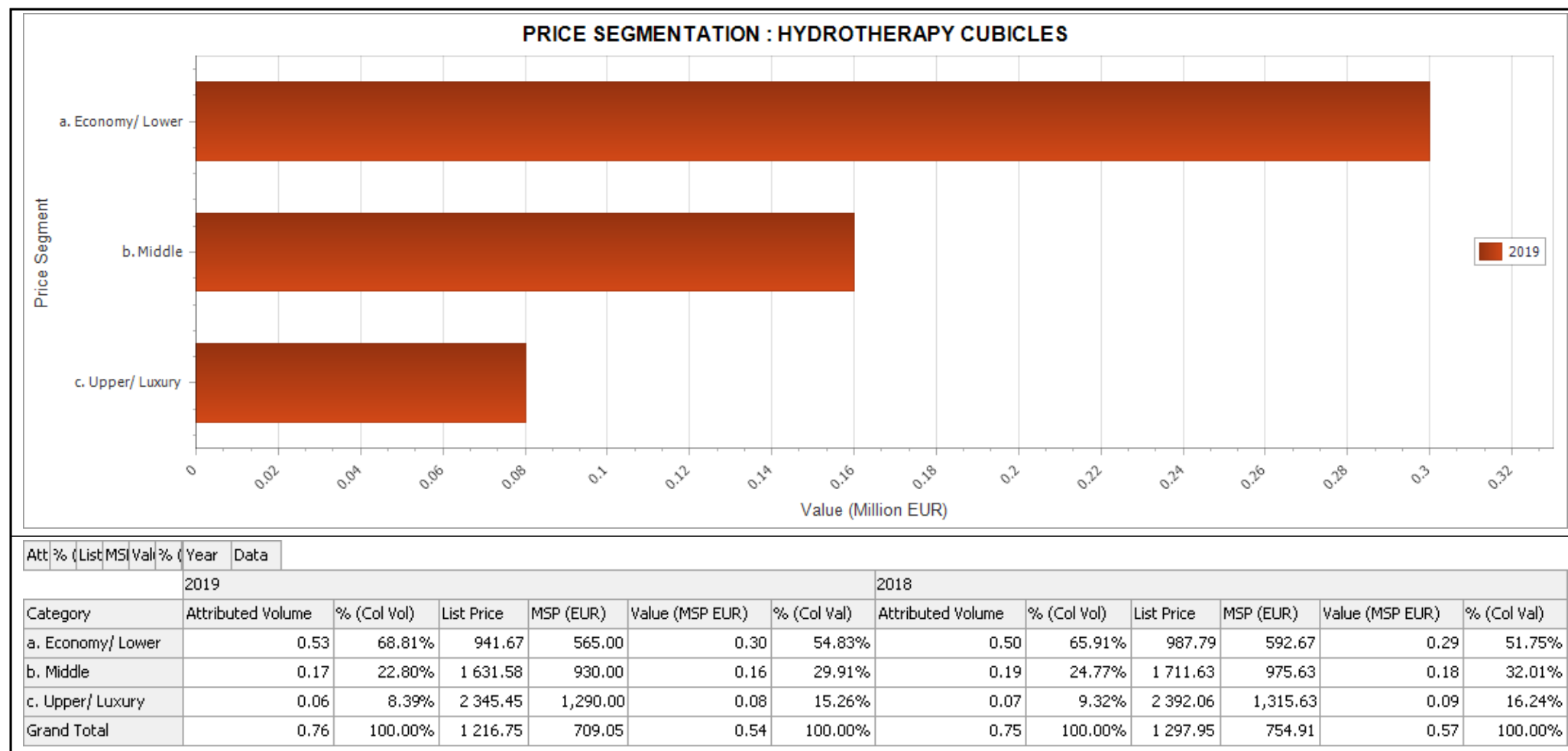


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Thousands (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

EE - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

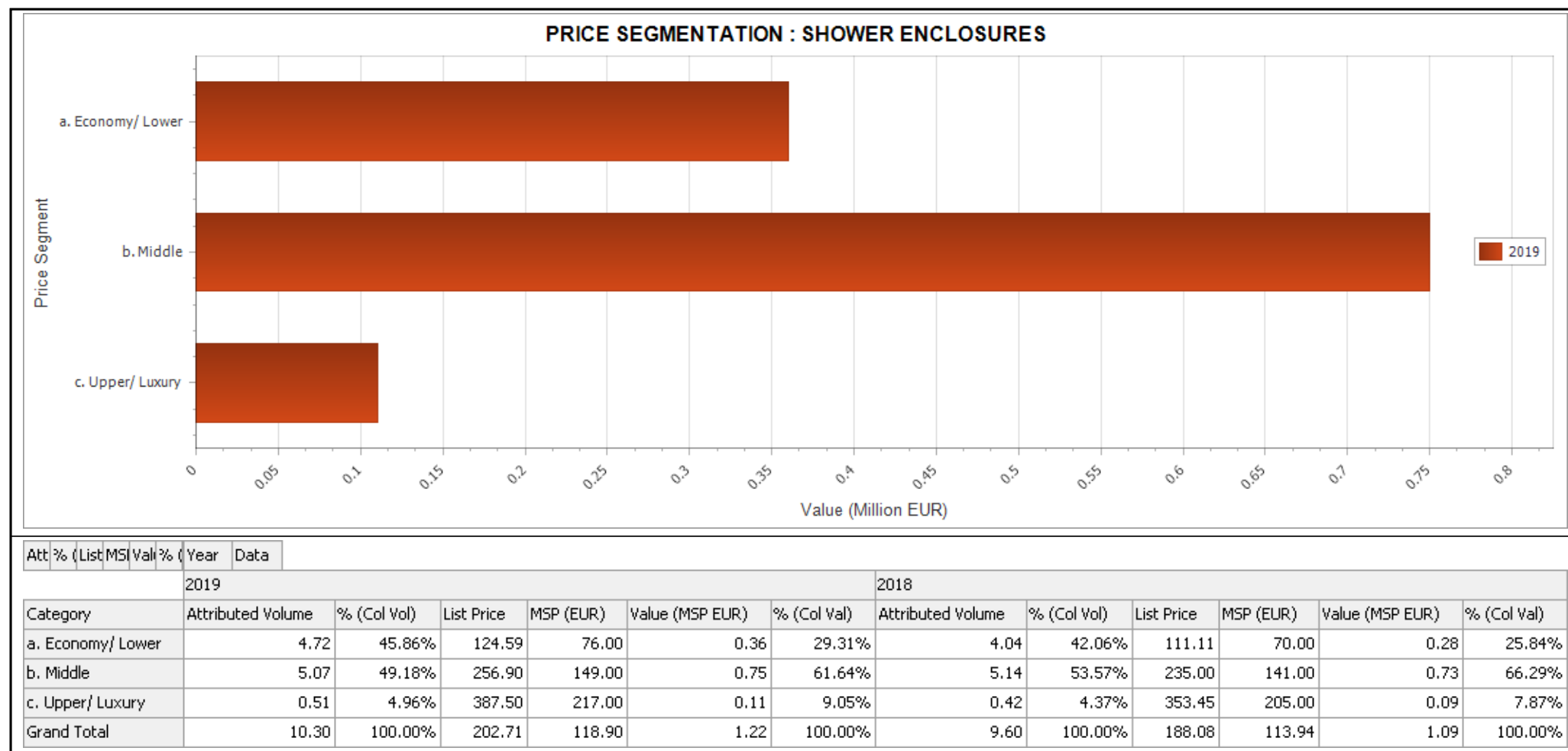


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€700, Middle €700-€1,100, Upper/ Luxury >€1,100

4.3.5 Price Segmentation : Shower Enclosures

EE - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

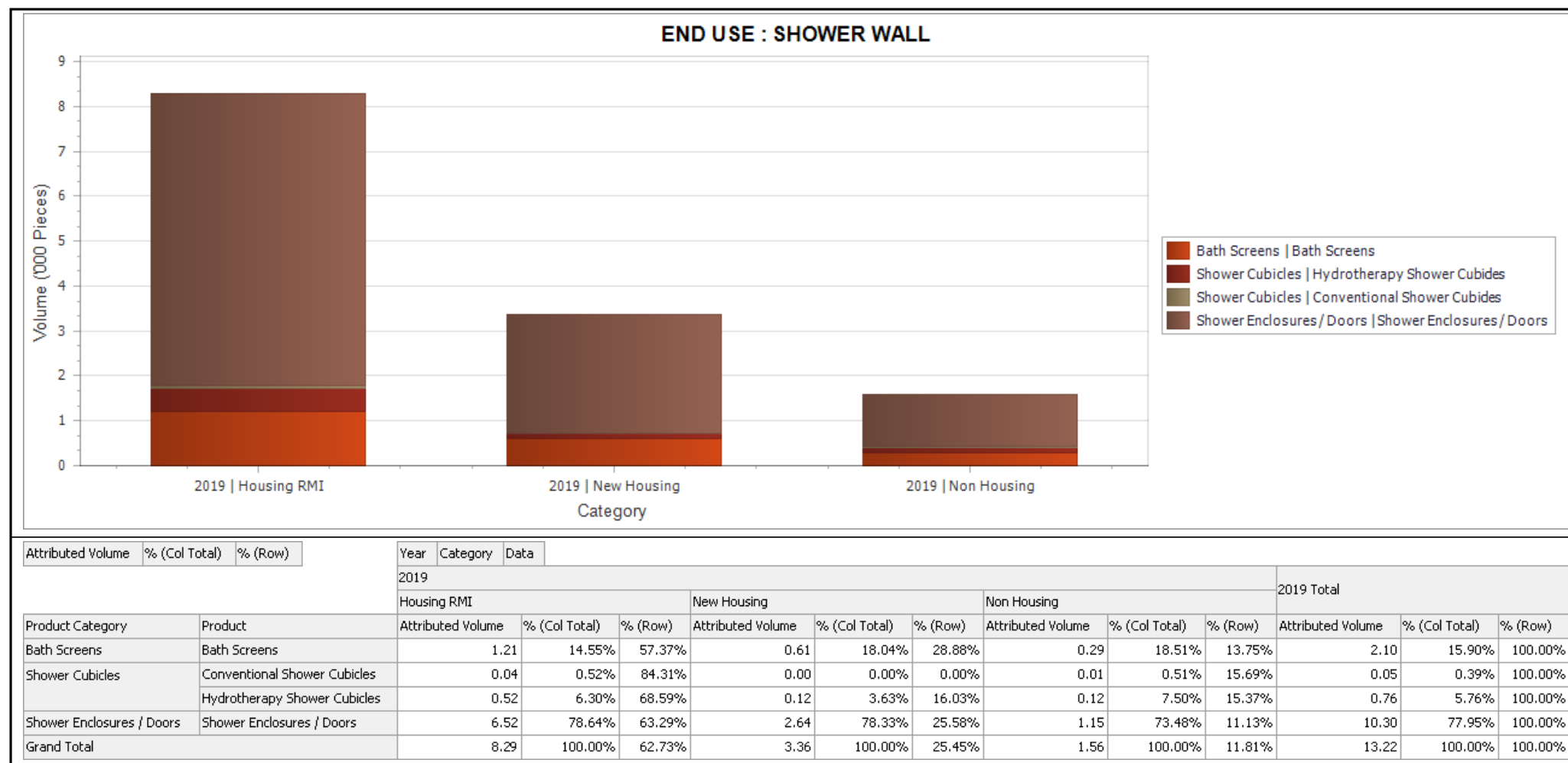


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

4.4.1 End Use : Base Year

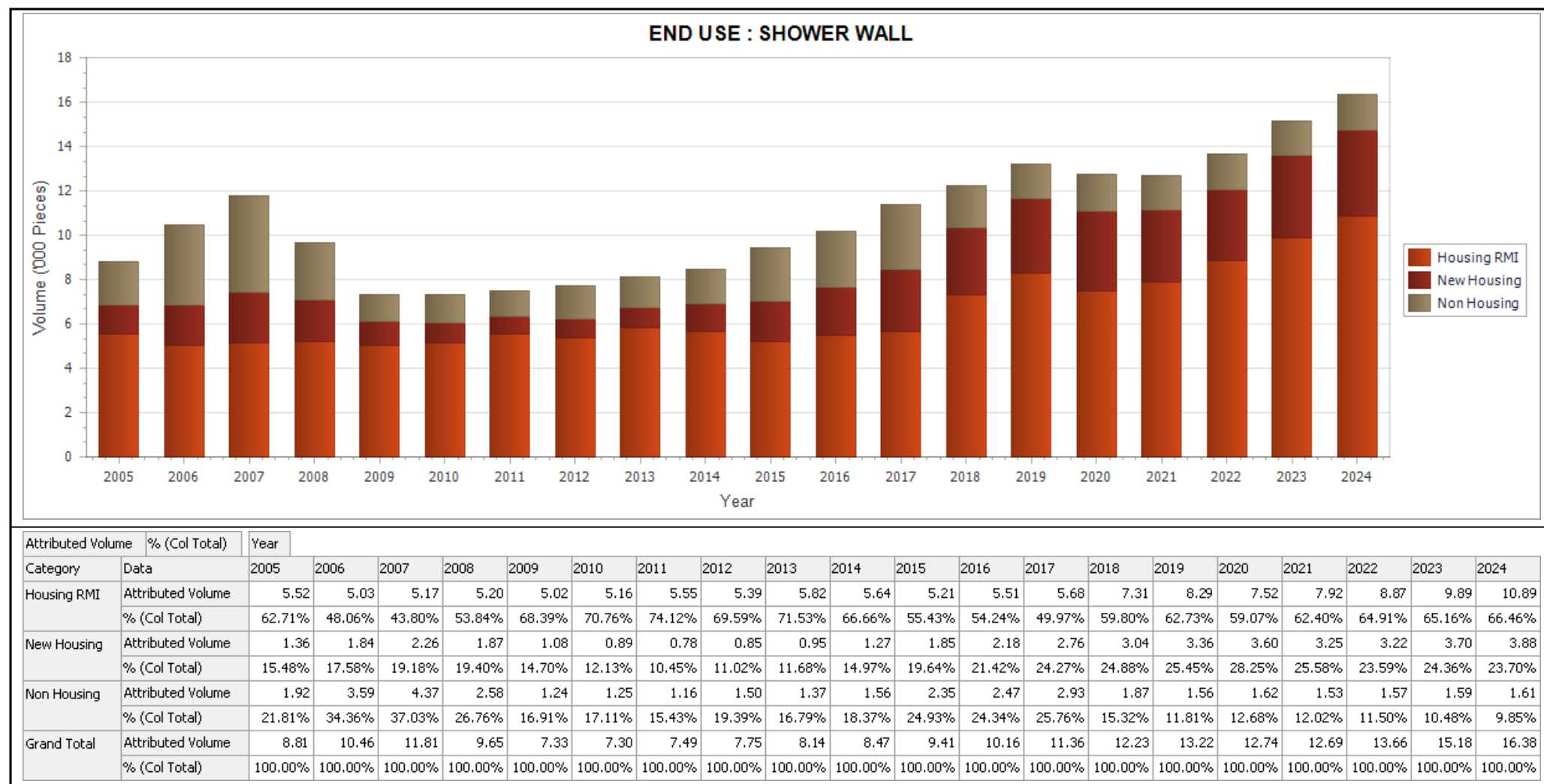
EE - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

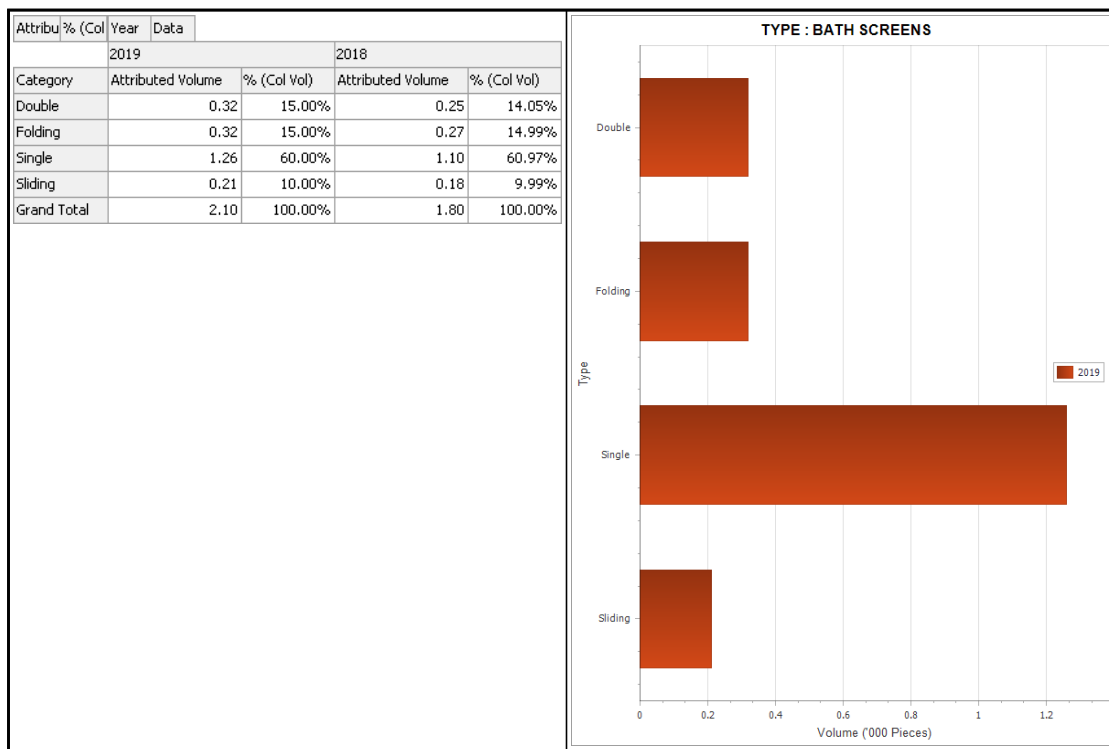
EE - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

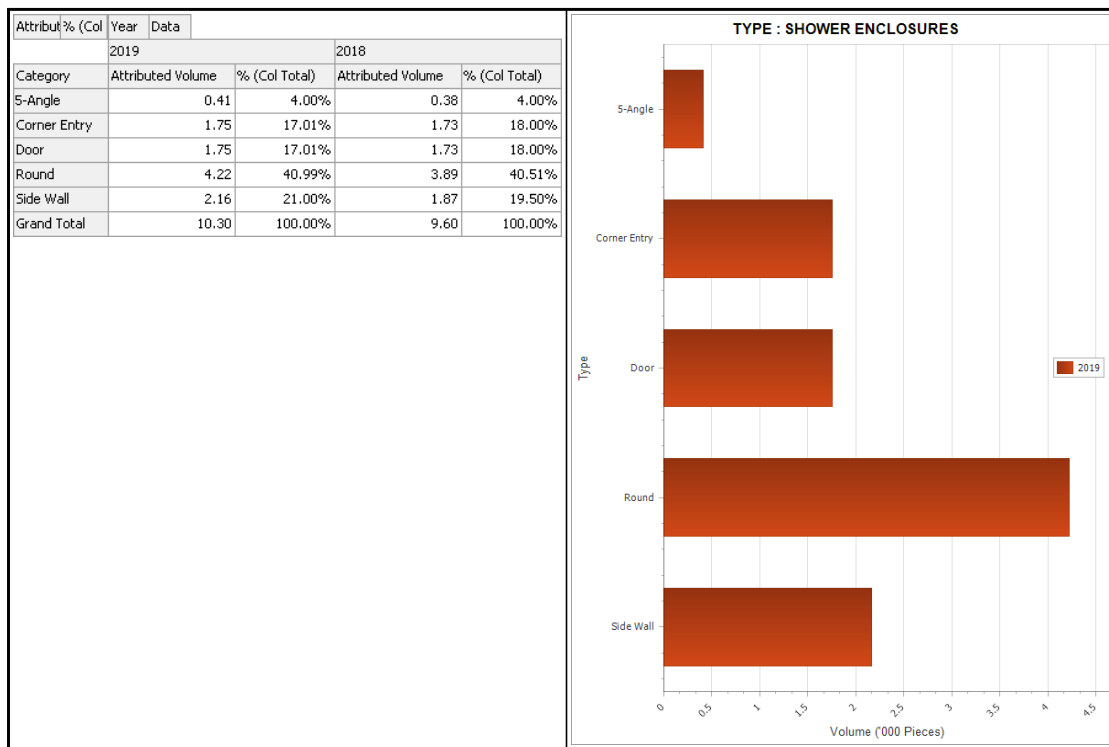
EE - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

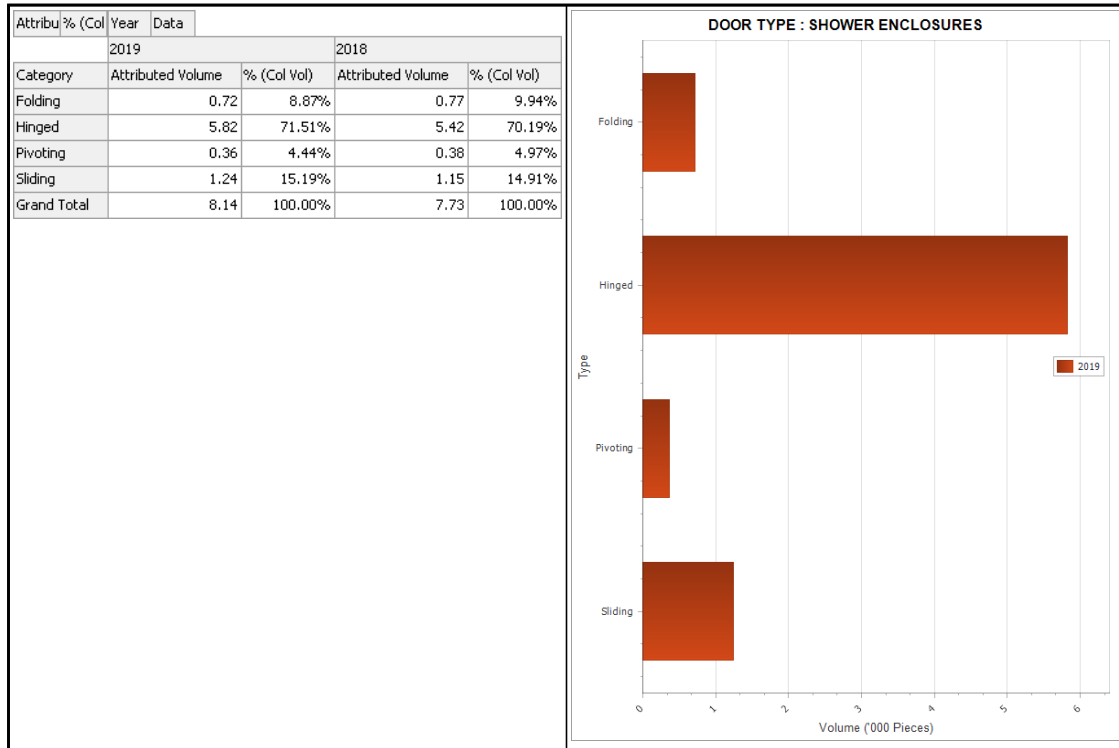
EE - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

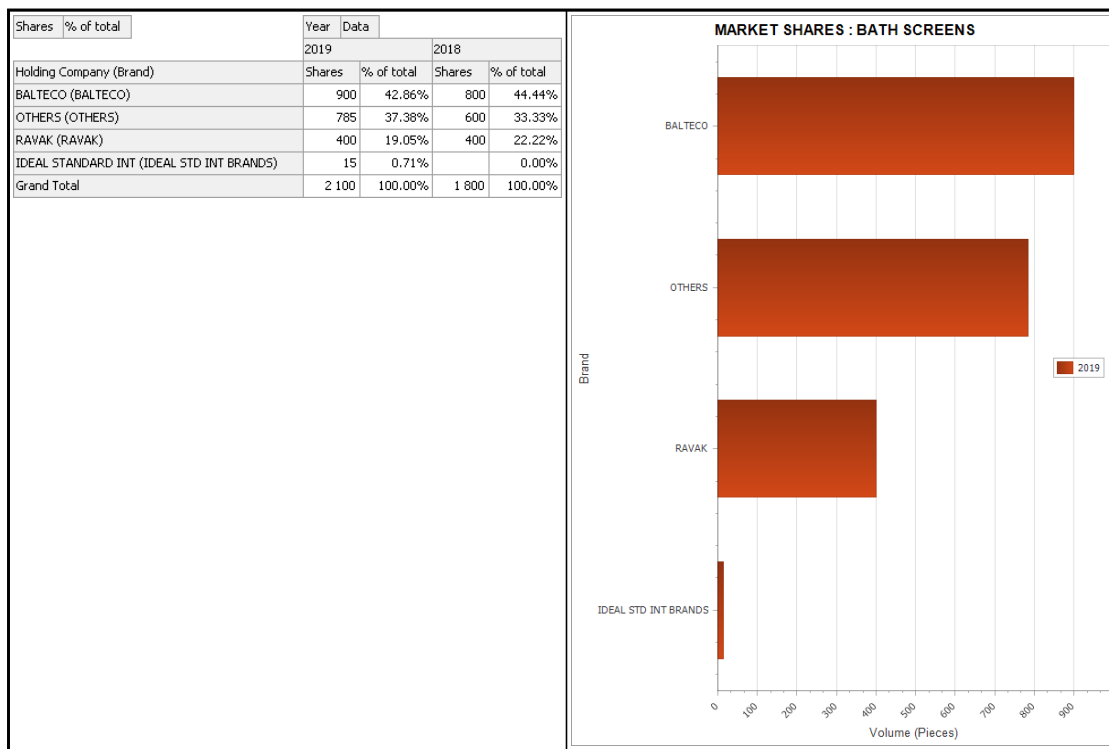
EE - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

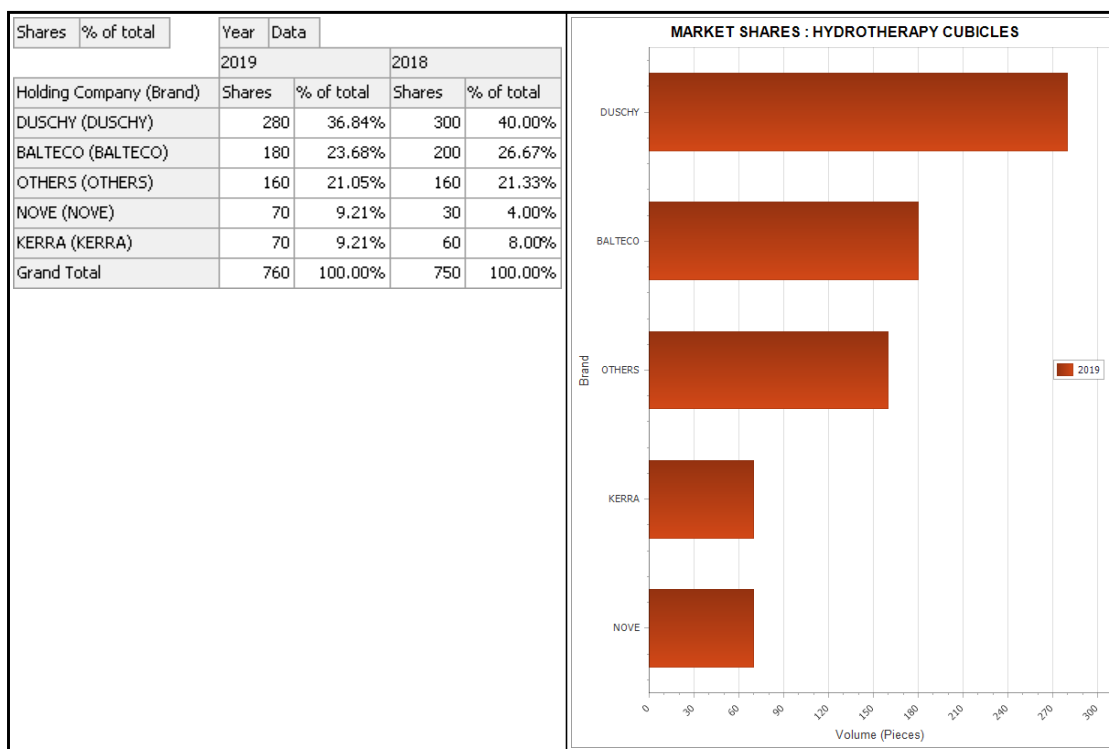
EE - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Hydrotherapy Shower Cubicles

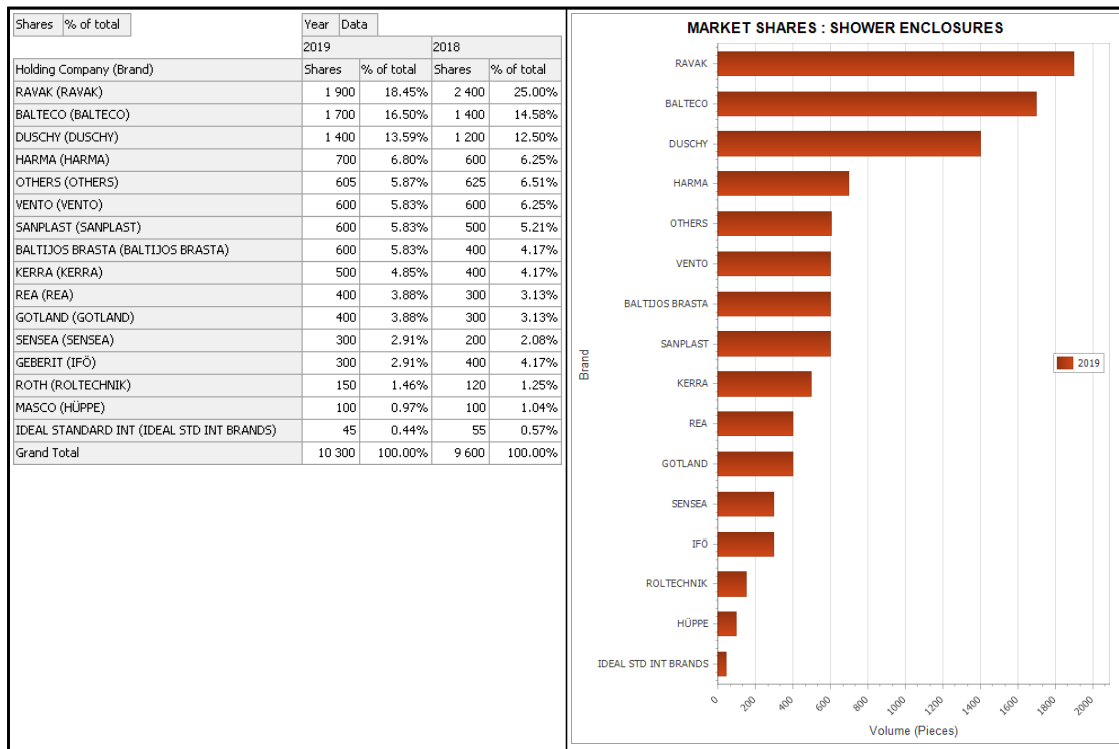
EE - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Shower Enclosures

EE - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
EE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	76.8%
	Wholesalers / Merchants
	76.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	5.0%	12.9%	16.0%	10.4%	28.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.0%		28.9%		38.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	12.0%	0.0%	0.0%	18.4%
Installers				
30.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	12.8%	5.0%	28.9%	20.0%	21.7%
	Residential					
	88.4%					
	New Build			Residential RMI		
	25.1%			63.3%		
	Project	Non-Project		Project	Non-Project	
	24.0%	1.1%		4.0%	59.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
0.0%	3.0%	0.0%	0.0%	0.0%	8.6%	
Non-Residential						
11.6%						
	New Build			Non-Residential RMI		
	2.5%			9.1%		
	Project	Non-Project		Project	Non-Project	
	2.5%	0.0%		4.0%	5.1%	

4.6.2 Route to Market: Shower Wall
EE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	70.0%
	Wholesalers / Merchants
	70.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	8.0%	16.0%	12.0%	14.0%	24.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.0%		28.0%		38.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	10.0%	0.0%	0.0%	18.0%
Installers				
28.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	12.0%	8.0%	28.0%	20.0%	22.2%
	Residential					
	90.2%					
	New Build			Residential RMI		
	23.7%			66.5%		
	Project		Non-Project	Project		Non-Project
	22.0%		1.7%	5.0%		61.5%

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	
0.0%	4.0%	0.0%	0.0%	0.0%	5.8%	
Non-Residential						
9.8%						
	New Build			Non-Residential RMI		
	1.0%			8.8%		
	Project		Non-Project	Project		Non-Project
	1.0%		0.0%	2.0%		6.8%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

EE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

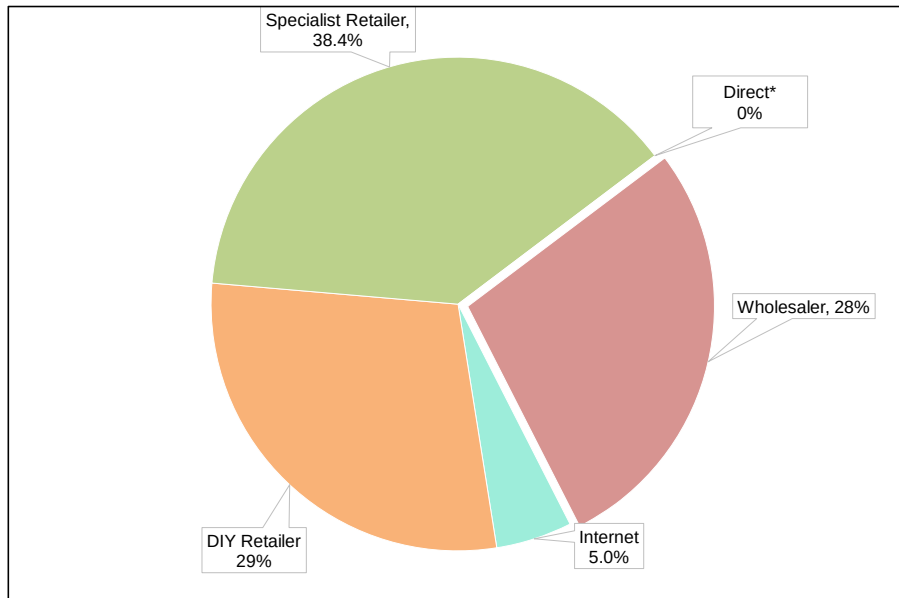
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.8%	5.0%	28.9%	38.4%	0.0%	28.0%	6.5%	60.4%	5.1%
100%					34.5%		65.5%	

4.6.4 Route to Market - Consolidated View : Shower Wall

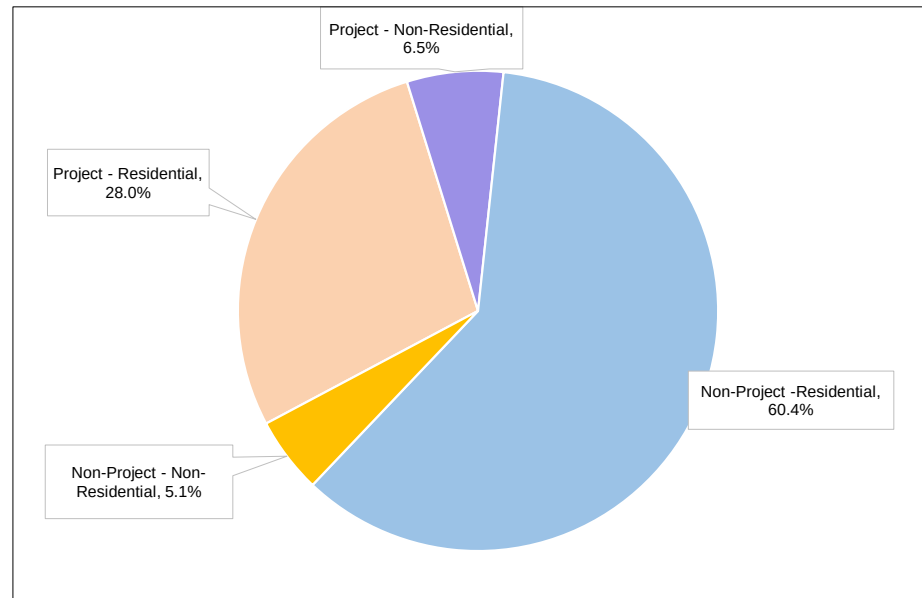
EE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.0%	8.0%	28.0%	38.0%	0.0%	27.0%	3.0%	63.2%	6.8%
100%					30.0%		70.0%	

EE - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



EE - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



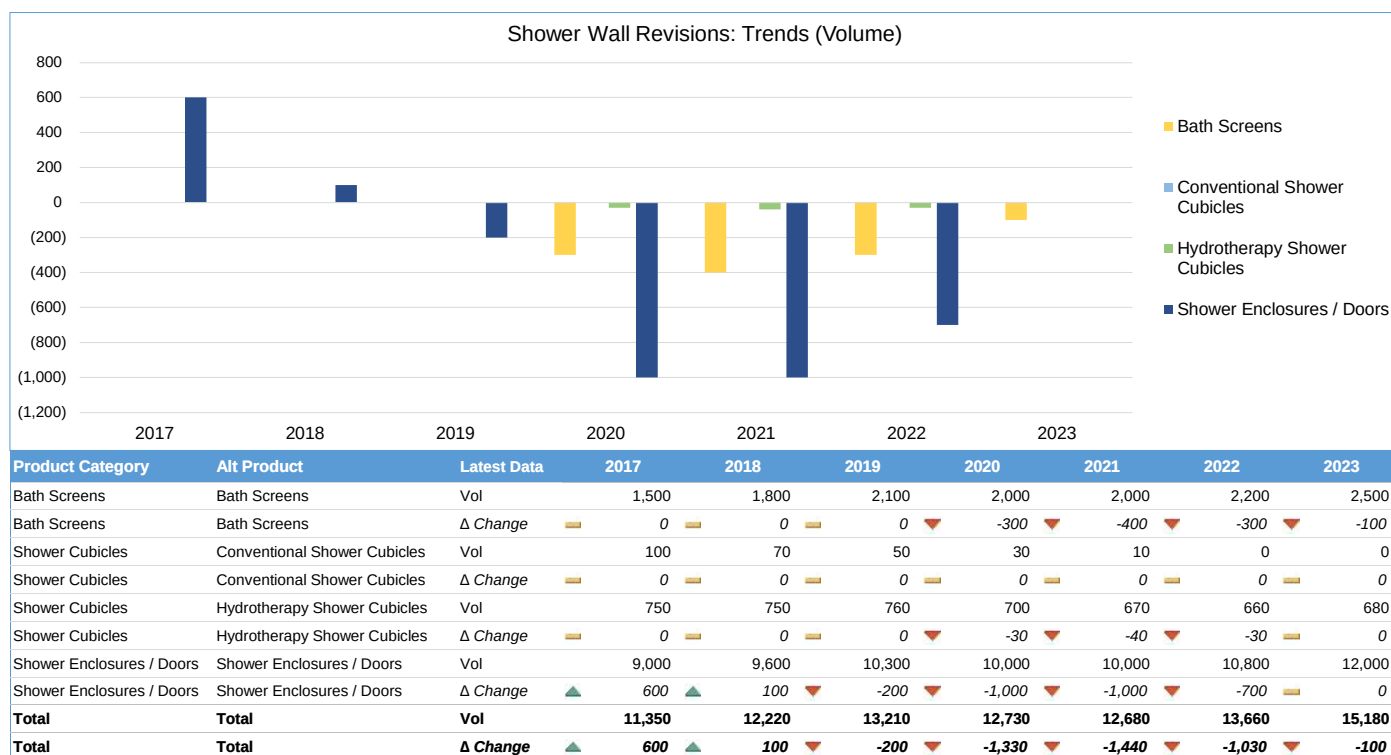
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Estonian Shower Wall Market (July 2020)

EE - REVISIONS IN THE ESTONIAN SHOWER WALL MARKET

Data Comparison: July 2019



In light of new data from manufacturers and customs sales of shower enclosures have been revised upwards for 2005-2008 and 2017.